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**EXECUTIVE
BOARD
MEETING**

EBS/17/87

August 3, 2017

To: Members of the Executive Board

From: The Acting Secretary

Subject: **Ghana—Staff Report for the 2017 Article IV Consultation, Fourth Review Under the Extended Credit Facility Arrangement, Request for Waiver for Nonobservance of Performance Criteria, and Request for Extension and Rephasing of the Arrangement**

Board Action:	Executive Directors' consideration (Formal)
Tentative Board Date:	Wednesday, August 30, 2017
Proposed Decision:	Page 29–31
Publication:	Yes*
Questions:	Ms. Fedelino, AFR (ext. 36053)
Document Transmittal in the Absence of an Objection and in accordance with Board policy:	Friday, August 11, 2017—WTO After Board Consideration—African Development Bank, European Commission, Organisation for Economic Cooperation and Development

*The authorities have indicated that they consent to the Fund's publication of this paper.



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August 1, 2017

STAFF REPORT FOR THE 2017 ARTICLE IV CONSULTATION, FOURTH REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, REQUEST FOR WAIVER FOR NONOBSERVANCE OF PERFORMANCE CRITERIA, AND REQUEST FOR EXTENSION AND REPHASING OF THE ARRANGEMENT

KEY ISSUES

Context: Ghana's macroeconomic performance has been mixed, as over the years recurrent policy slippages have amplified the impact of external and domestic shocks, created persistent imbalances, and contributed to high inflation, exchange rate volatility, and unfavorable debt dynamics. The new government thus faces significant challenges, including a large fiscal slippage that occurred in 2016. Addressing these challenges calls for an ambitious adjustment and reform agenda.

Outlook and Risks: The outlook for 2017 is promising, with a growth rebound driven by a large increase in oil production, declining inflation, and lower internal and external imbalances if the right policies are implemented. But downside risks remain, as fiscal slippages could feed into continued cedi depreciation, compound adverse debt dynamics and create inflationary pressures. At the same time, the government faces significant contingent liabilities from the energy state-owned enterprises (SOEs), the financial sector, and the unpaid claims incurred in 2016 currently being audited.

Fiscal and Monetary Policy: Restoring fiscal discipline and putting debt on a downward path will require credible and sustained fiscal consolidation, underpinned by strong structural fiscal reforms. Monetary policy should remain geared to delivering declining inflation, supported by steps to bolster the performance and credibility of the inflation targeting framework.

Financial Stability: Long-term financial stability requires ensuring the resilience of the Ghanaian banking system and favoring financial inclusion. Ongoing steps by the Bank of Ghana to implement the Financial Stability Roadmap, including recapitalization efforts and corrective actions in response to the asset quality review (AQR), as appropriate, are encouraging and must be followed through decisively.

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Program Performance: Following completion of the third review in September 2016, program implementation went significantly off-track, with a sizable fiscal slippage and accumulation of domestic arrears at end-2016. The authorities and staff reached understanding on credible fiscal adjustment, structural reforms, and tangible measures to improve the financial viability of SOE, including better monitoring and oversight, to put the program back on track.

Staff supports completion of the fourth review, the request for waivers of missed targets and the request for an extension of the ECF arrangement by one year, with even rephrasing of the remaining access. While program performance through end-2016 was not satisfactory and implementation risks remain, the new government has demonstrated commitment to policy adjustment and delivered corrective measures, including through fiscal consolidation in early 2017, implementation of financial stability measures, and further structural reforms.

Approved By
Dominique Desruelle
(AFR) and
Mark Flanagan (SPR)

Discussions on the 2017 Article IV consultation and fourth review under the ECF arrangement took place in Accra during April 3-13, 2017, followed by continued discussions from headquarters. The IMF staff team included Annalisa Fedelino (head), John Hooley and Siddharth Kothari (all AFR), Keiichi Nakatani (SPR), Salvatore Dell’Erba (FAD), Eriko Togo (MCM), and Natalia Koliadina (Resident Representative); Constant Verkoren (MCM) provided assistance off-site. Mr. Mojarrad (Executive Director) and Mr. Abradu-Otoo (OED) participated in the discussions. The IMF team met with Vice President Bawumia; Finance Minister Kenneth Ofori-Atta; Bank of Ghana Governor Ernest Addison; other senior officials; and representatives of the donor community and private sector. Nadia Margevich and Yong Wang (AFR) ably contributed to the preparation of this report.

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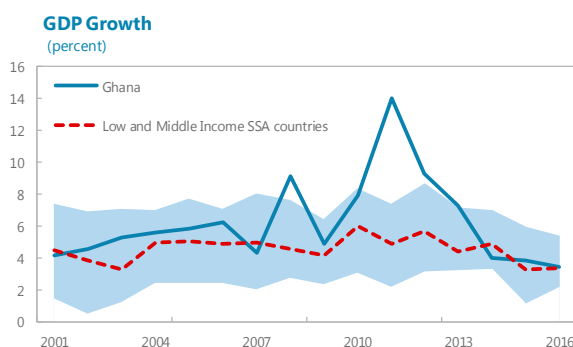
CONTEXT

- 1. Ghana has once again demonstrated its democratic credentials.** Following eight years in opposition, the National Patriotic Party (NPP) won the elections in December 2016, with a strong mandate to pursue macroeconomic stability and “create prosperity and opportunity for all.” The new government came smoothly to power in January 2017.
- 2. The economy has much potential, though still faces deep-rooted challenges.** Compared to regional peers, Ghana has long enjoyed political stability and relatively robust and diversified growth. However, policy implementation has ebbed and waned; the resulting bouts of macroeconomic instability have in turn set the country back, especially when large fiscal slippages have occurred in election years. 2016 was no exception, as the deficit rose to 9.3 percent of GDP. Given its large financing needs, Ghana remains exposed to shifts in investor confidence, underlining the need for strong policies and reform. The latter have been the aim of the IMF-supported program, although its implementation has in the past been disappointing.
- 3. In the current setting, ensuring long-lasting macroeconomic stability is a key policy priority.** Without a stable macroeconomic environment, there cannot be *prosperity and opportunity for all*. For these reasons, discussions with the authorities focused on: (i) policy measures to anchor macroeconomic stability, secure debt sustainability, and build buffers; and (ii) immediate actions to put the IMF-supported program back on track.

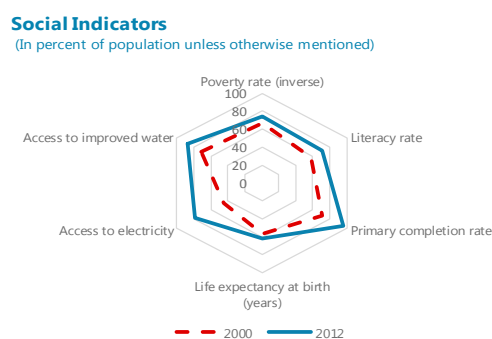
KEY TRENDS AND RECENT DEVELOPMENTS

A. Long-Standing Challenges...

- 4. After over two decades of sustained and fairly inclusive growth and a boom from 2010-13, Ghana has witnessed a sharp slowdown in the last three years.** Between 2000 and 2013, the average real growth rate was 6.6 percent, well above other low and lower-middle income SSA countries. The poverty rate fell sharply, from 53 percent in 1991 to 21 percent in 2012 (last data available), along with improvements in other social indicators. However, after the oil-related boom in 2010-13, growth started decelerating in 2014, and dropped to 3.5 percent in 2016, the lowest level since 1990.



Source: WEO and IMF Staff estimates.
Note: Shaded area excludes top and bottom 20 percent of the distribution.



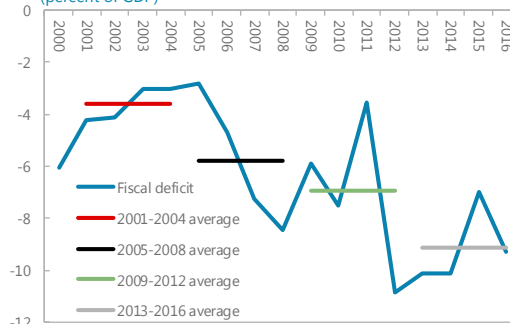
Source: WDI. Data for closest year to 2000 and 2012 that was available for each variable.

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5. Recurrent policy slippages have amplified the impact of external and domestic shocks, creating persistent imbalances and contributing to the recent slowdown.

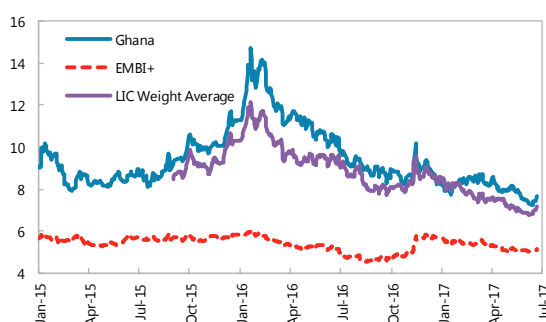
- Over the last decade, large fiscal deficits have added to significant increases in public debt, eroding the fiscal buffers created by the earlier debt relief. Fiscal slippages have been particularly pronounced in election years, setting in motion an increase in external and domestic imbalances from which Ghana has only partially recovered.
- Market access tightened in the context of soaring external and domestic funding needs. The government resorted to central bank financing, with spillovers to inflation, weaker exchange rate, and even higher funding costs. Eurobond spreads and domestic real interest rates surged and domestic maturities shortened, exacerbating rollover risk. Meanwhile, the economy was also buffeted by adverse terms of trade shocks as the prices of key exports significantly dropped, further affecting the exchange rate, fueling inflation, and contributing to the economic slowdown as the external position adjusted.

Fiscal Balance
(percent of GDP)



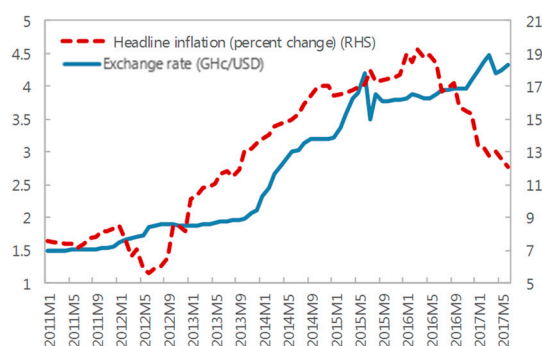
Source: Ghanaian authorities and IMF Staff estimates.

Eurobond Yields to Redemption
(percent)



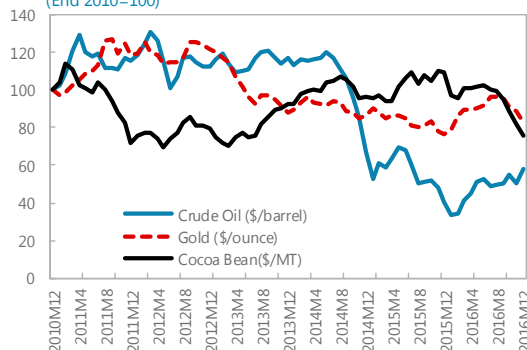
Source: Datastream

CPI Inflation and Exchange Rate



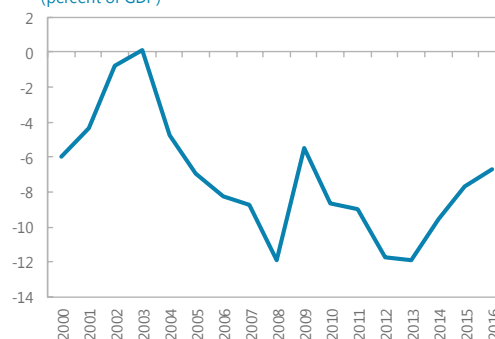
Source: Ghanaian authorities and IMF Staff estimates.

Commodity Prices
(End 2010=100)



Source: Ghanaian authorities and IMF Staff estimates.

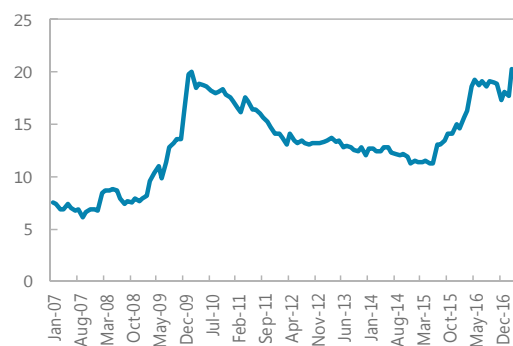
Current Account Balance
(percent of GDP)



Source: Ghanaian authorities and IMF Staff estimates.

- In the state-owned enterprises (SOE) sector, lack of timely utility tariff adjustment, accumulation of cross-arrears, and management inefficiencies translated into severe power shortages, further undermining investor confidence and compounding the economic slowdown.
- Feedback-loops from the domestic economy to the banking sector led to a sharp increase in non-performing loan (NPLs), limiting the ability of the banking system to fund an eventual growth recovery.

Non-performing loans
(percent of total loans)



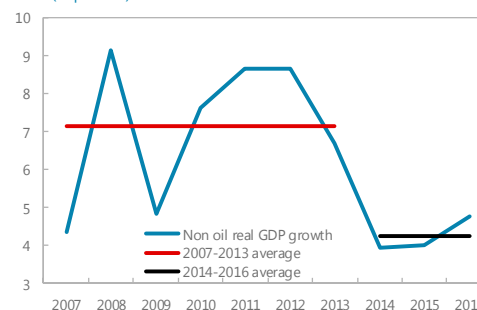
Source: Ghanaian authorities and IMF Staff estimates.

B. ... and Recent Mixed Developments

6. In a repeat of previous election cycles, Ghana saw a sizable fiscal slippage in 2016. The overall deficit ended at 9.3 percent of GDP on a cash basis (against the Third Review target of 5.2 percent of GDP), reflecting revenue shortfalls and large expenditure overruns. In a glaring breach of expenditure controls, outstanding claims (3 percent of GDP) incurred in 2016 came to light in early 2017, with 2 percent of GDP outside the Ghana Integrated Financial Management Information System (GIFMIS).¹

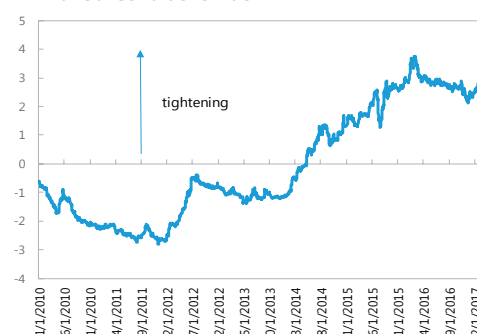
7. The financial cycle amplified the downturn. Growth in banks' balance sheets continued to slow down as growth declined, and financial conditions have generally tightened.² Asset quality in the banking system continued to deteriorate, as shown by the findings of the 2016 Asset Quality Review. At the same time, growth in credit to the private sector declined and the spread between lending and deposit rates increased.

Non-Oil GDP Growth
(In percent)



Source: Ghanaian authorities and IMF Staff estimates.

Financial Conditions Index



Source: Bloomberg and IMF Staff estimates.

¹ On a commitment basis, the deficit was 8.9 percent of GDP, reflecting repayment of previous arrears of 1.4 percent and new outstanding payments of 1 percent of GDP (the part of unpaid claims included in the GIFMIS). If all unpaid claims were factored in, the deficit on a commitment basis would therefore have been 10.9 percent of GDP

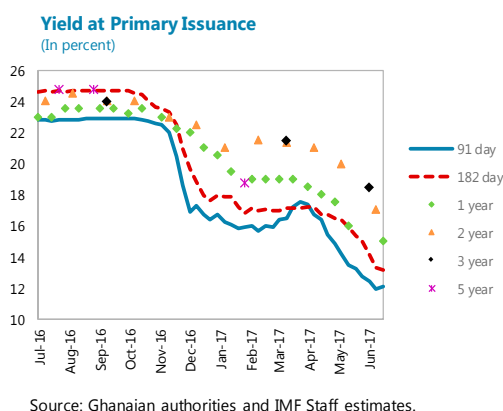
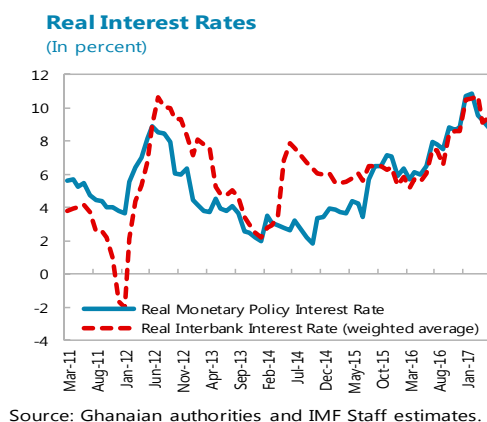
² Staff's index of financial conditions is the first principal component of the Z-scores of 6 financial market variables: the real monetary policy rate, the real interbank rate, the real T-bill rate, sovereign Eurobond spreads, realized volatilities of the nominal exchange rate and stock market index.

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8. Despite an improvement in the external position, vulnerabilities persist. A sharp increase in gold exports³ and import compression narrowed the current account deficit to 6.7 percent of GDP in 2016. At the same time, strong FDI and inflows to the domestic debt market helped the Bank of Ghana (BoG) build up net international reserves (NIR) for the first time in six years. However, the gross reserves coverage remained low at 2.6 months of imports, lower than 3- to 3.6-month levels suggested by a reserve adequacy assessment (see Annex I). While the nominal exchange rate was relatively stable during 2016, according to the Fund's exchange rate assessment (EBA-lite), Ghana's external position was weaker than implied by fundamentals, with a REER gap of around 8 percent (see Annex I), largely explained by large fiscal slippages.

9. Some positive developments have emerged since the new government took office, though risks remain elevated:

- Preliminary data shows that overall growth in Q1 2017 was 6.6 percent, with non-oil growth at 3.9 percent.
- Disinflation finally appears to be taking hold. Since H2 2016, inflation has been declining, reaching 12.1 percent in June 2017, helped by exchange rate stability and earlier increases in the monetary policy rate (MPR).
- Declining inflation and an encouraging fiscal outturn through April 2017 (with an overall deficit of 1.3 percent of GDP) have created room for progressively less tight monetary policy. Accordingly, the Monetary Policy Committee (MPC) reduced the MPR to 21 percent in July 2017 (though real rates, while declining, remain elevated); and interest rates on domestic debt instruments have followed suit.



- Financing conditions have recently eased. Ghana's external credit spreads have continued to decline from their peak in February 2016. Following the passage of the 2017 budget, the government had a record bond issuance of over GHc 9 billion (net basis) in April, mostly acquired by non-resident investors. With these inflows, over two thirds of the net domestic financing target for the year has been met, with the average maturity profile of domestic debt

³ Largely attributed to a large increase in small-scale gold producers, whose monitoring was recently tightened.

further lengthening (to almost two years as of May 2017). Partly in response to the large FX inflows, the exchange rate has recovered from the sharp depreciation experienced in Q1 2017.

OUTLOOK AND RISKS

10. Macroeconomic conditions are expected to stabilize over the medium term. In 2017, oil sector growth is projected to rise by over 40 percent owing to stepped-up production in a new field, pushing overall GDP growth to 5.9 percent. Non-oil growth would decline to 4 percent in 2017, with improved power provision and higher (though still subdued) private sector credit growth only partly offsetting the effect of fiscal consolidation. With macro-imbalances receding and positive spillovers from increased oil and gas production,⁴ non-oil growth is expected to rebound to 6 percent by 2019 and gradually converge to its potential level of 5 percent in the long run—with overall growth settling below 5 percent as oil production tapers off (see DSA). Inflation would fall within the BoG's band (8 ± 2 percent) by early 2018 and remain firmly inside it over the medium term. Credit growth to the private sector would remain initially subdued, reflecting banks' balance sheet repair, which will lessen over time. Stronger commodity exports and tight demand management would support a continued decline in the current account deficit, to around 4 percent of GDP in the medium term, in line with the current account norm estimated by External Sector Assessment (ESA).

11. The risk of debt distress will likely remain high over the medium term. While the ratio of external debt-to-GDP declined slightly in 2016,⁵ the debt sustainability analysis (DSA) continues to point to high risk of debt distress, with three indicators breaching the thresholds.⁶ The total public debt-to-GDP ratio will remain above the threshold until 2021, with a slightly more elevated trajectory than previously assessed (see DSA). While the front-loaded fiscal adjustment envisaged under the program would help put debt on a sustainable path, slippages (and associated investor reactions) could jeopardize debt sustainability (see below).

12. The balance of risks is tilted to the downside (see Risk Assessment Matrix). Ghana's large financing needs represent a key source of vulnerability, especially on the external front as non-residents hold more than 60 percent of total debt. On the domestic front, risks of further fiscal slippages could feed into continued cedi depreciation, compounding adverse debt dynamics and creating inflationary pressures. At the same time, significant contingent liabilities could arise from the SOE sector, especially energy; the financial sector; and the unpaid claims currently being audited.

Authorities' views

13. The authorities broadly concurred with the outlook and risks and the ESA, although they were more optimistic about the prospect of a quick turnaround. They agreed that the large

⁴ The prospects for the petroleum sector in Ghana depend partly on the resolution of the maritime boundary dispute with Cote d'Ivoire. A ruling by the International Tribunal of the Law of the Sea is slated for September 2017.

⁵ Ghana recently signed a memorandum of understanding with China to develop various economic sectors, with a prospective financing package of \$19 billion. As the package remains uncertain, it is not included in the DSA.

⁶ Large non-residents' participation in the April bond issue (119), while helping meet the 2017 gross financing needs, has also led to the breach by one more indicators (as the DSA is prepared on a residency basis).

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financing needs and high levels of debt posed the main downside risk to the economy. However, they thought that several factors could lead to an upside scenario with a significant turnaround in macroeconomic conditions and growth in 2017, despite the fiscal consolidation. They argued that the realignment of government expenditures to productive areas and removal of nuisance taxes would boost productivity, and were confident that various policy actions being pursued will boost private sector activity in the medium term (see Program Issues).

Ghana: Risk Assessment Matrix ¹			
Nature/Sources of Risk	Relative Likelihood	Expected Impact If Realized	Policies to Mitigate Risks
Significant further strengthening of the US dollar and/or higher rates. As investors reassess policy fundamentals, as term premia decompress, or if there is a more rapid Fed normalization, lower-rated sovereigns and those with un-hedged dollar exposures could come under stress.	High The government's financing needs remain sizable; and reliance on non-resident investors is high.	High - Failure to secure financing would put pressures on interest rates, further dampening growth. - Reduced external financing would worsen the already low foreign reserve cover. Combined with a large current account deficit, this could put pressure on the exchange rate.	- Bolster investors' confidence by implementing credible medium-term fiscal adjustment strategy. - Build buffers to enhance resilience. - Formulate and adopt contingency measures in case financing conditions were to tighten further and more adjustment were needed.
Delayed or insufficient fiscal adjustment. Weaker revenue and further arrears accumulation could derail adjustment.	High Ghana's track record with sustained fiscal adjustment has been weak.	High Could strain public service provision and undermine government's credibility. An associated loss of confidence could also trigger pressures on the exchange rate, with negative impact on inflation, balance sheets, and debt sustainability.	- Implement a credible medium-term fiscal adjustment strategy, with a balance across revenue and expenditure measures. - Tackle the arrear problem by completing the audit of unpaid commitments and claims; and by strengthening the PFM system.
Lower energy prices. Production cuts by OPEC and other major producers may not materialize as agreed. Declines in other commodity prices.	Low Ghana relies heavily on commodity exports.	High Could result in sharp contraction of exports, further weakening the external position, reducing the low reserve buffers and resulting in exchange rate depreciation and inflationary pressures.	Diversify the economy and export base by improving business environment, and by investing in physical and human capital.
Continued and intensifying weaknesses in the SOE utility sector.	Medium SOEs continue making significant losses.	Medium - Could add to the government's risk of debt distress - Could further constrain growth.	- Formulate and implement a credible strategy to tackle energy inefficiencies. - Strengthen monitoring and oversight of SOEs.
Financial stability problems arising from increasing non-performing loans and uncertainty on the health of the banking sector.	Medium The Asset Quality Review found significant under-provisioning.	Medium - Could further limit lending to the private sector, reducing investment and growth. - Could create contingent liabilities for the government, adding to the risk of debt distress.	Full implementation and monitoring of remedial actions for distressed banks in accordance with the BOG's Financial Sector Roadmap.
¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly.			

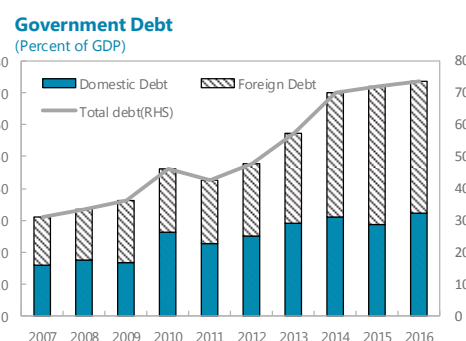
ARTICLE IV POLICY DISCUSSIONS: ANCHORING MACROECONOMIC STABILITY

14. Addressing Ghana’s long-standing challenges calls for an ambitious adjustment and reform agenda. Ghana’s objective of an irreversible path to growth and prosperity hinges on locking in macroeconomic stability, which cannot happen without reversing the fiscal deterioration that occurred in 2016. A comprehensive policy package—based on upfront fiscal adjustment but encompassing reforms across all policy areas—is needed to secure lasting progress. As fiscal discipline becomes entrenched, refinancing risks are reduced and fiscal buffers are rebuilt, the policy mix would be rebalanced away from tight monetary policy, and a reduction in real interest rates in turn spurring investment and growth

A. Adopting a Credible Fiscal Strategy

Ghana’s poor fiscal performance has led to an increasing debt burden. Reversing the debt dynamics requires credible and sustained fiscal consolidation, underpinned by strong structural fiscal reforms.

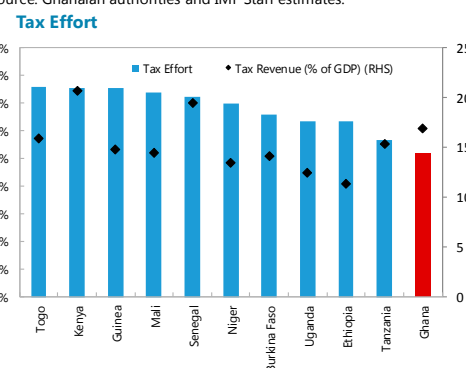
15. Ghana’s debt has increased significantly over the last decade. It has grown from roughly 30 percent of GDP at end-2006, when Ghana benefitted from large debt reduction under the Multilateral Debt Relief Initiative (MDRI), to 73.4 percent of GDP at end-2016. Large and persistent fiscal slippages, especially though not exclusively in election years, have been the key driver of debt growth (Box 1).



Source: Ghanaian authorities and IMF Staff estimates.

16. Several structural weaknesses and rigidities have undermined fiscal discipline.

- On the revenue side, Ghana’s revenue to GDP ratio compares favorably to regional peers, but its tax effort⁷ less so. This reflects weaknesses in tax policy (widespread exemptions) and revenue administration (tax evasion). Revenue projections have also tended to be over-optimistic, affecting the credibility and feasibility of budget targets.
- On the spending side, lax commitment controls have led to frequent and large spending overruns or arrears accumulation. Non-discretionary spending on wages and interest payments and earmarked transfers to statutory funds—jointly



Source: Ricardo Fenochietto, Carola Pessino (2013).

⁷ Defined as the ratio between actual revenue and tax capacity (the maximum revenue a country can ideally achieve).

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representing over 110 percent of revenue in 2016—have severely limited fiscal space, often leading the government to improvise unsustainable (and unenforceable) expenditure cuts.

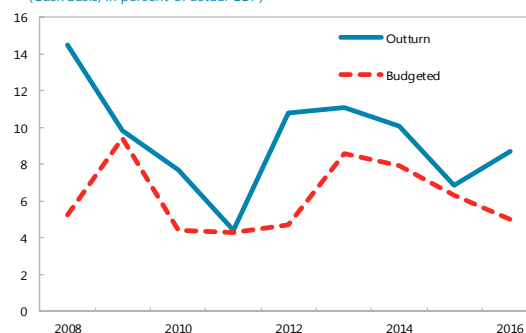
- In addition, increasing use of off-budget activities (through revenue earmarking) have complicated overall budget management.⁸ Proliferation of quasi-fiscal operations of SOEs have added to the drain on public finances. As these operations remain outside fiscal accounts, they hamper a comprehensive assessment of fiscal policies.

Box 1. Ghana's Fiscal Indiscipline and Debt Dynamics

In the past, Ghana has experienced frequent fiscal slippages. In the last three elections (2008, 2012, and 2016) the deficit was on average 6.4 percent of GDP higher than originally budgeted; but even in non-election years, deficits have been larger than budgeted, on average by 1.5 percent of GDP.

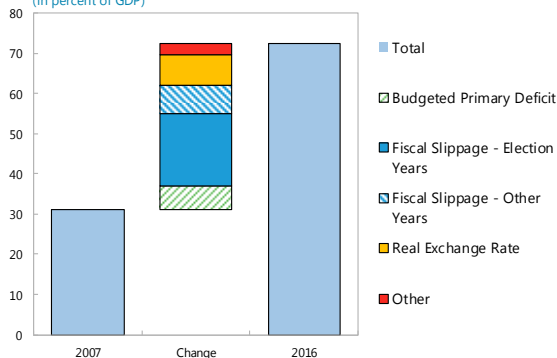
- Slippages in both revenue and expenditure, mostly in election years, have been the single largest driver of government debt (25 percentage points out of the 41 percentage points increase in the debt to GDP ratio over the last decade), with a larger contribution from revenue shortfalls in the last three years—suggesting a proclivity toward optimistic revenue projections.
- Exchange rate depreciation has been the second most important factor, especially in 2014 when the exchange rate depreciated rapidly (by 45 percent in nominal terms, from GHc 2.2 to GHc 3.2 per \$1), contributing to almost 8 percentage points increase in the debt-to-GDP ratio in that year.

Overall Fiscal Deficit
(Cash basis, in percent of actual GDP)



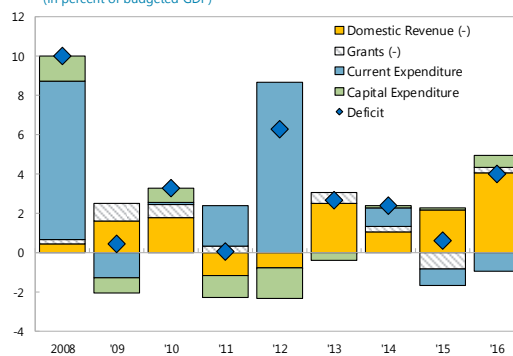
Source: Ghanaian Ministry of Finance.

Government Debt
(in percent of GDP)



Source: Ghanaian authorities and Fund staff estimates.

Deviation between Actual and Budgeted Deficit
(in percent of budgeted GDP)



Sources: Ghanaian Ministry of Finance.

⁸ Before the new legislation capping transfers to statutory funds (see Box 4), the level of pre-determined expenditure through earmarking accounted for about 30 percent of revenues and 20 percent of expenditure.

17. A frontloaded fiscal adjustment strategy can put public debt firmly on a declining path. According to staff's projections, a primary adjustment of 4½ percent of GDP over 2017-18 will be needed to lock in a favorable debt dynamics—at a time when growth would receive a boost from increased oil and gas production. The strategy for 2017 targets a frontloaded primary adjustment of 2½ percent of GDP based on expenditure containment, improved tax compliance, and mobilization of non-tax revenues (see Box 4) but is subject to implementation risk. A further adjustment of 2 percent will bring the primary surplus to 2.2 percent of GDP in 2018 (see Program Issues). After 2018 fiscal policy should aim to gradually build policy buffers while striking a balance between growth and adjustment. As interest payments come down, the primary surplus would gradually decline to 1½ percent of GDP—still above the debt stabilizing level and thus keeping debt on a downward trajectory—allowing for needed increases in infrastructure spending.

- *Strong and sustained fiscal adjustment is needed to achieve the medium-term fiscal objectives. In the short term, the authorities need to stand ready to implement contingency measures to preserve the fiscal targets if revenues fall below projections or spending pressures emerge. A steady focus on the primacy of the debt reduction objective will anchor fiscal policy over the medium term.*

18. Wide-ranging fiscal reforms are critical to sustain fiscal adjustment in the medium-term. Public financial management (PFM) reforms to further improve budget execution and reduce budgetary rigidities would help bolster overall budget management. Going beyond the immediate focus on central government operations to encompass extra-budgetary funds and increase focus on SOEs (see Program Issues) would help strengthen transparency and accountability, while limiting fiscal risks. A revenue mobilization strategy that targets improving tax compliance (see Program Issues) along with addressing untargeted tax expenditures, can have a lasting impact and increase fiscal space. The reform agenda is appropriately ambitious and under way. In staff's views, ongoing reforms should be completed before launching new initiatives (such as the planned Fiscal Council) to keep the momentum and not spread limited resources too thin.

19. Ongoing and planned improvements in debt management are welcome, but they are neither quick wins nor a substitute to fiscal adjustment. Mindful of Ghana's heavy reliance on short-term T-bill issuance, the authorities are making efforts to lengthen domestic debt's maturity and maintain adequate cash buffers to reduce refinancing risks. But given the recent steepening of the yield curve, trade-offs have emerged between increasing tenor and reducing debt service costs.

- *Ongoing efforts to improve debt management and deepen the domestic debt market should be supported by improved cash management to better align primary market operations with cash flow needs. Careful planning to mitigate external refinancing risks is also needed. At the same time, the authorities' increasing focus on liability management operations should not detract from achieving fiscal adjustment (see Program Issues).*

Authorities' views

20. The authorities agreed with staff on the need for sustained fiscal consolidation backed by wide-ranging structural reforms. They stressed that the new Economic Management Team was

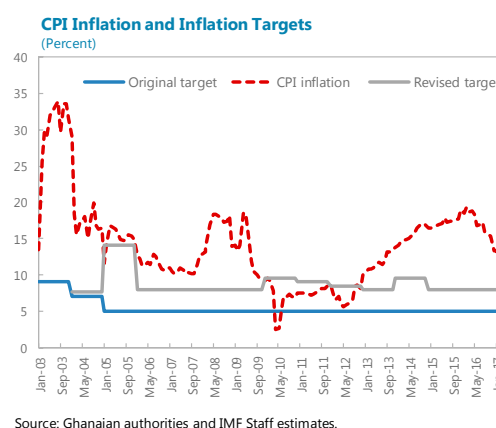
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willing to take difficult decisions to address the challenges facing the economy, as demonstrated by the swift adoption of a law to tackle the politically difficult area of revenue earmarking for statutory funds. In their view, their commitment to increase accountability and transparency will be supported by the establishment of a Fiscal Council, a tangible sign of reform. They were more optimistic than staff on the ability of the GRA to meet the ambitious revenue targets set in the budget. Given the intensified efforts to build cash buffers to mitigate rollover risk, they underlined the importance of monitoring net debt positions going forward (see DSA).

B. Strengthening Monetary and Exchange Rate Policies

The performance and credibility of the inflation targeting framework needs to be strengthened further.

21. Ghana's inflation targeting (IT) framework has had a mixed performance, in part reflecting fiscal dominance.⁹ Inflation has frequently exceeded the BoG's target, even when the latter was revised upward. While negative commodity price shocks have played a role, fiscal overruns have been the main cause of persistent demand-driven inflation—in turn accommodated by the BoG's partial financing of government deficits (Box 2). However, last year Parliament failed to support several amendments to the BoG Act to eliminate government access to BoG financing and enhance central bank governance and autonomy. And FX intervention continues to undermine monetary transmission. Finally, the MPC's recent press statements point to considerable attention to growth in recent policy decisions, possibly creating the perception of a lack of commitment to the primacy of the price stability objective.



- *Amendments to the BoG Act should be pursued, as they represent a robust way to eliminate fiscal dominance and insulate the BoG from possible political pressures to fund the government.*
- *As the central bank backstop is fully removed, securing adequate cash buffers and an emergency standing credit facility from a commercial bank would help minimize government financing risk stemming from unanticipated shortfalls in revenue or auction undersubscriptions.*

⁹ The 2002 BoG Act established price stability as one of the core mandates of the central bank and an inflation objective was set at 5 percent within 3 years. Inflation Targeting was then adopted formally in 2007.

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pressures, possibly reflecting the end-2016 fiscal slippage and pass-through from the associated cedi depreciation. Additional risks might stem from further fiscal slippages and higher credit risk premia (see RAM). For example, in a scenario with a 2 percent of GDP larger deficit and higher credit risk premia by 200 basis points for two quarters, inflation would fall to target only in mid-2018, despite a higher MPR path of some 3 percentage points.

- *The BoG should remain vigilant and exercise caution in its easing cycle, avoiding abrupt changes in the MPR going forward.*

23. A coherent and transparent foreign exchange (FX) policy is an important pillar of a credible IT framework. The BoG's net FX sales to banks have contributed to low reserve coverage. In such an environment, the exchange rate should be allowed to adjust in line with fundamentals while FX interventions should be fully consistent with BoG's IT regime. At the same time, the BoG should continue its efforts to develop and deepen the FX market, building on progress achieved last year. Surrender requirements for gold and cocoa export proceeds were eliminated and FX auctions were introduced to intermediate the FX from the cocoa pre-payment loan to the market in a transparent and market-determined way (though shortcomings in auction implementation undermined their effectiveness and led the BoG to discontinue them in March). Staff supports the further elimination of the remaining capital flow management measures (CFMs) as balance of payments pressures recedes.¹⁰

- *The BOG should strengthen its FX policy by limiting its interventions to address disorderly market conditions and not supporting directly the value of the cedi. Reviving efforts to develop and deepen the FX market will help reduce volatility and bolster the credibility of the IT framework.*

24. Financial sector problems have hampered the transmission of monetary policy and created risks to the BOG's balance sheet. Banks' weaknesses have contributed to a decline in credit to the private sector and higher lending spreads, complicating the MPR transmission to market rates. In addition, the BoG has extended a significant amount of emergency liquidity assistance (ELA) to several banks, some of which is uncollateralized, posing risks to its balance sheet. This official liquidity injection, together with banks' reluctance to extend new credit, has led to a large build-up of bank liquidity, which the BoG has had to absorb (the net outstanding stock of BoG's liquidity absorptions stood at around GHc 4.5 billion, or over 2 percent of GDP, in May 2017).

- *The BOG should reduce structural excess liquidity in the financial system, while reducing risks to its balance sheet stemming from ELA operations. It should ensure that all ELA exposures are properly collateralized, with prompt supervisory response in cases of non-compliance by banks.*

¹⁰ The authorities introduced three CFMs in response to increasing external vulnerabilities in early 2014. They have since rolled back or eased them in line with the Fund's institutional view on capital flows, with one CFM (conversion requirement of bank withdrawals) still in place.

Authorities' views

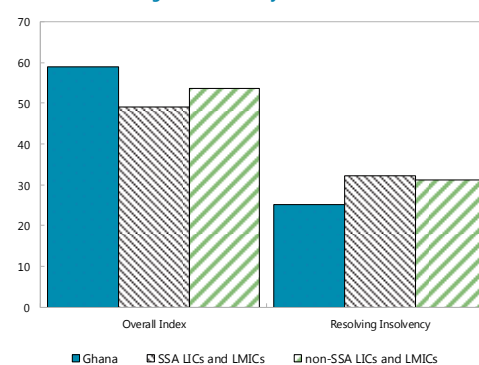
25. The authorities broadly shared the outlook for inflation and the monetary policy stance, though with more balanced risks. They agreed that eliminating fiscal dominance will enhance the effectiveness of the IT framework—as shown by their adherence to the zero-financing ceiling in 2016; however, further amendments to the BoG Act would not be feasible at this juncture. They considered the auction mechanism to be ill-suited for FX intermediation but acknowledged the need to improve FX management, for which they requested technical assistance. Finally, they expressed concern about outstanding ELA exposures and emphasized their commitment to enforcing the relevant guidelines through the identification of additional collateral and a gradual reduction (in part incentivized via penalty rates) of all outstanding facilities.

C. Securing Stronger Growth

Structural reforms—especially in the financial and energy sector—are crucial to reignite and sustain growth. A lasting expansion of the non-oil economy will help absorb the growing labor force.

26. Ghana generally enjoys a favorable business environment in comparison to its peers, although longstanding challenges continue to constrain private sector activity. Ghana outperforms SSA and non-SSA LICs and LMICs in the latest World Bank Doing Business survey. But business surveys consistently identify lack of access to affordable credit, inadequate power supply and high cost of utilities topping the list of key constraints to growth. Thus, the financial and energy sectors stand out for their key role in enabling stronger growth.

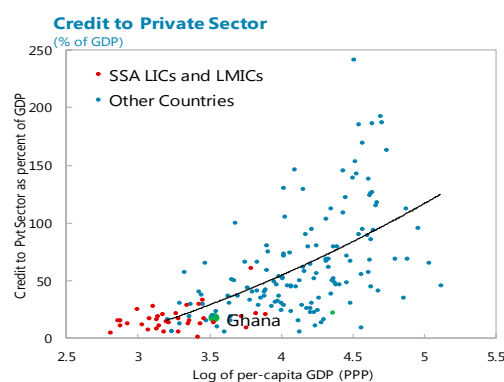
World Bank Doing Business Survey: Distance to Frontier



Source: World Bank Doing Business.

Building a healthier financial sector

27. Financial depth and inclusion remain limited. Credit to the private sector as a percent of GDP is well below what one would expect for a country with Ghana's level of income, reflecting low depth in the financial market and crowding out by the public sector's borrowing. While access to affordable credit is a long-standing problem, financing constraints deepened in 2016, with negative real growth in private sector credit and sharply increased spreads between lending and deposit rates (from already high levels).



Source: WDI and IMF Staff estimates.

28. Greater financial intermediation hinges on a stronger financial sector. While aggregate financial soundness indicators remain adequate, banks' capital adequacy and NPL ratios reflect

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significant heterogeneity. The 2016 Asset Quality Review (AQR), completed in March 2017, highlighted substantial provisioning shortfalls in a subset of banks (with capital needs of around 1.6 percent of GDP). Robust implementation of the Financial Sector Roadmap, including recapitalization of undercapitalized banks and timely resolution of insolvent institutions without prospects of private sector rehabilitation, remains imperative to ensure the soundness of the Ghanaian financial sector and safeguard the interests of depositors.¹¹ Deficiencies in AML/CFT were also highlighted in the 2017 Mutual Evaluation Report.¹²

- *The immediate and urgent priority is to bolster financial stability through full implementation of the BoG's Financial Sector Roadmap. In the medium term, key priorities should be strengthening the supervisory and regulatory framework of the banking system through introduction of risk-based supervision with the implementation of the Basel framework. Steps should also be taken to strengthen the AML/CFT framework.*

29. Rehabilitation of microfinance institutions (MFIs) will support financial inclusion.

Although MFIs only account for a small portion of the Ghanaian financial sector, their number has grown significantly over time (to 573 in December 2016) leading the BoG to temporarily cease granting new licenses in June 2017. However, many MFIs are not compliant with minimum paid-up capital and there are indications that some MFIs are operating outside the scope of BoG supervision.

- *Stronger oversight and more rigorous enforcement of existing regulations and resolution of non-compliant institutions are key priorities to ensure that MFIs contribute to inclusive growth.*

Tackling inefficiencies in the energy sector

30. Power shortages have been a recurring problem in Ghana over the past few decades, taking a heavy toll on growth. In recent years demand far outpaced added new capacity, with electricity-intensive sectors like manufacturing and mining being particularly affected.

31. The financial viability of the energy sector remains a key issue. Some positive steps were taken in the past, including electricity tariff adjustments and introduction of the Energy Sector Levy Act (ESLA).¹³ But continued inefficiencies and poor collections have taken a heavy toll on energy companies' balance sheets, standing in the way of investment and capacity expansion, and creating contingent liabilities for the government, as underlined by a recent audit of SOE financial operations (Box 3 and below). The government is currently considering issuing an energy bond (GHc 10 billion,

¹¹ See [IMF Country Report No. 16/321](#).

¹² Deficiencies relate to the effectiveness of risk-based AML/CFT supervision, implementation of preventive measures, in particular for designated non-financial businesses and professions, and reporting of suspicious transactions to the financial intelligence unit.

¹³ The ESLA was enacted in 2016 to, among others, address the legacy debt of the oil refinery and support the payment of power utility debts. These levies serve as collateral and funding for debt restructuring with banks.

or about 5 percent of GDP) backed by ESLA revenues to address legacy liabilities and strengthen the sector's financial position.¹⁴

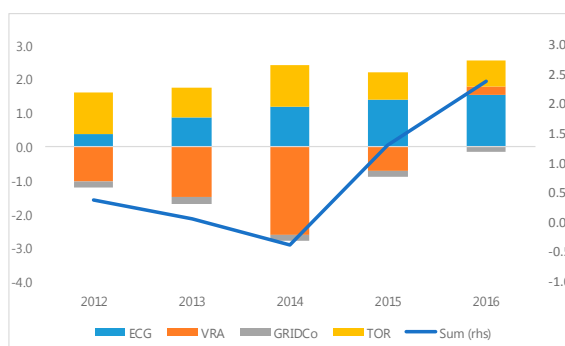
- A holistic strategy is urgently needed to ensure the energy sector's financial viability (see Program Issues). A well-designed energy bond could be part of such strategy, but resolving legacy debt problems will not prevent a further build-up of new liabilities without restoring SOEs' profitability.

Box 3. The Precarious Finances of the Energy Sector SOEs

The SOEs in the energy sector continue to face significant challenges. A recently completed audit conducted by Ernst and Young (EY) (MEFP ¶42), estimated the sector's debt at 13 percent of GDP at end-June 2016 (over 50 percent SOEs' debt to banks, 30 percent arrears to suppliers, and 17 percent inter-sectoral debt). Poor quality of financial data and missing data undermined debt validation. Key highlights include:

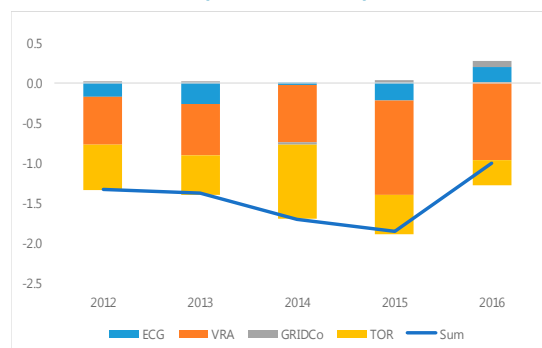
- The overall net income position has marginally improved (left figure), reflecting the tariff increase at end-2015 and the restructuring of Volta River Authority (VRA) and Tema Oil Refinery (TOR) debt via the introduction of the ESLA. However, it still amounted to -1 percent of GDP in 2016.
- The VRA and the Electricity Company of Ghana (ECG) face viability issues. For the VRA, an estimated 32 percent upward tariff revision would be needed to break even. For the ECG, while the end-2015 tariff increase has helped (as shown by the profit posted in 2016), its receivables have continued to accumulate. The inability to collect billed amounts and the subsequent accumulation of payables has cascading effects across the whole utility value chain, especially on the VRA. Thus, the sector's net payables have increased again since 2014, to 2.3 percent of GDP at end-2016 (right figure).
- Other energy companies, including GRIDCO (the transmission company), Ghana Gas, and individual power producers depend on the VRA's financial viability.
- Stronger SOE financial oversight will improve their financial viability. EY is finalizing a financial reporting template to help monitor SOEs' financial situations. Additional measures are being considered, also supported by the World Bank and the Millennium Challenge Corporation (see Program Issues).

Net Payables (Percent of GDP)



Source: Companies' financial statements.

Net After Tax Profit (Percent of GDP)



Source: Companies' financial statements.

¹⁴ This bond will also cover previously restructured bank loans, thus releasing ESLA revenues.

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Authorities' views

32. The authorities agreed with staff about the main factors constraining growth. Their aim is to make Ghana the most business-friendly country in Africa and they are taking steps to improve and enhance the business environment (MEFP ¶44-48). They are committed to restoring the financial stability of the banking system through full implementation of the Roadmap. The MOF in collaboration with the Ministry of Energy and Power is also working on a strategy to improve the performance of SOEs in the utility sector. In their view, issuing an energy bond could be a way to unlock cash for the sector and pave the way for its restructuring.

PROGRAM ISSUES

Given the significant slippages in 2016, achieving the program's overall stability objectives will need more time than originally envisaged, requiring an extension of the program by one year.

33. The program for 2017 is based on strong measures (including five prior actions, see below) to start correcting imbalances and kick-start reforms. But one year would not be sufficient to achieve the original program objectives. An extension of the program by one year is therefore needed to entrench adjustment and structural reforms. Reviews will be rephased over the extended program period with disbursements distributed evenly, including the disbursement for the fourth review. The fifth review will have a test date of end-August 2017.

A. Fiscal Policy

34. The new government intends to restore fiscal discipline and revamp fiscal reforms. The ECF program targets a deficit of 6.3 percent of GDP, consistent with the 2½ percent primary adjustment needed in 2017 (see ¶17). The frontloaded fiscal consolidation is expected to result in a decline in the debt to GDP ratio from 73.4 percent in 2016 to 70.5 percent this year.

35. The 2017 budget contains some promising elements (Box 4), but delivering the deficit target of 6.3 percent of GDP in 2017 requires additional measures.

Discretionary goods and services spending and domestically-financed capital outlays will be reduced by 0.8 percent of GDP relative to the budget. Following the mid-year budget review presented to Parliament on July 31, expenditure envelopes were resized and lower allotments were recorded in the GIFMIS to align commitments to the revised expenditure ceilings (prior action, MEFP ¶19). Large part of the savings will come from multi-year projects budgeted in 2017 but

Comparison of Budget and Program
(percent of GDP)

	Budget	Prog.	Prog.	Prog.
	2017	2017 H1	2017	2018
Revenues ¹	19.8	8.4	18.9	18.6
Expenditure	26.6	11.0	25.2	22.4
Compensation of employees	7.9	3.9	7.9	7.8
Interest	6.9	3.1	6.5	5.9
Transfers	4.6	1.9	4.4	4.3
Goods and services	1.7	0.5	1.3	1.2
Capital expenditure	3.6	1.4	3.2	3.3
Other expenses ²	1.8	0.3	1.8	0.0
Overall Balance	-6.8	-2.6	-6.3	-3.8

¹ Revenues are net of GRA retentions and tax refunds, and include net IGFs channeled through the budget.

² Includes repayment of arrears and unpaid commitments.

with longer implementation. Social spending will be protected, increasing by 48 percent relative to 2016. Tax revenues were cumulatively about 0.2 percent of GDP below target through April 2017. The government has committed to take contingency measures if underperformance continues (MEFP 120). The further adjustment of 2 percent of GDP in 2018 will be achieved through keeping expenditure contained, lower interest and arrears payments, and higher oil revenues.

Box 4. Key Elements of the 2017 Budget

In the authorities' presentation, the 2017 budget targets a deficit of 6.5 percent of GDP.¹ Key measures include:

- *Reducing budget rigidities.* Recently passed legislation caps transfers to statutory funds to 25 percent of tax revenues, though allowing the MOF to top up priority funds. In the 2017 budget, the National Health Fund was topped up to protect social spending. The new law also allows the MoF to review the operations of the statutory funds and close those that have become obsolete. Expected impact: lower earmarking by 0.9 percent of GDP in 2017.
- *Rationalizing use of Internally Generated Funds (IGFs).* The budget also channels a larger portion of IGF revenues through the central government budget (structural benchmark under the 3rd Review). Expected impact: larger non-tax revenue by 0.6 percent of GDP.
- *Improving tax administration and compliance* (see also MEFP 129-32). The budget aims at curtailing tax exemptions (0.5 percent of GDP) and tightening compliance (0.3 percent of GDP).
- *Eliminating nuisance taxes.* Several taxes perceived to hinder private sector activity, were eliminated or reduced. Expected impact: lower revenue by 0.4 percent of GDP (largely from the abolition of VAT on financial services and reduction in the special petroleum duty).
- *Realigning priority spending.* Under the new Infrastructure for Poverty Eradication Project each of the country's 275 constituencies would be allocated \$1 million. Free secondary high school will start in October. Teachers and nurses training allowances were restored, and a National Identification Scheme and Venture Capital Fund are being launched. Expected impact: difficult to quantify as partly substitutes existing current and capital spending (gross cost of about GHc 2 billion, or 1 percent of GDP, if implemented in one year).

Policy Measures in 2017 Budget

(estimated yield in 2017)

	percent of GDP
Reduce transfer of earmarked revenue relative to baseline	0.9
Channel larger share of IGFs through budget	0.6
Provide tax relief to spur private sector growth by abolishing:	-0.4
o/w abolish VAT of financial transactions	-0.1
o/w reduce Special Petroleum Tax rate from 17.5 to 15 percent	-0.1
Reduce exemptions	0.5
Improve compliance with special tax audit and through data matching	0.3
Sale of Government shares in select listed companies	0.2
Divestiture of select thermal plants	0.9

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ The 6.5 percent of GDP includes 0.2 percent of GDP in sales of shares (below-the-line operation in staff's presentation). In addition, if revenue projections reflected staff estimates, the deficit would be equal to 7.1 percent of GDP.

36. The program also envisages ambitious structural reforms to be implemented over the next year (MEFP Table 5). Key areas being targeted include:

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- *Reducing budget rigidities* (MEFP ¶35). Following the passage of the Earmarked Funds Capping and Realignment Act in April 2016 (**prior action**), the authorities intend to continue streamlining earmarking. They will also start publishing the budgets of statutory funds, to bring more oversight and transparency (structural benchmark).
- *Streamlining tax incentives* (MEFP ¶29). The government plans to reform tax incentives, focusing on those that are largely redundant, inequitable, and prone to revenue leakages. Eliminating the source of these leakages—such as tax holidays and reduced income tax rates—will be critical, along with eventually replacing them with policy instruments targeting investment more directly.
- *Enhancing tax compliance* (MEFP ¶29-32). Compliance measures and reduced exemptions are projected to deliver close to 0.8 percent of GDP in additional revenues. The recent replacement of the top Ghana Revenue Authority (GRA) management is a sign of the government's commitment in this area.¹⁵
- *Strengthening the Ministry of Finance* (MEFP ¶34). The MoF has embarked, with Fund's technical assistance, on a review of its functions to adequately reflect changes brought by increased automation and the new PFM Act in its organizational structure; it will prepare regulations for the PFM Act, reflecting its reengineered business processes.
- *Enhancing fiscal transparency and expenditure controls* (MEFP ¶36-37). The government will further expand the coverage of GIFMIS; review the role of subvented agencies; and improve control and oversight of payroll across agencies. A swift implementation of the Treasury Single Account (TSA) will help strengthen cash and debt management. Broader coverage of GIFMIS and implementation of the TSA should also help improve the quality of fiscal data and the consistency between above- and below-the-line reporting.

37. The government is committed to clearing all arrears (MEFP ¶22). Additional arrears of GHc 1,048 million were accumulated in 2016, bringing the total arrears recognized under the program to GHc 3.2 billion, all of which will be cleared in 2017.¹⁶ In addition, the Auditor General has initiated an audit of unpaid claims incurred in 2016 (**prior action**), which will review whether proper processes were followed in authorizing these commitments. The audit results are expected to be finalized by October. To the extent that new arrears are confirmed, additional measures, potentially in the area of tax expenditures (see ¶18), will need to be identified to meet the 2018 fiscal targets. The audit is also expected to identify weaknesses in the PFM systems and the government intends to prosecute violations.

38. Problems in the SOE sector are being addressed (MEFP ¶41-42). The financial viability analysis of energy SOEs (Box 3) (prior action) is only an initial step. The publication of the first

¹⁵ Forthcoming recommendations from the Fund's Tax Administration Diagnostic Assessment Tool (TADAT) will also help strengthen revenue collections.

¹⁶ Of the total unpaid claims from 2016 worth GHc 5 billion (¶6), only those approved in the GIFMIS (GHc 1.6 billion) and not repaid in Q1 2017 are recognized as arrears under the program, as per the Technical Memorandum of Understanding. The validity of the remaining GHc 3.4 billion is uncertain as it bypassed the GIFMIS.

aggregate report on SOEs performance is a signal of the government's intention to strengthen its oversight of SOEs. The government also agreed to include an indicative target on the overall balance and gross payables of the two main SOEs, ECG and VRA, to enhance transparency on their operational performance, and start improving their cash position. To this end, the government will re-institute a clearinghouse system to settle cross-arrears between and across the government and SOEs to ensure timely payments, which will improve SOEs' liquidity (structural benchmark).

39. Gross financing needs in 2017 will exceed 20 percent of GDP and largely be covered through domestic market financing, with no planned Eurobond. Net financing needs will be met through medium-term securities, while the stock of T-bills will be reduced from over 10 percent of GDP to around 6 percent of GDP, in line with the authorities' strategy to lengthen debt maturities. Adequate cash buffers will be kept to exchange bonds maturing in 2018 for new 3- and 5-year benchmark bonds. The authorities bought back part of the Eurobond maturing in 2017 using the proceeds raised through the new Eurobond issued in September 2016, reducing the roll-over risk on external debt for 2017.

Fiscal Financing Needs (in percent of annual GDP, unless otherwise indicated)			
	2016 Est.	2017 Proj.	2018 Proj.
Gross financing needs	20.3	20.7	12.1
Domestic primary balance ¹ (-)	-1.3	-1.5	-3.9
Interest payments	6.9	6.5	5.9
Amortization	14.7	15.7	10.1
External	2.8	2.7	1.8
Domestic (T-bills)	9.5	8.1	4.7
Domestic (1 year and over)	2.5	5.0	3.6
Financing	20.3	20.7	12.1
Program grants and loans	0.1	1.0	0.4
Grants	0.1	0.0	0.0
Loans	0.0	1.0	0.4
External commercial borrowing (Eurobond)	1.8	0.0	0.0
Domestic debt	17.8	19.3	11.9
Short term	9.8	5.6	4.3
1 year and over	8.1	13.7	7.6
Non-marketable	0.0	0.0	0.0
Use / net sale of financial assets	-2.1	0.4	-0.2
Other ²	2.7	0.0	0.0
Memorandum items:			
Government bank deposits (stock)	5.5	5.3	4.4
Bank of Ghana	2.7	3.0	2.5
Commercial Banks	2.8	2.3	1.9
Government marketable securities (stock)	23.3	25.8	25.2
Short term	10.5	5.9	4.6
1 year and over	12.8	19.8	20.7
of which: held by non-residents	6.9	11.0	11.4
in USD million	2,760	4,745	5,384

Sources: Ghanaian authorities and IMF staff estimates and projections.

¹ Primary balance (measured from financing), excluding grants and foreign-financed capital expenditure.

² 2016 reflects securitization of 2.7 percent of GDP of negative balances.

B. Monetary Policy

40. The authorities are committed to no central bank financing of government under the program (MEFP ¶24). Zero financing is also guaranteed by a memorandum of understanding between the MoF and the BoG. But as fiscal dominance remains a key medium-term risk to inflation, further amendments to the BoG Act should be passed to anchor the IT framework's credibility (structural benchmark for September 2017, as established at the time of the Third Review) and bolster the BOG independence.¹⁷ The new government is of the view that such amendments would not now receive parliamentary support and discussions will continue in the context of the next review.

41. Performance on inflation will continue to be monitored under the program through a monetary policy consultation clause (MPCC).

¹⁷ As also noted by the IMF's safeguards assessment, other amendments to the Act are also needed to enhance the BoG's autonomy to (i) prohibit issuance of guarantees; (ii) ensure government recapitalizes the BoG in case of loss; (iii) cease membership of public servants with voting rights on the Board; and (iv) prohibit ownership of shares in non-core financial institutions.

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C. Financial System

42. The revised program targets further steps to strengthen the banking sector. The BoG is in the process of implementing remedial actions in response to the AQR, in accordance with the legal framework. Banks found to be undercapitalized have provided the BoG with timebound recapitalization plans to restore capital adequacy to minimum levels (MEFP ¶26-27). While some have already managed to improve their financial position, including via loan recoveries and the issuance of new capital instruments, others continue to face sizable recapitalization needs. In accordance with the legal framework, insolvent banks unable to demonstrate credible recapitalization measures will need to be resolved (**prior action**). Continued vigilance remains necessary as the implementation of corrective actions progresses.

43. The BoG is committed to clean up banks' balance sheets and reduce the utilization of ELA (MEFP ¶26). The stronger focus on banks' collection efforts, combined with more timely write-offs, will help reduce the outstanding volume of distressed debt on banks' balance sheets and thus unlock the bank lending channel. To prevent entrenchment of exceptional liquidity support, the BOG will seek to strictly enforce banks' ELA repayment plans—prepared in accordance with the BoG's new guidelines for temporary liquidity support. In particular, the BoG will direct its supervisory toolkit to banks that have not been able to mobilize acceptable collateral, and utilize its formal powers (which include restrictions on loan growth) to encourage accelerated repayment timeframes.

44. A comprehensive action plan will help restructure the microfinance sector. The plan (MEFP ¶28, structural benchmark for December 2017) will provide for stronger supervision and regulation of the sector, including the introduction of higher capital and liquidity requirement and more stringent standards pertaining to governance and risk management. The protection of small depositors will be a key objective of the action plan.

45. Steps will be taken to operationalize the framework for crisis management and bank resolution. The new Banks and SDI Act has provided the BoG with enhanced powers to deal with weak institutions. But further amendments, to be prepared in consultation with Fund staff, will be necessary to address residual weaknesses (MEFP ¶27, structural benchmark for October 2017). An action plan to implement the new Deposit Protection Act is also a key deliverable; however, the scheme must not enter into force before financial sector vulnerabilities have been addressed, institutional capacity has been established and initial funding has been mobilized. Legal amendments to the Deposit Protection Act, aimed to strengthen the legal underpinnings of the scheme, are expected to be submitted to Parliament by December 2017 (structural benchmark).

D. Program Modalities and Financing Assurances

46. Three periodic end-June 2016 PCs were missed, and the continuous PC on non-accumulation of domestic arrears was breached in 2017 Q1 (see MEFP ¶12 and Table 1). Given the redesigned program, including the extension, and actions taken to correct the slippages, staff support the government's request for waivers for nonobservance of these PCs. Most structural

benchmarks set at the time of the third review were also missed, though some of these have been implemented with delay (see MEFP ¶13 and Table 3).

47. It is proposed that the conditionality under the ECF arrangement be reset and disbursements rephased. Most of the quantitative performance criteria (PCs) and indicative targets (ITs) for the remainder of the year will remain unchanged, as well as the bands for the MPCC. In addition, a new IT will be introduced on the performance of two SOEs (December 2017) to address the vulnerabilities of the energy sector. Going forward, the non-accumulation of domestic arrears PC would be modified to a periodic PC given difficulty in monitoring it on a continuous basis. New structural benchmarks (SBs) would be set for the period through June 2018, covering PFM and other fiscal reforms, including increasing oversight over SOEs, and financial sector reforms (MEFP, Table 5).

48. The non-concessional debt limits for 2017 have been adjusted (MEFP ¶139). Debt limits for debt management purposes will be set to zero as no Eurobond issuance is planned. On the other hand, the debt limits for key projects will be raised by around US\$500 million relative to the end-June IT established under the Third Review, in response to the authorities' aspiration to accelerate Ghana's economic growth and promote poverty reduction. The key project list remains unchanged except for three new World Bank's project loans; the list will be revised in the context of the fifth review, reflecting the government's development projects currently under preparation. Further, a separate limit for the oil company (GNPC) will be re-established to accommodate its delayed US\$350 million loan. The indicative target for concessional external loans will be set at US\$700 million, covering World Bank's loans including budget support of US\$200 million.¹⁸

49. The program is fully financed and Ghana's capacity to repay the Fund is adequate (see Tables 6 and 11).

- Although Ghana still faces significant financing needs, its external position has been gradually improving reflecting the current account adjustment and robust nonresidents' appetite for Ghanaian debt. Both multilateral and bilateral donors reaffirmed their financial support—with firm commitments for the next 12 months—as the new government assured its commitments to restoring macroeconomic stability under a Fund-supported program. In this context, the Fund's disbursements would contribute to closing the remaining external financing gaps over the program period while bringing international reserves up to comfortable levels, with the remaining access under the ECF arrangement rephased evenly over the remaining five reviews.
- Staff supports the authorities' request to make the use of Fund's disbursements associated with the fourth and fifth reviews for budget support with a view to support BOP needs and minimize the cost of budget financing. The disbursements will be made directly to the government consistent with BoG's zero financing to the latter. A Memorandum of Understanding has been signed between the government of Ghana and Bank of Ghana to safeguard Fund's resources.

¹⁸ Starting in July 2017, the World Bank is supposed to provide credits to Ghana on concessional terms under the new 3-year financing program (IDA18).

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- Capacity to repay the Fund is adequate, with maximum outstanding liabilities to the Fund at 2.3 percent of GDP and 5.3 percent of exports. Ongoing external and domestic adjustment would also bolster Ghana's capacity to repay, along with stronger official and private external financing.

STAFF APPRAISAL

Se wo were fi na wosankofa a yenkyi

It is not wrong to go back to what you have forgotten



50. Ghana understandably looks at its future with great confidence and hope, though lessons from the past should not be forgotten. Despite significant gains in growth and poverty reduction, the country continues to struggle with maintaining macroeconomic stability. Repeated episodes of large fiscal slippages in the past have transmitted significant volatility to the economy, contributing to sizable depreciation, high inflation, and widening domestic and external imbalances, including an increasing public debt burden. Various attempts by earlier governments to correct imbalances have been short-lived, as good intentions have floundered against the challenge of budget rigidities, economic inefficiencies, and vested interests; and performance under the ECF program has been disappointing. In rightly setting its aims high, the government should not forget past lessons and properly sequence the implementation of its election promises, especially as it inherited a weakened economy; and clearly and consistently communicate its policies to anchor expectations and lay the seeds of their lasting success.

51. The new government has taken some initial steps and the economy is showing signs of recovery, though risks remain tilted to the downside. Growth is projected to increase in 2017, on the back of a significant increase in oil production; investors have shown strong appetite for Ghana's debt; inflation has been declining and projected to fall to the upper band of the inflation target by year-end; the exchange rate has stabilized after a period of volatility during in the first quarter; and the BoG is set to add \$800 million to its net reserves in 2017, the largest increase since 2011. Despite the recent improvement in the external position, Ghana still faces large financing needs and external imbalances due in large part to past fiscal slippages. The external position remains vulnerable, and Ghana's limited buffers could be severely tested in case of adverse market reactions (for example, if policy implementation fell short of commitments) and deteriorating macroeconomic conditions.

52. In this encouraging yet fragile environment, credible and sustained fiscal adjustment to reverse the debt dynamics and reduce financing needs is critical. The government has started capping revenue earmarking—a key source of budget rigidities—and limiting exemption abuses. The submission to Parliament of a mid-year budget review with revised spending limits signals the government's commitment to achieve the deficit target of 6.3 percent of GDP agreed under the program. New spending programs—such as free secondary education and the one million per constituency initiative—should also be carefully phased in, not only to ease spending pressures but also to ensure best value for money and proper targeting. Well-planned and sequenced implementation is the only way to make these programs sustainable over time. Still, the government needs to stand ready to adopt contingency measures, such as further spending rationalization or phased implementation of budgeted tax cuts, if needed to safeguard the targeted budget deficit.

53. Fiscal structural reforms need to underpin adjustment and help create fiscal space. The 2016 fiscal slippage has raised serious concerns about the authorities' ability to rein in spending, despite continued PFM reforms. Building on the findings of the ongoing audit of unpaid expenditure claims, the authorities are strongly encouraged to take corrective actions. It will be critical to modernize the MOF functions, including by fully implementing the PFM Act, pursuing stronger cash management and monitoring fiscal risk. Stronger revenue administration will be needed to help combat abuses and corruption and create fiscal space for investment and social programs. Improvements will have more lasting impact on revenue mobilization once accompanied by policy changes aimed at reducing untargeted and regressive tax expenditures.

54. Increasing risks from the inefficient energy sector need to be tackled decisively. A financial audit of the energy sector SOEs has confirmed continued losses from inefficient operations and collections, leading to a web of cross-arrears, cashflow shortages, and rising debts—with spillover effects on the financial system and growth. Ongoing debt restructuring efforts can help in disentangling liabilities, but are no substitute to improving SOE management. In staff view, any issuance of an energy sector bond should be preceded by the adoption of concrete measures to ensure the SOEs' financial viability, including stronger monitoring and oversight.

55. Improved debt management can help, but is no panacea. While efforts to reprofile domestic debt toward longer maturities are welcome, there is a limit to these operations' impact on debt dynamics; and they may be costly given the recent steepening of the yield curve. Ultimately, there is no substitute for plain-vanilla above-the-line fiscal adjustment to lower public debt in a sustainable way, despite the benefits of well-targeted below-the-line operations.

56. Monetary policy has a key role to play in steering the economy back to stability. The recent decline in inflation is encouraging but cannot be taken for granted, given still elevated inflation expectations and the risk of further exchange rate shocks. The BoG must remain steadfast in pursuing its core mandate of price stability, and the MPC needs to remain vigilant regarding upside risks to inflation and cautious in its easing cycle. At the same time, the IT framework needs to be strengthened further, through elimination of fiscal dominance and development of the FX market, to help entrench price stability, once achieved.

57. The BoG now faces a great opportunity to build a more robust financial sector, well-positioned to support growth and greater financial inclusion. As financial stability is key to promote sufficient and affordable credit to the economy, the prompt implementation of remedial actions in response to the AQR, including ongoing recapitalization of undercapitalized banks and resolution of banks that cannot be rehabilitated, is a key priority for the near term. Medium-term steps should be focused on strengthening the BoG's supervisory and regulatory framework—including through the adoption of additional amendments of the Banks and SDI Act, the implementation of the Basel II/III capital accord and steps to address deficiencies in the AML/CFT framework. Addressing the NPL overhang is another key priority for spurring sustainable growth.

58. While risks to program implementation remain, Ghana's reform efforts deserve support. Given the slippages in 2016 and the inevitable delays associated with the change in

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government, achieving the ECF original program objectives now warrants an extension of the program by one year. The additional year will allow an ambitious yet feasible adjustment path to bring the budget deficit to 3.8 percent of GDP and the debt on a clearly declining trajectory. The Fund, in collaboration with the WB and other development partners, stands ready to help, also in the context of the recently launched Compact with Africa. Staff supports the completion of the fourth review, waivers for the non-observance of performance criteria, and the request for program extension by one year, with even rephrasing of the remaining access. Staff proposes that the next Article IV consultation take place in accordance with the Decision on Article IV Consultation Cycles (Decision No. 14747(10/96), as amended).

Proposed Decision

The following decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board:

1. Ghana has consulted with the Fund in accordance with paragraph 4.C(b) of the arrangement for Ghana under the Extended Credit Facility (EBS/15/25, 3/23/15) (the “ECF Arrangement”) in order to review program implementation and reach further understandings concerning the conditions for disbursements under the ECF Arrangement.
2. The letter dated July 31, 2017 from the Minister for Finance and the Governor of the Bank of Ghana (the “July 2017 Letter”), along with its Memorandum of Economic and Financial Policies (the “July 2017 MEFP”), and Technical Memorandum of Understanding (the “July 2017 TMU”) shall be attached to the ECF Arrangement, and the letter dated March 20, 2015 together with its attachments, as supplemented and modified, shall be read as further supplemented and modified by the July 2017 Letter and its attachments.
3. Accordingly, the ECF Arrangement for Ghana shall be amended as follows:
 - a. In sub-paragraph (a) of the opening paragraph of the ECF Arrangement, the words “three-year period” shall be replaced with the words “four-year period”.
 - b. In paragraph 1(a) of the ECF Arrangement, the words “For a period of three years from the date of approval” shall be replaced with the words “For a period of four years from the date of approval”.
 - c. In paragraph 1(b) of the ECF Arrangement, the words “the equivalent of SDR 415.125 million” shall be replaced with the words “the equivalent of SDR 332.1 million”.

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- d. In paragraph 2(e) of the ECF Arrangement, the words “in an amount equal to SDR 83.025 million” shall be replaced with the words “in an amount equal to SDR 66.42 million” and “October 15, 2016” shall be replaced with “April 15, 2017”.
- e. In paragraph 2(f) of the ECF Arrangement, the words “in an amount equal to SDR 83.025 million” shall be replaced with the words “in an amount equal to SDR 66.42 million” and “April 15, 2017” shall be replaced with “September 15, 2017”.
- f. A new paragraph 2(g) of the ECF Arrangement shall be added to read as follows:
“(g) the seventh disbursement, in an amount equivalent to SDR 66.42 million, will be available on or after February 15, 2018, at the request of Ghana and subject to paragraphs 4, 5 and 6 below;”
- g. All references to the 6th disbursement shall be deleted from paragraph 4C.
- h. A new paragraph 4.D of the ECF Arrangement shall be inserted to read as follows:
“D. Ghana will not request the sixth and seventh disbursements under the ECF Arrangement, specified in paragraphs 2(f) and 2(g) above:
(a) if the Managing Director of the Trustee finds that with respect to the sixth disbursement, the data as of August 31, 2017 and with respect to the seventh disbursement, the data as of December 31, 2017, indicates that:
 - (i) the floor on the primary cash fiscal balance of the government, or
 - (ii) the ceiling on wages and salaries; or
 - (iii) the floor on the net international reserves of the Bank of Ghana; or
 - (iv) the ceiling on the net change in the stock of domestic arrears; or
 - (v) the ceiling on non-accumulation of domestic arrearsas set out in Table 2 of the July 2017 MEFP and further specified in the July 2017 TMU is not observed; or

- (b) until the Trustee has determined that with respect to the sixth disbursement, the fifth program review and with respect to the seventh disbursement, the sixth program review, referred to in paragraph 49 of the July 2017 MEFP, has been completed.”
- i. Paragraph 5(c) of the ECF Arrangement will be deleted.
 - j. In paragraphs 5(a), 5(b), and 5(d) of the ECF Arrangement, references to “Table 2 of the September 2016 Supplemental Letter” shall be replaced by “Table 2 of the July 2017 MEFP” and “September 2016 TMU” shall be replaced by “July 2017 TMU”.
 - k. In paragraph 6 of the ECF Arrangement, references to “Table 2 of the September 2016 Supplemental Letter” shall be replaced by “Table 2 of the July 2017 MEFP” and “December 2015 TMU” shall be replaced by “July 2017 TMU”.
4. The Fund decides that the fourth review contemplated in paragraph 4.C(b) of the ECF Arrangement is completed, and that Ghana may request the disbursement of the fifth loan referred to in paragraph 2(e) of the ECF Arrangement notwithstanding the nonobservance of the end-June 2016 performance criteria on the floor on the primary cash fiscal balance of the government, the floor on the net international reserves of the Bank of Ghana, and the ceiling on the net change in the stock of domestic arrears and the continuous performance criterion on non-accumulation of domestic arrears on the condition that the information provided by Ghana on the performance under these criteria is accurate and on further condition that the information on the implementation of measures specified as prior actions in Table 4 of the July 2017 MEFP is accurate.

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Table 1. Ghana: Selected Economic and Financial Indicators, 2014–22

	2014	2015	2016		2017		2018	2019	2020	2021	2022
			Prog.	Est.	Prog.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(Annual percentage change; unless otherwise indicated)											
National accounts and prices											
GDP at constant prices	4.0	3.8	3.3	3.5	7.4	5.9	8.9	5.9	5.1	5.2	5.4
Non-oil GDP	4.0	4.0	3.7	4.8	4.5	4.0	5.0	6.0	6.0	6.0	6.0
Oil and gas GDP	4.5	0.9	-2.4	-16.9	57.0	42.5	64.9	5.5	-3.1	-2.7	-1.7
Real GDP per capita	1.4	1.2	0.8	0.9	4.7	3.3	6.1	3.3	2.5	2.6	2.7
GDP deflator	16.7	16.4	15.3	18.1	10.1	14.2	9.6	9.1	7.4	6.3	6.3
Consumer price index (annual average)	15.5	17.2	17.1	17.5	10.0	11.8	9.0	7.0	6.0	6.0	6.0
Consumer price index (end of period)	17.0	17.7	13.5	15.4	8.0	10.0	8.0	6.0	6.0	6.0	6.0
Consumer price index (excl. food, end of period)	23.9	23.3	17.8	20.2	10.5	13.1	8.0	6.0	6.0	6.0	6.0
(Percent of GDP)											
Gross capital formation ¹	18.8	16.7	22.5	14.5	23.2	13.7	14.7	15.8	17.0	18.2	18.2
Government	5.7	5.2	3.1	4.9	2.9	3.2	3.3	3.5	3.7	3.8	3.9
Private	12.3	10.7	18.7	8.9	19.7	9.9	10.9	11.9	12.9	14.0	14.0
National savings	9.3	9.0	16.1	7.8	17.1	7.9	9.2	10.7	12.3	13.6	13.9
Government	-5.3	-0.2	-0.7	-4.0	0.9	-1.3	-0.5	0.2	0.6	0.9	1.1
Private ²	14.6	9.2	16.8	11.8	16.2	9.2	9.7	10.5	11.6	12.8	12.8
Foreign savings	-9.5	-7.7	-6.4	-6.7	-6.1	-5.8	-5.4	-5.0	-4.7	-4.5	-4.3
Central government budget (cash basis)											
Revenue	18.4	19.6	19.4	17.3	19.2	18.9	18.6	19.0	19.1	18.9	18.7
Expenditure	28.5	26.6	24.6	26.6	22.7	25.2	22.4	22.2	22.1	21.8	21.6
Overall balance ³	-10.1	-7.0	-5.2	-9.3	-3.5	-6.3	-3.8	-3.2	-3.1	-2.9	-2.8
Primary balance ³	0.0	-0.4	1.1	-2.4	2.2	0.2	2.2	2.2	2.0	1.8	1.6
Net domestic financing	7.8	1.8	3.7	8.6	2.3	6.2	3.6	3.2	2.7	2.3	1.9
Central government debt (gross)	70.2	72.2	67.7	73.4	63.6	70.5	66.1	62.8	60.1	57.6	55.1
Domestic debt	31.0	28.5	27.9	32.1	26.0	32.5	30.8	29.8	29.1	28.4	27.2
External debt	39.1	43.7	39.8	41.3	37.7	38.0	35.3	33.0	30.9	29.2	27.8
(Annual percentage change; unless otherwise indicated)											
Money and credit											
Credit to the private sector	41.8	31.7	7.4	9.1	14.2	11.0	14.5	19.9	20.5	17.3	20.2
Broad money (M2+)	36.8	23.3	14.4	24.8	15.1	22.7	15.9	19.2	21.0	16.4	16.5
Velocity (GDP/M2+, end of period)	3.1	3.0	...	2.9	...	2.9	3.0	2.9	2.7	2.6	2.5
Base money	30.2	24.2	14.7	29.6	15.7	26.3	19.2	17.5	18.3	16.9	14.9
Banks' lending rate (weighted average, percent)	29.0	27.5	...	31.7	...	...	...	...	...	...	...
Policy rate (in percent, end of period)	21.0	26.0	...	25.5	...	...	...	...	...	...	...
(Percent of GDP)											
External sector											
Current account balance	-9.5	-7.7	-6.4	-6.7	-6.1	-5.8	-5.4	-5.0	-4.7	-4.5	-4.3
Gross international reserves (millions of US\$)	4,349	4,403	5,140	4,862	5,976	5,783	6,319	6,797	7,483	8,145	8,765
in months of prospective imports of goods and services	2.5	2.6	2.7	2.6	2.9	3.0	3.1	3.2	3.3	3.3	3.4
Total donor support (millions of US\$)	1,092	1,411	844	778	637	977	755	763	407	183	133
in percent of GDP	2.8	3.8	2.0	1.8	1.4	2.1	1.5	1.4	0.7	0.3	0.2
Memorandum items:											
Nominal GDP (millions of GHc)	113,343	136,957	166,768	167,315	197,136	202,389	241,549	279,328	315,464	352,989	395,193
Nominal GDP (millions of US\$)	38,774	36,893	42,638	42,778	...	45,464	49,226	52,863	56,415	60,449	65,127
GDP per capita (US\$)	1,479	1,372	1,551	1,551	1,648	1,608	1,697	1,777	1,850	1,932	2,030

Sources: Ghanaian authorities; and Fund staff estimates and projections.

¹ Historical expenditure side GDP series was revised in 2017 by the Ghana Statistical Services.

² Including public enterprises.

³ Excludes discrepancy.

Table 2a. Ghana: Summary of Budgetary Central Government Operations, 2014–22
(GFS 2001, Cash Basis)

	2014	2015	2016		2017		2018	2019	2020	2021	2022
			Prog.	Est.	Prog.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(In percent of GDP, unless otherwise specified)											
Revenue	18.4	19.6	19.4	17.3	19.2	18.9	18.6	19.0	19.1	18.9	18.7
Taxes	15.8	15.7	16.4	15.5	16.6	16.0	16.0	16.3	16.5	16.5	16.4
Direct taxes	7.5	6.4	6.1	5.4	6.3	6.1	6.2	6.6	6.8	6.7	6.6
Indirect taxes	5.5	6.8	7.4	7.4	7.6	6.9	6.9	6.9	6.9	7.0	7.0
Trade taxes	2.7	2.5	2.9	2.6	2.7	3.0	2.9	2.8	2.8	2.8	2.8
Other tax revenues	0.2	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Other revenue	1.8	1.7	1.8	0.9	1.9	2.0	2.0	2.2	2.2	2.1	2.0
o/w Retentions from IGFs					0.0	0.6	0.6	0.6	0.6	0.6	0.6
Grants	0.7	2.0	1.0	0.7	0.6	0.7	0.5	0.3	0.2	0.2	0.1
Expenditure	28.5	26.6	24.6	26.6	22.7	25.2	22.4	22.2	22.1	21.8	21.6
Expense	23.1	21.4	21.5	22.0	19.8	22.0	19.1	18.8	18.4	18.0	17.6
Compensation of employees	9.7	9.4	8.4	8.7	8.2	7.9	7.8	7.8	7.8	7.8	7.8
Wages and salaries	8.3	7.7	7.0	7.2	7.0	6.9	6.8	6.8	6.8	6.8	6.8
Deferred wage payments	0.5	0.6	0.2	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Social contributions	0.9	1.1	1.2	1.2	1.2	1.0	0.9	0.9	0.9	0.9	0.9
Purchases of goods and services	1.6	1.0	1.2	1.9	0.9	1.3	1.2	1.3	1.3	1.3	1.2
Interest	6.2	6.6	6.4	6.9	5.7	6.5	5.9	5.4	5.1	4.7	4.4
Domestic	5.4	5.3	5.1	5.5	4.6	5.2	4.8	4.3	4.0	3.7	3.4
Foreign	0.9	1.3	1.3	1.4	1.2	1.3	1.2	1.1	1.1	1.0	1.0
Subsidies	0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Social transfers	0.0	0.0	0.1	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Grants to Other Government Units	2.1	3.1	3.9	3.3	4.0	4.3	4.1	4.2	4.2	4.1	4.1
Transfers to Statutory Funds	1.6	2.8	...	3.0	...	2.8	2.7	2.7	2.7	2.8	2.8
Transfer to GNPC from oil revenue	0.5	0.3	...	0.2	...	0.6	0.5	0.6	0.6	0.5	0.5
ESLA transfers	0.0	0.0	...	0.1	...	0.9	0.9	0.9	0.9	0.9	0.9
Other expenses ¹	3.1	1.2	1.4	1.2	1.0	1.8	0.0	0.0	0.0	0.0	0.0
Net acquisition of nonfinancial assets	5.4	5.2	3.1	4.6	2.9	3.2	3.3	3.5	3.7	3.8	3.9
Domestic financed ²	1.1	0.9	0.2	1.2	0.6	1.1	1.1	1.3	1.5	1.6	1.8
Foreign financed	4.3	4.3	2.9	3.4	2.2	2.1	2.2	2.2	2.2	2.2	2.2
Overall balance	-10.1	-7.0	-5.2	-9.3	-3.5	-6.3	-3.8	-3.2	-3.1	-2.9	-2.8
Discrepancy	0.0	-0.6	0.0	-1.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net financial transactions	-10.1	-6.4	-5.2	-8.3	-3.5	-6.3	-3.8	-3.2	-3.1	-2.9	-2.8
Net acquisition of financial assets	2.9	-0.3	-0.1	2.1	-0.4	-0.4	0.2	0.2	0.2	0.1	0.1
Currency and deposits	2.8	0.0	-0.1	2.0	-0.4	0.7	0.1	0.0	0.0	0.0	0.0
Bank of Ghana ³	2.4	-1.0	-0.1	1.1	-0.4	0.7	0.1	0.0	0.0	0.0	0.0
Deposit Money Banks	0.4	0.9	0.0	0.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Shares and other equity	0.2	-0.3	0.0	0.1	0.0	-1.1	0.2	0.2	0.1	0.0	0.0
Net incurrence of liabilities	13.0	6.1	5.1	10.4	3.1	6.0	4.0	3.4	3.2	3.0	2.9
Domestic	7.8	1.8	3.7	8.6	2.3	6.2	3.6	3.2	2.7	2.3	1.9
Bank of Ghana	3.8	-1.3	0.0	2.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deposit Money Banks	1.2	0.5	0.5	2.7	0.5	1.2	1.1	0.6	0.5	0.5	0.4
Nonbanks	2.8	2.6	3.2	3.3	1.9	5.0	2.5	2.6	2.2	1.9	1.6
Foreign	5.2	4.3	1.4	1.8	0.7	-0.3	0.4	0.2	0.5	0.7	0.9
Borrowing	6.4	6.3	4.2	4.5	3.0	2.4	2.2	1.8	2.4	2.4	2.4
Amortization	-1.2	-2.0	-2.8	-2.8	-2.3	-2.7	-1.8	-1.7	-1.9	-1.8	-1.5
Memorandum items:											
Oil revenue	2.5	1.0	0.8	0.4	1.3	1.2	1.5	2.0	2.1	2.0	1.8
Proceeds from Energy Sector Levies Act (ESLA)	0.0	0.0	0.0	1.0	0.0	0.9	0.9	0.9	0.9	0.9	0.9
Revenue excl. oil, grants, and ESLA (percent of non-oil GDP)	16.4	17.2	17.7	15.5	17.3	16.7	16.9	16.8	16.7	16.7	16.7
Primary balance (excl. discrepancy)	-3.9	-0.4	1.1	-2.4	2.2	0.2	2.2	2.2	2.0	1.8	1.6
Government overdraft at Bank of Ghana	-5.8	-3.2	...	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Nominal GDP (millions of GHc)	113,343	136,957	166,768	167,315	197,136	202,389	241,549	279,328	315,464	352,989	395,193

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ Payments of cash arrears and promissory notes to statutory funds. 2017-18 also includes payment of GHc 1.6 billion of unpaid commitments from 2016.² Starting in 2015, includes earmarked public sector investment through Ghana Infrastructure Investment Fund.³ Includes change in overdraft (negative balances). For 2016 also includes \$200 million earmarked for repayment of the Eurobond maturing in 2017.

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Table 2b. Ghana: Summary of Budgetary Central Government Operations, 2014–22
(GFS 2001, Cash Basis)

	2014	2015	2016		2017		2018	2019	2020	2021	2022
			Prog.	Est.	Prog.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(In millions of GHc)											
Revenue	20,874	26,824	32,359	28,865	37,940	38,158	45,004	52,992	60,100	66,661	74,083
Taxes	17,855	21,455	27,374	25,929	32,740	32,402	38,659	45,660	52,032	58,090	64,911
Direct taxes	8,487	8,707	10,200	9,107	12,452	12,329	14,990	18,447	21,369	23,743	26,202
Indirect taxes	6,278	9,300	12,407	12,432	14,917	13,997	16,725	19,324	21,917	24,626	27,670
Trade taxes	3,091	3,449	4,767	4,390	5,371	6,076	6,944	7,889	8,746	9,721	11,039
Other tax revenues	218	289	353	280	293	296	345	399	453	508	571
Other revenue	1,986	2,391	3,043	1,515	3,688	3,966	4,909	6,009	6,832	7,409	8,058
o/w Retentions from IGFs						1,157	1,448	1,673	1,898	2,132	2,396
Grants	814	2,689	1,589	1,141	1,219	1,493	1,091	924	783	654	544
Expenditure	32,328	36,410	41,051	44,473	44,828	50,976	54,134	62,032	69,817	76,996	85,225
Expense	26,232	29,277	35,875	36,795	39,130	44,476	46,241	52,389	58,060	63,527	69,748
Compensation of employees	11,034	12,917	14,059	14,623	16,072	16,023	18,771	21,679	24,484	27,396	30,672
Wages and salaries	9,449	10,556	11,723	12,110	13,721	14,047	16,478	19,031	21,493	24,050	26,925
Deferred wages	568	806	280	458	0	18	0	0	0	0	0
Social contributions	1,018	1,555	2,056	2,055	2,350	1,958	2,293	2,648	2,991	3,347	3,747
Purchases of goods and services	1,777	1,388	2,078	3,221	1,775	2,651	2,790	3,524	3,997	4,441	4,940
Interest	7,081	9,075	10,600	11,529	11,297	13,180	14,325	15,192	15,996	16,625	17,388
Domestic	6,111	7,313	8,427	9,225	8,991	10,584	11,513	12,060	12,671	13,126	13,623
Foreign	970	1,762	2,173	2,304	2,305	2,596	2,812	3,131	3,325	3,499	3,765
Subsidies	474	25	50	0	50	50	58	67	76	86	96
Social transfers	0	0	209	0	241	241	234	322	359	398	441
Grants to Other Government Units	2,354	4,267	6,566	5,442	7,793	8,605	9,990	11,604	13,148	14,581	16,211
Transfers to Statutory Funds	1,836	3,799	...	4,975	...	5,618	6,630	7,648	8,658	9,719	10,930
Transfer to GNPC from oil revenue	517	468	...	265	...	1,221	1,302	1,578	1,793	1,832	1,876
ESLA transfers	0	0	...	203	...	1,766	2,058	2,378	2,697	3,031	3,405
Other expenses ¹	3,513	1,604	2,313	1,980	1,903	3,725	73	0	0	0	0
Net acquisition of nonfinancial assets	6,096	7,134	5,177	7,678	5,698	6,500	7,892	9,643	11,758	13,469	15,477
Domestic financed ²	1,265	1,215	413	2,049	1,279	2,245	2,546	3,571	4,732	5,648	6,916
Foreign financed	4,830	5,919	4,763	5,630	4,419	4,255	5,347	6,072	7,026	7,822	8,561
Net lending / borrowing (overall balance)	-11,454	-9,586	-8,693	-15,608	-6,888	-12,819	-9,130	-9,041	-9,718	-10,335	-11,142
Discrepancy	-51	-839	0	-1,735	0	0	0	0	0	0	0
Net financial transactions	-11,403	-8,747	-8,693	-13,873	-6,888	-12,819	-9,130	-9,041	-9,718	-10,335	-11,142
Net acquisition of financial assets	3,299	-445	-145	3,478	-847	-763	520	501	511	230	201
Currency and deposits	3,123	-55	-219	3,365	-847	1,493	125	58	66	74	83
Bank of Ghana ³	2,717	-1,352	-219	1,920	-847	1,493	125	58	66	74	83
Deposit Money Banks	406	1,297	0	1,445	0	0	0	0	0	0	0
Shares and other equity	176	-390	74	113	0	-2,256	395	443	446	156	119
Net incurrence of liabilities	14,702	8,302	8,547	17,351	6,041	12,055	9,651	9,541	10,229	10,565	11,343
Domestic	8,828	2,424	6,150	14,391	4,585	12,593	8,661	9,045	8,613	8,163	7,660
Bank of Ghana	4,299	-1,821	0	4,303	0	0	0	0	0	0	0
Deposit Money Banks	1,404	692	763	4,581	917	2,519	2,598	1,809	1,723	1,633	1,532
Nonbanks	3,125	3,553	5,388	5,507	3,668	10,075	6,062	7,236	6,890	6,530	6,128
Foreign	5,874	5,878	2,397	2,960	1,456	-611	990	497	1,616	2,402	3,683
Borrowing	7,205	8,612	7,005	7,564	5,964	4,761	5,255	5,148	7,641	8,628	9,535
Amortization	-1,331	-2,734	-4,608	-4,604	-4,508	-5,373	-4,265	-4,651	-6,025	-6,225	-5,851
Memorandum items:											
Oil revenue	2,789	1,431	1,333	711	2,653	2,359	3,517	5,529	6,735	7,032	7,158
Proceeds from Energy Sector Levies Act (ESLA)	0	0	0	1,646	0	1,766	2,058	2,378	2,697	3,031	3,405
Revenue excl. oil, grants, and ESLA	17,271	22,704	29,438	25,367	34,068	32,539	38,337	44,160	49,885	55,945	62,976
Primary balance (excl. discrepancy)	-4,373	-511	1,908	-4,079	4,408	362	5,194	6,151	6,278	6,290	6,246
Government overdraft at Bank of Ghana	-6,120	-4,220	...	-4	...	0	0	0	0	0	0
Nominal GDP	113,343	136,957	166,768	167,315	197,136	202,389	241,549	279,328	315,464	352,989	395,193

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ Payments of cash arrears and promissory notes to statutory funds. 2017-18 also includes payment of GHc 1.6 billion of unpaid commitments from 2016.² Starting in 2015, includes earmarked public sector investment through Ghana Infrastructure Investment Fund.³ Includes change in overdraft (negative balances). For 2016 also includes \$200 million earmarked for repayment of the Eurobond maturing in 2017.

Table 2c. Ghana: Summary of Budgetary Central Government Operations, 2014–22
(GFS 2001, Commitment Basis)

	2014	2015	2016		2017		2018	2019	2020	2021	2022
			Prog.	Est.	Prog.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(In percent of GDP, unless otherwise indicated)											
Revenue	18.4	19.6	19.4	17.3	19.2	18.9	18.6	19.0	19.1	18.9	18.7
Taxes	15.8	15.7	16.4	15.5	16.6	16.0	16.0	16.3	16.5	16.5	16.4
Direct taxes	7.5	6.4	6.1	5.4	6.3	6.1	6.2	6.6	6.8	6.7	6.6
Indirect taxes	5.5	6.8	7.4	7.4	7.6	6.9	6.9	6.9	6.9	7.0	7.0
Trade taxes	2.7	2.5	2.9	2.6	2.7	3.0	2.9	2.8	2.8	2.8	2.8
Other tax revenues	0.2	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Other revenue	1.8	1.7	1.8	0.9	1.9	2.0	2.0	2.2	2.2	2.1	2.0
Grants	0.7	2.0	1.0	0.7	0.6	0.7	0.5	0.3	0.2	0.2	0.1
Expenditure	29.4	24.8	23.1	26.1	21.3	23.3	22.4	22.2	22.1	21.8	21.6
Expense	23.7	19.6	20.0	21.2	18.4	20.1	19.1	18.8	18.4	18.0	17.6
Compensation of employees	10.9	8.8	8.3	8.7	8.2	7.9	7.8	7.8	7.8	7.8	7.8
Wages and salaries ¹	9.0	7.7	7.0	7.3	7.0	6.9	6.8	6.8	6.8	6.8	6.8
Social Contributions	1.8	1.1	1.2	1.5	1.2	1.0	0.9	0.9	0.9	0.9	0.9
Purchases of goods and services	1.6	1.0	1.2	2.1	0.9	1.3	1.2	1.3	1.3	1.3	1.2
Interest	6.2	6.6	6.4	6.9	5.7	6.5	5.9	5.4	5.1	4.7	4.4
Domestic	5.4	5.3	5.1	5.5	4.6	5.2	4.8	4.3	4.0	3.7	3.4
Foreign	0.9	1.3	1.3	1.4	1.2	1.3	1.2	1.1	1.1	1.0	1.0
Subsidies	1.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Social transfers	0.0	0.0	0.1	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Grants to Other Government Units	3.2	3.1	3.9	3.5	3.5	4.3	4.1	4.2	4.2	4.1	4.1
Transfers to Statutory Funds	2.7	2.8	...	3.2	...	2.8	2.7	2.7	2.7	2.8	2.8
Transfer to GNPC from oil revenue	0.5	0.3	...	0.2	...	0.6	0.5	0.6	0.6	0.5	0.5
ESLA transfers	0.0	0.0	...	0.1	...	0.9	0.9	0.9	0.9	0.9	0.9
Net acquisition of nonfinancial assets	5.7	5.2	3.1	4.9	2.9	3.2	3.3	3.5	3.7	3.8	3.9
Domestic financed	1.4	0.9	0.2	1.5	0.6	1.1	1.1	1.3	1.5	1.6	1.8
Foreign financed	4.3	4.3	2.9	3.4	2.2	2.1	2.2	2.2	2.2	2.2	2.2
Net lending / borrowing (overall balance)	-10.9	-5.2	-3.7	-8.9	-2.0	-4.5	-3.7	-3.2	-3.1	-2.9	-2.8
Discrepancy	0.0	-0.6	0.0	-1.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net financial transactions	-10.9	-4.6	-3.7	-7.8	-2.0	-4.5	-3.7	-3.2	-3.1	-2.9	-2.8
Net acquisition of financial assets	2.9	-0.3	-0.1	2.1	-0.4	-0.4	0.2	0.2	0.2	0.1	0.1
Net incurrence of liabilities	13.8	4.3	3.6	9.9	1.6	4.1	4.0	3.4	3.2	3.0	2.9
Domestic ²	8.6	0.0	2.1	8.1	0.9	4.4	3.6	3.2	2.7	2.3	1.9
Debt securities	7.8	1.8	3.7	8.6	2.3	6.2	3.6	3.2	2.7	2.3	1.9
Bank of Ghana	3.8	-1.3	0.0	2.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deposit Money Bank	1.2	0.5	0.5	2.7	0.5	1.2	1.1	0.6	0.5	0.5	0.4
Nonbanks	2.8	2.6	3.2	3.3	1.9	5.0	2.5	2.6	2.2	1.9	1.6
Other accounts payable ²	0.8	-1.6	-1.4	-0.5	-1.0	-1.8	0.0	0.0	0.0	0.0	0.0
Foreign	5.2	4.3	1.4	1.8	0.7	-0.3	0.4	0.2	0.5	0.7	0.9
Loans	6.4	6.3	4.2	4.5	3.0	2.4	2.2	1.8	2.4	2.4	2.4
Amortization	-1.2	-2.0	-2.8	-2.8	-2.3	-2.7	-1.8	-1.7	-1.9	-1.8	-1.5
Memorandum items:											
Oil revenue	2.5	1.0	0.8	0.4	1.3	1.2	1.5	2.0	2.1	2.0	1.8
Proceeds from Energy Sector Levies Act (ESLA)	0.0	0.0	0.0	1.0	0.0	0.9	0.9	0.9	0.9	0.9	0.9
Revenue excl. oil, grants, and ESLA	15.2	16.6	17.7	15.2	17.3	16.1	15.9	15.8	15.8	15.8	15.9
Primary balance (excl. discrepancy)	-4.7	1.4	2.7	-2.0	3.7	2.0	2.2	2.2	2.0	1.8	1.6
Government overdraft at Bank of Ghana	-5.4	-3.1	...	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0
Nominal GDP (millions of GHc)	113,343	136,957	166,768	167,315	197,136	202,389	241,549	279,328	315,464	352,989	395,193

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ Includes deferred wage payments.

² Reflects net change in stock of arrears and unpaid commitments.

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Table 2d. Ghana: Summary of Budgetary Central Government Operations, 2014–22
(GFS 2001, Commitment Basis)

	2014	2015	2016		2017		2018	2019	2020	2021	2022
			Prog.	Est.	Prog.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
Revenue	20,874	26,824	32,359	28,865	37,940	38,158	45,004	52,992	60,100	66,661	74,083
Taxes	17,855	21,455	27,374	25,929	32,740	32,402	38,659	45,660	52,032	58,090	64,911
Direct taxes	8,487	8,707	10,200	9,107	12,452	12,329	14,990	18,447	21,369	23,743	26,202
Indirect taxes	6,278	9,300	12,407	12,432	14,917	13,997	16,725	19,324	21,917	24,626	27,670
Trade taxes	3,091	3,449	4,767	4,390	5,371	6,076	6,944	7,889	8,746	9,721	11,039
Other tax revenues	218	289	353	280	293	296	345	399	453	508	571
Other revenue	1,986	2,391	3,043	1,515	3,688	3,966	4,909	6,009	6,832	7,409	8,058
Grants	814	2,689	1,589	1,141	1,219	1,493	1,091	924	783	654	544
Expenditure	33,270	34,001	38,458	43,679	41,957	47,234	54,061	62,032	69,817	76,996	85,225
Expense	26,852	26,867	33,282	35,528	36,259	40,733	46,168	52,389	58,060	63,527	69,748
Compensation of employees	12,318	12,111	13,779	14,623	16,072	16,006	18,771	21,679	24,484	27,396	30,672
Wages and salaries ¹	10,254	10,556	11,723	12,171	13,721	14,047	16,478	19,031	21,493	24,050	26,925
Social contributions	2,064	1,555	2,056	2,452	2,350	1,958	2,293	2,648	2,991	3,347	3,747
Purchases of goods and services	1,777	1,388	2,078	3,587	1,775	2,651	2,790	3,524	3,997	4,441	4,940
Interest	7,081	9,075	10,600	11,529	11,297	13,180	14,325	15,192	15,996	16,625	17,388
Domestic	6,111	7,313	8,427	9,225	8,991	10,584	11,513	12,060	12,671	13,126	13,623
Foreign	970	1,762	2,173	2,304	2,305	2,596	2,812	3,131	3,325	3,499	3,765
Subsidies	2,079	25	50	0	50	50	58	67	76	86	96
Social transfers	0	0	209	0	241	241	234	322	359	398	441
Grants to Other Government Units	3,598	4,267	6,566	5,789	6,825	8,605	9,990	11,604	13,148	14,581	16,211
Transfers to Statutory Funds	3,081	3,799	...	5,321	...	5,618	6,630	7,648	8,658	9,719	10,930
Transfer to GNPC from oil revenue	517	468	...	265	...	1,221	1,302	1,578	1,793	1,832	1,876
ESLA transfers	0	0	...	203	...	1,766	2,058	2,378	2,697	3,031	3,405
Net acquisition of nonfinancial assets	6,418	7,134	5,177	8,150	5,698	6,500	7,892	9,643	11,758	13,469	15,477
Domestic financed	1,588	1,215	413	2,521	1,279	2,245	2,546	3,571	4,732	5,648	6,916
Foreign financed	4,830	5,919	4,763	5,630	4,419	4,255	5,347	6,072	7,026	7,822	8,561
Net lending / borrowing (overall balance)	-12,396	-7,177	-6,099	-14,813	-4,017	-9,076	-9,057	-9,041	-9,718	-10,335	-11,142
Discrepancy	-51	-839	0	-1,735	0	0	0	0	0	0	0
Net financial transactions	-12,345	-6,338	-6,099	-13,079	-4,017	-9,076	-9,057	-9,041	-9,718	-10,335	-11,142
Net acquisition of financial assets	3,299	-445	-145	3,478	-847	-763	520	501	511	230	201
Net incurrence of liabilities	15,644	5,892	5,954	16,557	3,170	8,313	9,577	9,541	10,229	10,565	11,343
Domestic ²	9,770	14	3,557	13,597	1,713	8,924	8,587	9,045	8,613	8,163	7,660
Debt securities	8,828	2,424	6,150	14,391	4,585	12,593	8,661	9,045	8,613	8,163	7,660
Other accounts payable ²	942	-2,232	-2,313	-795	-1,904	-3,743	-73	0	0	0	0
Foreign	5,874	5,878	2,397	2,960	1,456	-611	990	497	1,616	2,402	3,683
Loans	7,205	8,612	7,005	7,564	5,964	4,761	5,255	5,148	7,641	8,628	9,535
Amortization	-1,331	-2,734	-4,608	-4,604	-4,508	-5,373	-4,265	-4,651	-6,025	-6,225	-5,851
Memorandum items:											
Oil revenue	2,789	1,431	1,333	711	2,653	2,359	3,517	5,529	6,735	7,032	7,158
Proceeds from Energy Sector Levies Act (ESLA)	0	0	0	1,646	0	1,766	2,058	2,378	2,697	3,031	3,405
Revenue excl. oil, grants, and ESLA	17,271	22,704	29,438	25,367	34,068	32,539	38,337	44,160	49,885	55,945	62,976
Primary balance (excl. discrepancy)	-5316	1,899	4,501	-3,284	7,280	4,104	5,268	6,151	6,278	6,290	6,246
Government overdraft at Bank of Ghana	-6,120	-4,220	...	-4	...	0	0	0	0	0	0
Nominal GDP (millions of GHc)	113,343	136,957	166,768	167,315	197,136	202,389	241,549	279,328	315,464	352,989	395,193

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ Includes deferred wage payments.

² Reflects net change in stock of arrears and unpaid commitments.

Table 3. Ghana: Monetary Survey, 2014–22¹

	2014	2015	2016	2017		2018	2019	2020	2021	2022
			Est.	Prog.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(In millions of GHC, unless otherwise indicated)										
I. Monetary Survey										
Net foreign assets	8,991	11,188	14,947	21,759	24,105	30,064	36,235	44,939	52,012	58,710
Net domestic assets	27,852	34,244	41,746	38,053	45,457	50,540	59,822	71,253	83,290	98,912
Domestic claims	41,582	46,842	58,451	56,583	62,686	70,438	80,336	92,047	103,832	119,251
Net claims on central government	13,906	12,832	19,170	15,577	19,377	21,975	23,784	25,507	27,140	28,671
Claims on other sectors	27,676	34,010	39,281	41,005	43,309	48,463	56,551	66,540	76,693	90,580
Claims on public non-financial corporation	5,362	4,649	7,263	4,642	7,788	7,788	7,788	7,788	7,788	7,788
Claims on private sector	22,254	29,306	31,968	34,079	35,471	40,624	48,713	58,701	68,854	82,741
Other	60	54	50	2,284	50	50	50	50	50	50
Other items (net)	-13,730	-12,598	-16,705	-18,530	-17,230	-19,898	-20,513	-20,794	-20,542	-20,339
Money and quasi-money (M3)	36,843	45,432	56,692	59,812	69,561	80,604	96,057	116,192	135,303	157,621
Broad money (M2)	27,530	33,871	43,452	45,427	53,914	62,836	73,858	88,940	102,156	117,336
Foreign exchange deposits	9,313	11,562	13,240	14,385	15,648	17,768	22,199	27,253	33,147	40,285
II. Central Bank										
Net foreign assets	8,678	9,954	11,880	16,725	18,211	23,149	28,305	34,328	40,386	46,633
Net domestic assets	3,107	4,682	7,088	2,688	5,750	5,413	5,267	5,377	6,048	6,702
Net domestic claims	4,876	9,100	18,155	10,993	11,249	10,911	10,765	10,875	11,547	12,200
Claims on other depository corporations	-5,507	-1,054	4,662	13	68	-270	-416	-306	365	1,019
Net claims on central government	6,888	6,419	9,621	7,485	7,310	7,310	7,310	7,310	7,310	7,310
Claims on other sectors ²	3,496	3,735	3,871	3,496	3,871	3,871	3,871	3,871	3,871	3,871
Other items (net) ³	-1,769	-4,418	-11,067	-8,305	-5,498	-5,498	-5,498	-5,498	-5,498	-5,498
Base money ⁴	11,785	14,636	18,968	19,413	23,962	28,562	33,572	39,705	46,435	53,335
Currency in circulation (net of cash in vaults)	6,896	8,510	10,140	12,654	12,722	15,819	19,084	22,508	26,310	30,771
Currency in banks (cash in vault)	846	1,026	1,235	1,191	1,442	1,567	1,775	2,061	2,283	2,530
Bank deposits in BOG ⁴	3,274	4,024	5,988	4,492	8,193	9,571	11,106	11,079	13,253	14,803
Liabilities to other sectors	769	1,076	1,606	1,076	1,606	1,606	1,606	1,606	1,606	1,606
Memorandum items: (In 12-month percentage change; unless otherwise indicated)										
Base money	30.2	24.2	29.6	15.7	26.3	19.2	17.5	18.3	16.9	14.9
M2	33.0	23.0	28.3	15.7	24.1	16.6	17.5	20.4	14.9	14.9
M2+ ⁵	36.8	23.3	24.8	15.1	22.7	15.9	19.2	21.0	16.4	16.5
Credit to the private sector	41.8	31.7	9.1	14.2	11.0	14.5	19.9	20.5	17.3	20.2
M2-to-GDP ratio (in percent)	24.3	24.7	26.0	23.0	26.6	26.0	26.4	28.2	28.9	29.7
M2-to-Non-Oil GDP ratio (in percent)	26.1	25.7	26.5	24.3	27.6	27.6	28.1	29.9	30.5	31.2
Base money multiplier (M2/base money)	2.3	2.3	2.3	2.3	2.3	2.2	2.2	2.2	2.2	2.2
Credit to the private sector (in percent of GDP)	19.6	21.4	19.1	17.3	17.5	16.8	17.4	18.6	19.5	20.9

Sources: Ghanaian authorities; and Fund staff estimates and projections.

¹ End of period.

² Include public enterprises and local governments.

³ Including valuation and Open Market Operations (OMO).

⁴ Bank of Ghana's definition does not include foreign currency deposits.

⁵ Includes foreign currency deposits.

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Table 4. Ghana: Balance of Payments, 2014–22

	2014	2015	2016	2017		2018	2019	2020	2021	2022
			Est.	Prog.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(In millions of U.S. dollars)										
Current account	-3,698	-2,836	-2,866	-2,837	-2,643	-2,677	-2,663	-2,664	-2,730	-2,829
Trade balance	-1,387	-3,107	-1,773	-2,709	-1,449	-508	-199	9	161	27
Exports, f.o.b.	13,213	10,358	11,137	12,528	12,045	13,485	14,494	15,347	16,413	17,702
Of which: cocoa	2,613	2,764	2,572	2,925	2,195	1,774	1,885	1,952	2,022	2,095
Of which: gold	4,388	3,213	4,919	4,014	5,277	5,834	6,228	6,677	7,144	7,654
Of which: oil	3,725	1,931	1,345	2,924	2,122	3,313	3,602	3,576	3,561	3,589
Imports, f.o.b.	-14,600	-13,465	-12,910	-15,237	-13,494	-13,993	-14,693	-15,337	-16,252	-17,675
Of which: oil	-3,694	-2,047	-1,825	-2,557	-1,823	-1,860	-1,943	-2,028	-2,118	-2,216
Services (net)	-2,602	-1,167	-1,293	-1,116	-1,859	-2,439	-2,621	-2,818	-3,009	-3,281
Income (net)	-1,717	-1,132	-1,256	-1,634	-1,463	-2,055	-2,234	-2,319	-2,419	-2,389
Of which: interest on public debt	-552	-777	-1,052	-1,287	-1,155	-1,447	-1,576	-1,701	-1,842	-1,845
Transfers	2,008	2,570	1,457	2,622	2,127	2,325	2,391	2,463	2,537	2,814
Official transfers	10	195	26	4	17	4	0	0	0	0
Other transfers	1,999	2,375	1,431	2,619	2,111	2,322	2,391	2,463	2,537	2,814
Capital and financial account	3,649	2,937	3,268	3,300	3,255	3,036	3,257	3,439	3,508	3,574
Capital account	0	474	274	284	318	219	175	140	112	90
Financial account	3,649	2,463	2,994	3,015	2,937	2,817	3,082	3,299	3,396	3,484
Foreign direct investment (net)	3,357	2,971	3,471	3,030	2,955	2,954	2,643	2,539	2,569	2,605
Portfolio investment (net)	595	940	1,264	739	2,209	1,060	1,117	1,481	1,059	738
Other investment (net)	-303	-1,448	-1,741	-754	-2,227	-1,196	-679	-721	-232	141
Medium and long term (net)	-149	-983	-1,532	-945	-1,143	-771	-598	-416	-190	114
Official (net)	932	472	-31	-145	-343	29	102	184	310	514
Government oil investments	-145	38	-29	0	0	-81	-84	-83	-83	-84
Amortization	-473	-730	-1,177	-945	-1,042	-915	-819	-884	-872	-765
Disbursements	1,550	1,164	1,177	800	699	1,025	1,004	1,151	1,265	1,362
Private (net)	-1,081	-1,455	-1,501	-800	-800	-800	-700	-600	-500	-400
Short-term (net)	-155	-465	-209	191	-1,084	-425	-80	-304	-42	28
Errors and omissions	12	-433	-66	0	0	0	0	0	0	0
Overall balance	-37	-332	335	462	612	359	594	775	778	745
Financing	37	332	-335	-462	-612	-359	-594	-775	-778	-745
Changes in net reserves (-, incr.) ¹	85	106	-335	-612	-1,044	-559	-594	-775	-778	-745
of which: Use of Fund credit (net)	-12	172	164	274	-74	77	-15	-89	-115	-125
Residual gap	...	-226	0	-150	-432	-200	0	0	0	0
Official donor support	...	226	0	150	432	200	0	0	0	0
Memorandum items:	(Percent of GDP, unless otherwise indicated)									
Current account	-9.5	-7.7	-6.7	-6.1	-5.8	-5.4	-5.0	-4.7	-4.5	-4.3
Trade balance	-3.6	-8.4	-4.1	-5.8	-3.2	-1.0	-0.4	0.0	0.3	0.0
Official transfers	0.0	0.5	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Capital and financial account	9.4	8.0	7.6	7.1	7.2	6.2	6.2	6.1	5.8	5.5
Foreign direct investment (net)	8.7	8.1	8.1	6.5	6.5	6.0	5.0	4.5	4.3	4.0
Overall balance	-0.1	-0.9	0.8	1.0	1.3	0.7	1.1	1.4	1.3	1.1
Oil-net exports	0.1	-0.3	-1.1	0.8	0.7	3.0	3.1	2.7	2.4	2.1
Non-oil current account	-9.6	-7.4	-5.6	-6.9	-6.5	-8.4	-8.2	-7.5	-6.9	-6.5
Gross foreign assets ²										
Millions of U.S. dollars	5,461	5,865	6,251	7,177	7,282	7,899	8,461	9,230	9,975	10,679
Months of imports	3.2	3.4	3.4	3.5	3.7	3.8	3.9	4.1	4.1	4.1
Gross international reserves ³										
Millions of U.S. dollars	4,349	4,403	4,862	5,976	5,783	6,319	6,797	7,483	8,145	8,765
Months of imports	2.5	2.6	2.6	2.9	3.0	3.1	3.2	3.3	3.3	3.4
Net international reserves										
Millions of U.S. dollars	3,200	3,184	3,431	4,429	4,475	5,035	5,628	6,403	7,181	7,926
Months of imports	1.8	1.9	1.9	2.2	2.3	2.4	2.6	2.8	2.9	3.0
Nominal GDP in U.S. dollars	38,774	36,893	42,778	46,610	45,464	49,226	52,863	56,415	60,449	65,127

Sources: Ghanaian authorities; and Fund staff estimates and projections.

¹ The Fund's disbursements associated with the Fourth and Fifth Reviews to be used for budget support are included in 2017.² Includes foreign encumbered assets and oil funds.³ Excludes foreign encumbered assets and oil funds.

Table 5. Ghana: Financial Soundness Indicators

	December 2013	December 2014	December 2015	December 2016	June 2017
Capital Adequacy					
Regulatory capital to risk weighted assets	18.5	17.9	17.7	17.8	14.8
Regulatory Tier I capital to risk-weighted assets	14.7	15.3	14.5	14.4	12.9
Asset Quality					
Nonperforming loans net of loan-loss provision to	8.3	11.2	14.9	15.8	17.9
Nonperforming loans to total gross loans	12.0	11.3	14.9	17.3	21.2
Bank provisions to nonperforming loans	78.3	69.5	69.9	72.5	75.1
Profitability and Earnings					
Return on assets	4.5	4.7	3.1	2.5	2.4
Return on equity	31.1	32.3	21.4	18.0	17.7
Liquidity					
Liquid asset to total assets	21.7	26.8	26.5	27.2	25.4
Liquid asset to short-term liabilities	28.2	34.8	34.3	35.1	32.5
Liquid assets/total deposits	33.7	42.5	40.7	42.8	40.4
Source: Ghanaian authorities					
Note: These indicators do not fully reflect the results of the recent Asset Quality Review					

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Table 6. Ghana: External Financing Requirements and Sources, 2016–19
(millions of U.S. dollars)

	2016	2017	2018	2019
			proj.	
I. Total financing requirements	-6,323	-6,631	-5,564	-4,948
Current account balance (excl. official transfers)	-2,892	-2,660	-2,680	-2,663
o/w: Exports	11,137	12,045	13,485	14,494
Imports	-12,910	-13,494	-13,993	-14,693
Debt amortization ¹	-1,242	-1,116	-1,022	-927
Private financing (net)	-1,501	-800	-800	-700
Short-term (net) ²	-230	-1,134	-525	-180
Gross reserves accumulation	-459	-921	-536	-478
II. Total available financing	6,157	6,182	5,176	4,856
Project grants	274	318	219	175
Disbursement from external creditors	1,177	699	1,025	1,004
Foreign direct investment (net)	3,471	2,955	2,954	2,643
Portfolio investment (net)	1,264	2,209	1,060	1,117
Oil Funds (net)	-29	0	-81	-84
III. Financing gap	-167	-449	-388	-92
IV. Expected sources of financing	26	265	204	0
Other IFIs (WB, AfDB)	0	248	200	0
Other program support	26	17	4	0
of which: Program grants	26	17	4	0
of which: Bilateral program loans	0	0	0	0
V. Residual gap	-141	-184	-184	-92
ECF program	229	184	184	92
Memorandum items:				
Gross international reserves				
Millions of U.S. Dollars	4,862	5,783	6,319	6,797
Months of imports	2.6	3.0	3.1	3.2
Net international reserves				
Millions of US dollars	3,519	4,563	5,122	5,716
Months of imports	1.9	2.3	2.5	2.7
Current account balance (in percent of GDP)	-6.7	-5.8	-5.4	-5.0
Nominal GDP (USD million)	42,778	45,464	49,226	52,863
Oil prices (USD / bbl)	44.0	50.2	50.1	51.9

Sources: Ghanaian authorities and IMF staff estimates and projections.

¹ Including repayments to IMF.

² Including transactions associated with BoG's short-term liabilities for a reserve management purpose.

Table 7. Ghana: Selected Indicators on the Millennium Development Goals, 1990–2017

	Earliest	Earliest Year	Latest	Latest Year
Eradicate extreme poverty and hunger				
Income share held by lowest 20 percent	7.0	1987	5.2	2005
Malnutrition prevalence, weight for age (percent of children under 5)	25.1	1993	14.3	2008
Poverty headcount ratio at \$1.90 a day (PPP) (percent of population)	40.0	1987	25.2	2005
Prevalence of undernourishment (percent of population)	40.5	1991	5.0	2011
Achieve universal primary education				
Literacy rate, youth female (percent of females ages 15-24)	65.5	2000	89.9	2015
Literacy rate, youth male (percent of males ages 15-24)	75.9	2000	91.3	2015
Persistence to last grade of primary, total (percent of cohort)	71.7	1971	83.7	2013
Primary completion rate, total (percent of relevant age group)	65.8	1971	101.1	2015
School enrollment, primary (percent net)	61.3	1999	91.1	2015
Promote gender equality and empower women				
Proportion of seats held by women in national parliaments (percent)	9.0	1997	10.9	2016
Ratio of female to male enrollments in tertiary education	17.7	1971	69.5	2015
Ratio of female to male primary enrollment	84.0	1971	100.0	2015
Ratio of female to male secondary enrollment	64.3	1971	94.9	2015
Reduce child mortality				
Immunization, measles (percent of children ages 12-23 months)	16.0	1980	89.0	2015
Mortality rate, infant (per 1,000 live births)	125.1	1960	42.8	2015
Mortality rate, under-5 (per 1,000)	210.9	1960	61.6	2015
Improve maternal health				
Adolescent fertility rate (births per 1,000 women ages 15-19)	148.3	1960	66.1	2015
Births attended by skilled health staff (percent of total)	40.1	1988	73.7	2014
Maternal mortality ratio (modeled estimate, per 100,000 live births)	634.0	1990	319.0	2015
Pregnant women receiving prenatal care (percent)	82.4	1988	90.5	2014
Combat HIV/AIDS, malaria, and other diseases				
Children with fever receiving antimalarial drugs (percent of children under age 5 with fever)	61.0	1998	48.5	2014
Incidence of tuberculosis (per 100,000 people)	216.0	2000	160.0	2015
Prevalence of HIV, total (percent of population ages 15-49)	1.50	1990	1.6	2015
Ensure environmental sustainability				
CO2 emissions (metric tons per capita)	0.2	1960	0.6	2013
Forest area (percent of land area)	37.9	1990	41.0	2015
Improved sanitation facilities (percent of population with access)	7.0	1990	14.9	2015
Improved water source (percent of population with access)	55.5	1990	88.7	2015
Terrestrial protected areas, (percent of total land area)	14.6	1990	15.1	2014
Develop a global partnership for development				
Aid per capita (current US\$)	37.8	1990	72.7	2011
Debt service (PPG and IMF only, percent of exports, excluding workers' remittances)	6.5	1975	11.5	2015
Internet users (per 100 people)	0.0	1990	14.1	2011
Mobile cellular subscriptions (per 100 people)	0.0	1990	129.7	2015
Telephone lines (per 100 people)	0.3	1990	1.1	2011
Other				
Fertility rate, total (births per woman)	6.7	1960	4.1	2015
GNI per capita, Atlas method (current US\$)	190.0	1962	1,480.0	2015
GNI, Atlas method (current US\$) (billions)	1.4	1962	40.5	2015
Gross capital formation (percent of GDP)	24.4	1960	24.6	2015
Life expectancy at birth, total (years)	45.8	1960	61.5	2015
Literacy rate, adult total (percent of people ages 15 and above)	57.9	2000	76.6	2015
Employment to population ratio, 15+, total (percent)	66.9	2000	75.4	2013
Trade (percent of GDP)	63.6	1960	99.2	2015

Source: World Development Indicators database, 2017.

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Table 8. Ghana: Summary Table of Actual External Borrowing Monitor
(January 1, 2016 to December 31, 2016)

PPG external debt	Volume of new debt in 2016		PV of new debt in 2016 (program purposes)		PV of new debt in 2016 ¹ (including negative GEs)	
	USD million	Percent	USD million	Percent	USD million	Percent
By sources of debt financing	1,334.5	100	1,230.5	100	1,359.2	100
<i>Concessional debt, of which</i>	108.6	8	56.7	5	56.7	4
Multilateral debt	0.0	0	0.0	0	0.0	0
Bilateral debt	108.6	8	56.7	5	56.7	4
Other	0.0	0	0.0	0	0.0	0
<i>Non-concessional debt, of which</i>	1,225.9	92	1,173.8	95	1,302.5	96
Semi-concessional	290.1	22	238.1	19	238.1	18
Commercial terms	935.8	70	935.8	76	1,064.5	78
By Creditor Type	1,334.5	100	1,230.5	100	1,359.2	100
Multilateral	75.0	6	75.0	6	78.2	6
Bilateral - Paris Club	245.0	18	196.2	16	196.2	14
Bilateral - Non-Paris Club	67.2	5	27.9	2	27.9	2
Other	947.2	71	931.4	76	1,056.9	78
Uses of debt financing	1,334.5	100	1,230.5	100	1,359.2	100
Infrastructure	361.2	27	282.2	23	297.3	22
Social Spending	148.3	11	123.3	10	123.3	9
Budget Financing	750.0	56	750.0	61	860.4	63
Other	75.0	5.6	75.0	6.1	78.2	5.8
Memo items						
<i>Indicative projections</i>						
Year 2	0.0		0.0		0.0	
Year 3	0.0		0.0		0.0	

Sources: Ghanaian authorities and IMF staff estimates.

¹ The PV of an external loan could be larger than its face value when its interest rate is larger than the discount rate used for this assessment (5 percent).

Table 9. Ghana: Summary Table of Projected External Borrowing Program
(January 1, 2017 to December 31, 2017)

PPG external debt	Volume of new debt in 2017		PV of new debt in 2017 (program purposes)		PV of new debt in 2017 ¹ (including negative GEs)	
	USD million	Percent	USD million	Percent	USD million	Percent
By sources of debt financing	2,168.2	100	1,786.9	100	1,832.1	100
<i>Concessional debt, of which</i>	592.5	27	340.3	19	340.3	19
Multilateral debt	347.4	16	225.1	13	225.1	12
Bilateral debt	245.2	11	115.2	6	115.2	6
Other	0.0	0	0.0	0	0.0	0
<i>Non-concessional debt, of which</i>	1,575.7	73	1,446.6	81	1,491.8	81
Semi-concessional	1,356.7	63	1,227.6	69	1,227.6	67
Commercial terms	218.9	10	218.9	12	264.2	14
By Creditor Type	2,168.2	100	1,786.9	100	1,832.1	100
Multilateral	582.4	27	388.5	22	388.5	21
Bilateral - Paris Club	303.1	14	182.1	10	182.1	10
Bilateral - Non-Paris Club	146.4	7	121.6	7	122.3	7
Other	1,136.4	52	1,094.6	61	1,139.1	62
Uses of debt financing	2,168.2	100	1,786.9	100	1,832.1	100
Infrastructure	1,723.9	80	1,483.7	83	1,528.6	83
Social Spending	150.9	7	118.2	7	118.4	6
Budget Financing	247.4	11	160.2	9	160.2	9
Other	46.0	2.1	24.9	1.4	24.9	1.4
Memo Items						
<i>Indicative projections</i>						
Year 2	1,969.2		493.5		508.4	
Year 3	0.0		0.0		0.0	

Sources: Ghanaian authorities and IMF staff estimates.

¹ The PV of an external loan could be larger than its face value when its interest rate is larger than the discount rate used for this assessment (5 percent).

Table 10. Ghana: Proposed Schedule of Reviews and Disbursements Under the ECF Arrangement, 2015–19¹

Amount of Purchase		Availability Date	Conditions
Millions of SDR	Percent of Quota ²		
83.025	11.25	April 3, 2015	Executive Board approval of the three-year ECF arrangement
83.025	11.25	August 31, 2015	The Executive Board completed the First Review under the three-year ECF arrangement
83.025	11.25	January 13, 2016	The Executive Board completed the Second Review under the three-year ECF arrangement
83.025	11.25	September 28, 2016	The Executive Board completed the Third Review under the three-year ECF arrangement
66.42	9.00	April 15, 2017	Observance of the performance criteria for June 30, 2016, and completion of the Fourth Review under the arrangement
66.42	9.00	September 15, 2017	Observance of the performance criteria for August 31, 2017, and completion of the Fifth Review under the arrangement
66.42	9.00	February 15, 2018	Observance of the performance criteria for December 31, 2017, and completion of the Sixth Review under the arrangement
66.42	9.00	August 15, 2018	Observance of the performance criteria for June 30, 2018, and completion of the Seventh Review under the arrangement
66.42	9.00	February 15, 2019	Observance of the performance criteria for December 31, 2018, and completion of the Eighth Review under the arrangement
664.2	90.00	Total under the ECF arrangement ³	

¹In addition to the generally applicable conditions under the ECF arrangement.

²Based on Ghana's current quota of 738 SDR millions. Effective February 19, 2016, Ghana's quota doubled, from 369 SDR millions previously.

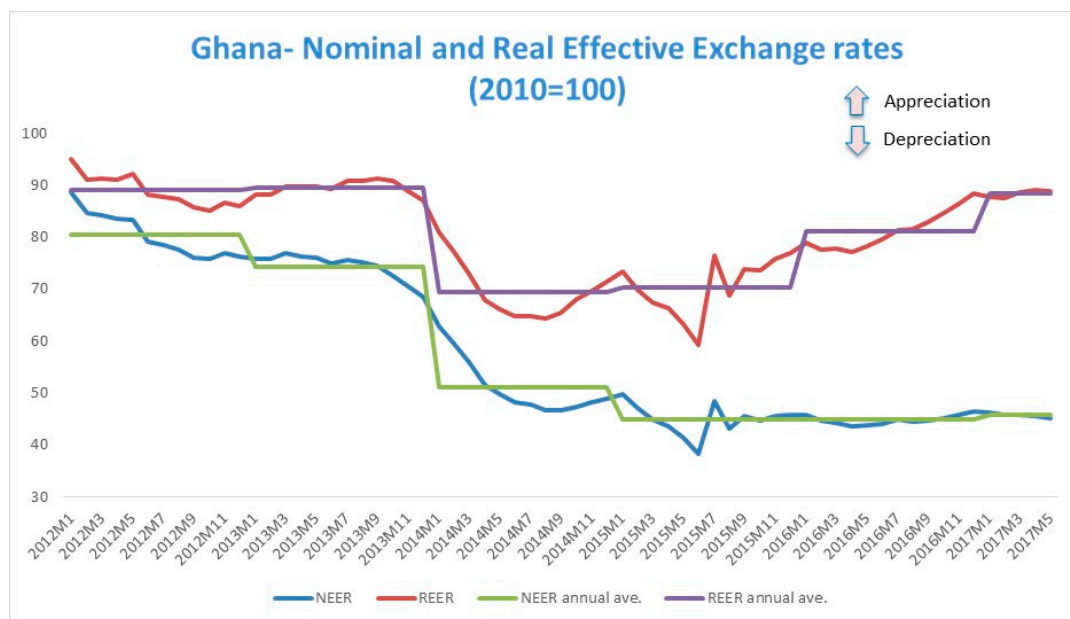
³Total under the ECF arrangement upon approval was 180 percent of quota.

Table 11. Ghana: Indicators of Capacity to Repay the Fund, 2017–31

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Fund obligations based on existing credit (in millions of SDRs)															
Principal	53.7	77.5	77.5	64.1	83.2	90.3	66.4	66.4	58.1	24.9	0.0	0.0	0.0	0.0	0.0
Charges and interest	0.5	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Fund obligations based on existing and prospective credit (in millions of SDRs)															
Principal	53.7	77.5	77.5	64.1	83.2	90.3	99.6	126.2	124.5	91.3	66.4	33.2	6.6	0.0	0.0
Charges and interest	0.5	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Total obligations based on existing and prospective credit															
In millions of SDRs	54.2	78.8	78.8	65.4	84.5	91.5	100.9	127.5	125.8	92.6	67.7	34.5	7.9	1.3	1.3
In millions of US\$	74.5	109.3	109.4	90.9	117.3	126.9	139.9	176.7	174.4	128.4	93.8	47.8	11.0	1.8	1.8
In percent of gross international reserves	1.3	1.7	1.6	1.2	1.4	1.4	1.5	1.8	1.6	1.1	0.8	0.4	0.1	0.0	0.0
In percent of exports of goods and services	0.4	0.5	0.5	0.4	0.5	0.5	0.5	0.6	0.5	0.4	0.3	0.1	0.0	0.0	0.0
In percent of debt service ¹	3.0	4.4	4.4	3.1	3.8	4.2	3.7	5.7	5.6	4.0	3.2	1.4	0.3	0.0	0.0
In percent of GDP	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.1	0.1	0.0	0.0	0.0	0.0
In percent of quota	7.3	10.7	10.7	8.9	11.4	12.4	13.7	17.3	17.1	12.6	9.2	4.7	1.1	0.2	0.2
Outstanding Fund credit															
In millions of SDRs	741.3	796.6	785.5	721.4	638.2	548.0	448.3	322.1	197.6	106.3	39.9	6.6	0.0	0.0	0.0
In millions of US\$	1028.1	1105.6	1091.4	1001.8	885.2	759.0	621.0	446.2	273.7	147.2	55.2	9.2	0.0	0.0	0.0
In percent of gross international reserves	17.8	17.5	16.1	13.4	10.9	8.7	6.6	4.4	2.5	1.3	0.5	0.1	0.0	0.0	0.0
In percent of exports of goods and services	5.3	5.2	4.8	4.2	3.5	2.8	2.2	1.5	0.9	0.4	0.2	0.0	0.0	0.0	0.0
In percent of debt service ¹	41.6	44.7	43.5	34.2	28.7	25.4	16.3	14.5	8.8	4.5	1.9	0.3	0.0	0.0	0.0
In percent of GDP	2.3	2.2	2.1	1.8	1.5	1.2	0.9	0.6	0.3	0.2	0.1	0.0	0.0	0.0	0.0
In percent of quota	100.4	107.9	106.4	97.8	86.5	74.3	60.8	43.7	26.8	14.4	5.4	0.9	0.0	0.0	0.0
Net use of Fund credit (in millions of SDRs)															
Disbursements	132.8	132.8	66.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Repayments	53.7	77.5	77.5	64.1	83.2	90.3	99.6	126.2	124.5	91.3	66.4	33.2	6.6	0.0	0.0
Memorandum items:															
Nominal GDP (in millions of US\$)	45,464	49,226	52,863	56,415	60,449	65,127	70,162	75,256	80,534	86,156	92,098	98,436	105,251	112,543	120,403
Exports of goods and services (in millions of US\$)	19,390	21,213	22,551	23,821	25,350	27,094	28,721	30,211	31,720	33,491	35,500	37,786	40,215	42,760	45,463
Gross international reserves (in millions of US\$)	5,783	6,319	6,797	7,483	8,145	8,765	9,365	10,063	10,793	11,492	12,041	12,492	13,314	14,116	15,208
Debt service (in millions of US\$)	2,471	2,473	2,506	2,928	3,083	2,989	3,808	3,080	3,111	3,238	2,956	3,501	3,765	4,132	4,113
Quota (millions of SDRs)	738	738	738	738	738	738	738	738	738	738	738	738	738	738	738
Sources: IMF staff estimates and projections.															
¹ Total debt service includes IMF repayments.															

Annex I. External Sector Assessment

1. While the NEER has been relatively stable over the last three years following a sharp depreciation in 2014, the REER has shown gradual appreciation in 2016. Nominal depreciation was smaller than suggested by inflation differentials, presumably reflecting active FX intervention by the Bank of Ghana (BoG), leading to some real appreciation in 2016. This trend continued in early 2017. Both the NEER and REER have a seasonal pattern, with a tendency to appreciate towards year-end owing to large capital inflows (associated with the lump-sum disbursement of a large cocoa-related syndicated loan, see below) and larger cocoa exports.



2. Ghana's current account is weaker than fundamentals and desirable policy settings based on the Fund's model-based exchange rate assessment tool (EBA-lite¹). Based on the current account model, the current account norm is projected at 4.2 percent of GDP, with the current account gap of 2.5 percent of GDP largely explained by the policy gap mainly due to large fiscal slippages, suggesting a REER gap of around 8 percent. This assessment is reinforced by the external sustainability approach, which points to the current account norm of 4.1 percent of GDP with a medium-term target of net international investment position of 60 percent of GDP.² This assessment is broadly consistent with the findings in the previous Article IV consultation concluded in 2014. According to staff's current projections, the current account deficit is projected to decline towards the norm over the projection period, supported by frontloaded fiscal consolidation and an improvement in the oil trade balance (Box 1).

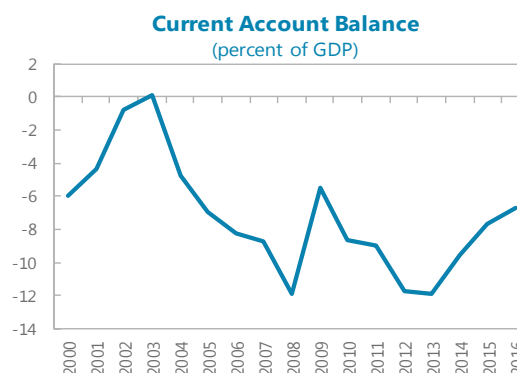
¹ For details please see <https://www.imf.org/en/Publications/Policy-Papers/Issues/2016/12/31/Methodological-Note-on-EBA-Lite-PP5017>.

² This is in line with the average of frontier markets.

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Box 1. Ghana's current account adjustment

Following a significant widening in recent years, the current account deficit started reversing in 2014. Fiscal slippages and aggressive capital investments, along with some overvaluation as reported in earlier Article IV consultations, had contributed to worsen the current account deficits through 2013. The cumulative current account adjustment over 2015–16, covered under the current Fund-supported program, was 2.9 percent of GDP, in line with the original program projections. While hydrocarbon (both oil and gas) production is expected to increase going forward,¹ the authorities should tackle structural impediments, such as unstable power supply and wide-spreading of a cocoa tree disease, to further increase production capacity in gold and cocoa. Diversification of non-commodity exports, including in agro- and fishery industries, is essential.

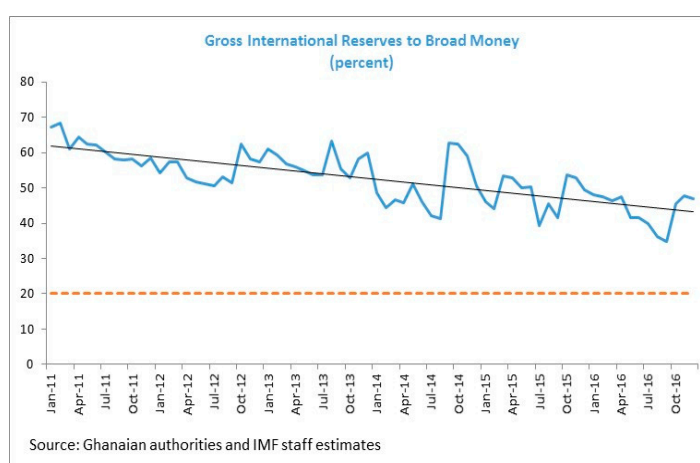
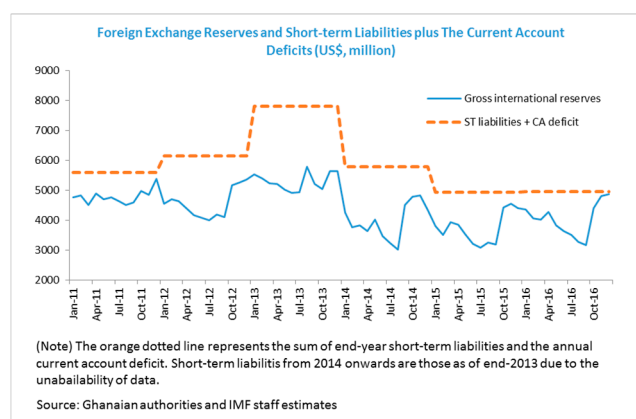
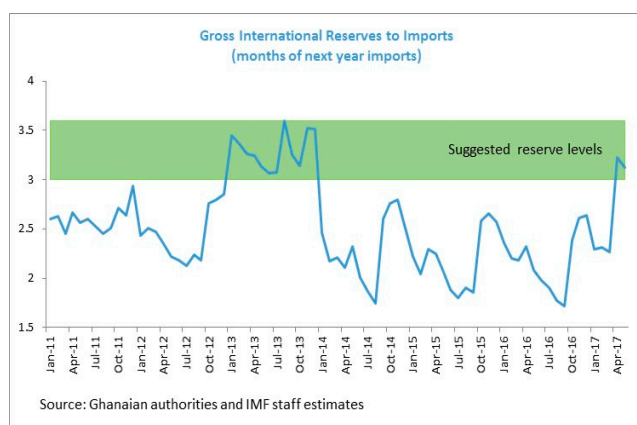


¹Oil production is expected to reach its peak in 2019.

3. According to the Fund's cost-benefit reserve assessment,³ Ghana's optimal reserve level is around 3.3 month of imports. This analysis suggests a range of benchmark reserves between 3.0 and 3.6 months of imports depending on the choice of costs of holding reserves—broadly consistent with the authorities' medium-term target of reserves coverage. Robust capital inflows enabled the BoG to accumulate net international reserves in 2016 for the first time in six years. While gaps have been narrowing, reserves remain below comfortable levels⁴ relative to the Fund's reserves adequacy metrics, which was reinforced by the expanded Greenspan-Guidotti rule (compared with short-term debt plus the current account deficit). The reserves to broad money ratio—which measures the resiliency to capital flights—has shown a somewhat declining trend in the recent years while staying over the frequently-used comfort level of 20 percent with a wide margin.

³ This approach weighs the benefits of holding reserves (with the view to smooth domestic absorption / consumption in case of large exogenous shocks) against the opportunity cost of holding reserves. See <http://www.imf.org/external/np/spr/ara/>.

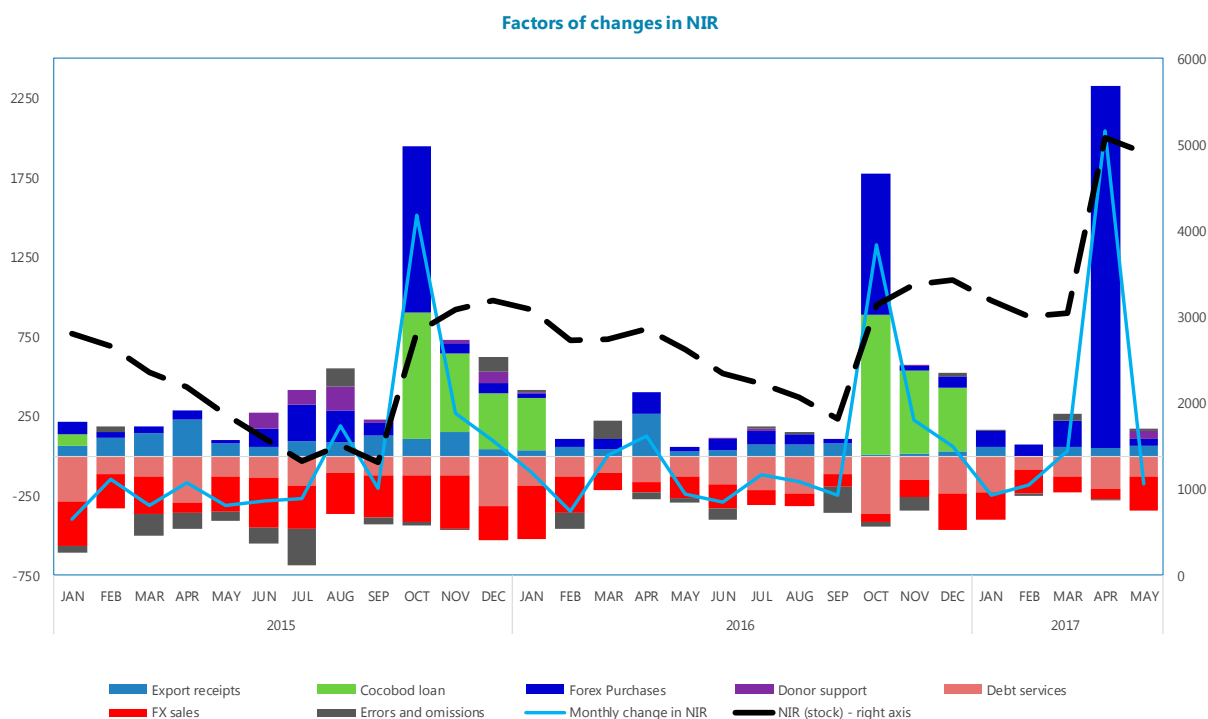
⁴ The authorities have broadened the coverage of services in the balance of payments, which led to a sharp drop in reserves coverage from 2015.



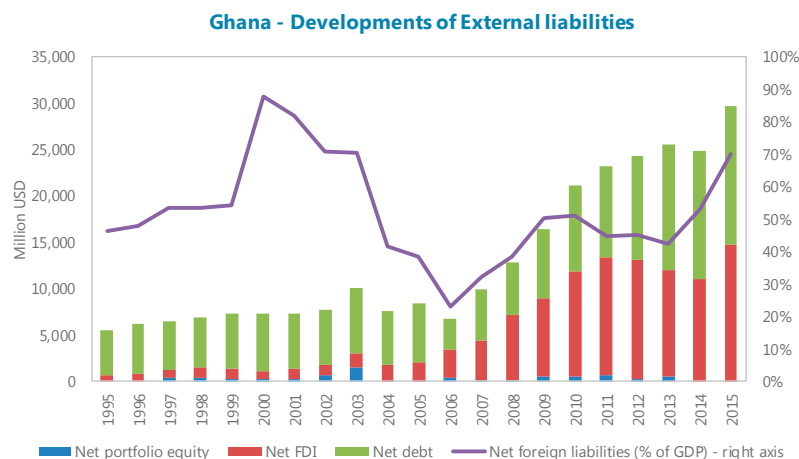
4. A more coherent intervention strategy would help further build up reserves to more comfortable levels. The BoG has been selling reserves to meet market's FX demands in a discretionary manner, using mainly the proceeds of the annual Cocobod prepayment loans⁵ and Eurobonds—which typically materialize in the fourth quarter. The BoG has gradually abolished surrender requirements and introduced one-way FX auction (for selling foreign currencies) in November 2016 – which was subsequently suspended in early 2017. While reserves build-up rests on occasional large capital inflows, a more transparent and articulately-planned intervention strategy is needed to build up reserves in a sustained way, especially in the context of abolishment of surrender requirements.

⁵ Ghana has annually received cocoa prepayment loans of around US\$2 billion in the fourth quarter, which are collateralized by cocoa export receipts. The Cocobod purchases cocoa beans from local producers in local currency and collectively export them based on pre-determined prices with global importers.

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5. Capital inflows have been robust in the post HIPC-MDRI era. Both FDI and external debt have contributed to a large increase in external liabilities from 23 percent of GDP in 2006 to 70 percent in 2015. External debt to GDP levels have steadily grown since Ghana gained access to the international capital markets in 2007. Due to repeated fiscal slippages and large depreciation from 2014 onwards, external debt-to-GDP ratio has soared rapidly. Impressive levels of inward FDI were driven by the oil sector after a discovery of a large oil field in Ghana. With oil production expected to reach its peak in 2019, FDI is projected to slow down in the medium term, although the government's pro-business economic policies might help mitigate the declining trend. Further correcting fiscal imbalances and reserves build-up would increase the sustainability of Ghana's international investment position.



Staff assessment

6. Based on the above assessment, Ghana's overall external position appears weaker than warranted by fundamentals and external stability hinges upon securing fiscal sustainability.

Staff's exchange rates assessment tools suggest that Ghana's current account is currently weaker than the norms derived by the Fund's exchange assessment tools (EBA-lite), primarily reflecting sizable fiscal deficits in the last few years. Even after a moderate build-up, reserve levels remain below optimal levels, possibly driven by the BoG's one-way intervention strategy. Though the current account deficit has been narrowing in line with the initial program projections, it is projected to stay above the norm in the medium term. External sustainability rests on continued robust capital and FDI inflows. A softening of nonresidents investors' demand for domestic debts would bring Ghana back into a vicious cycle and unwind recent improvements in the current account balance. Anchoring confidence among investors with ambitious and front-loaded fiscal adjustments, is key to strengthening Ghana's external position.

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Appendix I. Letter of Intent

Accra, July 31, 2017

Ms. Christine Lagarde
Managing Director
International Monetary Fund (IMF)
Washington, D.C. 20431

Dear Ms. Lagarde,

1. The government of Ghana requests the IMF Executive Board to complete the fourth review of the Extended Credit Facility (ECF) arrangement and to approve the disbursement of the fifth tranche of the loan based on partial implementation of end-June 2016 performance criteria (PC) and satisfactory implementation of prior actions.

2. As documented in the attached Memorandum of Economic and Financial Policies (MEFP), economic performance was off-track in 2016 and the program was severely compromised and further exacerbated in the run-up to the elections held in December 2016. When we came into office in January 2017, we inherited a weakened economy (a budget deficit of 9.3 percent of GDP, a negative primary balance of 2.4 percent of GDP and a debt-to-GDP ratio of 73 percent) that made it impossible to achieve the program objectives by year-end 2017. In addition, reflecting the lag in policy implementation due to the change of government, (our budget, although prepared and approved in record time, was only enacted in late March), we will need more time to fulfil the original program objectives and strike the right balance between adjustment and growth. To ensure that we bring the program back on track and achieve its objectives, we would like to request the IMF Executive Board to approve waivers for the non-observance of the program targets in 2016, including the primary fiscal balance, net international reserves, net change in the stock of arrears, and non-accumulation of domestic arrears. We will complete the program through our budget cycle of January 2018 through December 2018 and therefore request approval to modify the length of the arrangement by one year and reschedule disbursements evenly. Additionally, as a sign of our commitment to the program, we have implemented three prior actions, with two to be completed in time for the Board discussion.

3. The MEFP lays out specific government policies for 2017 that will strengthen program implementation, enabling us to meet program objectives by the end of 2018. We will implement fiscal measures to contain financing needs, stabilize public debt, and avoid arrears accumulation through the enforcement of the Public Financial Management Law, and the expanded rollout of the Ghana Integrated Financial Management Information System (GIFMIS). The Bank of Ghana (BOG) also remains committed to bringing inflation down to its medium-term target by maintaining a tight monetary policy and refraining from providing any financing to the government. Finally, we are continuing with the implementation of the financial sector Roadmap, with the aim to buttress financial stability and achieve sustainable credit growth.

4. The government believes that the measures and policies set forth in the attached MEFP are appropriate and sufficient to achieve the 2017 objectives. However, we stand ready to take any additional measures, if necessary. We will work with the IMF on the adoption of such measures in advance of revising any policies in the MEFP, in accordance with the Fund's policies. We will hold timely discussions with the IMF staff on the possible terms of non-concessional external borrowing to ensure that such borrowing strengthens confidence in the program, does not jeopardize debt sustainability, and is in line with the Fund's debt limit policy.

5. The government consents to make public the content of the IMF staff report, including this letter, the attached MEFP and TMU, and the debt sustainability analysis (DSA) performed by IMF and World Bank staff. It therefore authorizes the IMF to publish these documents on its website once the IMF Executive Board approves the completion of the fourth review under the ECF.

Sincerely yours,

/s/

Ken Ofori-Atta
Minister for Finance

/s/

Ernest Addison
Governor of Bank of Ghana

Attachments:

Memorandum of Economic and Financial Policies
Technical Memorandum of Understanding

Appendix I—Attachment I

Memorandum of Economic and Financial Policies, 2017–18

1. This memorandum provides the government's assessment of economic developments and program implementation, and outlines policies aiming to achieve objectives under the IMF-supported ECF.

I. INTRODUCTION

2. In January 2017, the New Patriotic Party (NPP) took office in Ghana, after another peaceful election and successful transition process. The new administration inherited a difficult economic situation, resulting from weak economic management, compounded by challenges with domestic revenue mobilization and several policy reversals including unconstrained expenditures which ended 2016 with a large fiscal deficit and rising debt stock. The first order of business of the new government and its Economic Management Team, is to return the economy to the path of macroeconomic stability and boost the productive sectors of the economy.

3. Given the depth of the challenges, the government moved swiftly to present its maiden budget in March 2017, highlighting very bold policy initiatives to tackle structural rigidities in the budget, boost productivity through the abolishment of nuisance taxes while plugging revenue leakages and reducing import exemptions, tightening expenditure controls to minimize inefficiencies, and reducing the incidence of poverty through initiatives that will generate jobs.

II. RECENT ECONOMIC DEVELOPMENTS

4. **Ghana's economic growth decelerated in 2016, affected by a significant decline in oil production.** GDP growth slowed further to 3.5 percent in 2016, compared with 3.8 percent in 2015. Improved performance of the non-oil economy, particularly strong growth in the services sector, only partially offset the decline in oil production. Limited access to finance—private sector credit growth slowed in 2016—affected private sector growth. Growth picked up in the first quarter of 2017 to 6.6 percent, driven by a 59 percent increase in oil and gas production.

5. **Inflation has been declining, supported by tight monetary policy.** Inflation reached 15.4 percent at end-December 2016, compared with 17.7 percent in December 2015. It further declined to 12.1 percent in June 2017, as a result of base effects and lower domestic food price pressures. In view of the consistent declines in headline inflation and inflation expectations, easing underlying inflation pressures and some improvement in the macroeconomic fundamentals, the Monetary Policy Committee (MPC) lowered the monetary policy rate by 50 bps in November to 25.5 percent, 200 bps in March 2017 to 23.5 percent, 100 bps in May to 22.5 percent, and by another 150 bps in July to 21 percent.

6. **Fiscal consolidation was reversed in 2016.** The overall fiscal deficit was higher than envisaged, reaching 9.3 percent of GDP on a cash basis, compared with 7 percent of GDP in 2015. The slippage resulted from a significant revenue shortfall and expenditure overrun. In addition to a decline in oil revenues, tax and non-tax revenues weakened across the board, particularly in the second half of the year. Tax compliance and enforcement were weak, and some programmed non-tax revenue proceeds from sale of goods and services and dividends were not realized.

Government expenditures increased in the run-up to elections, exceeding budgeted targets, particularly outlays on goods and services and foreign-financed capital spending. The higher-than-budgeted foreign-financed capital expenditure was due to faster disbursements of project loans. In spite of the wage bill overrun, the wage bill as a share of GDP and tax revenue continued to decline moderately; for example, the wage-to-GDP ratio declined from 7.7 percent of GDP in 2015 to 7.2 percent in 2016. Outstanding payments and claims of some 3 percent of GDP at end-2016 were also reported. The government has initiated a special audit to verify the legality, magnitude and nature of these unpaid commitments. Gross public debt increased by 1.2 percentage point of GDP, reaching 73.4 percent of GDP at end-2016.

7. The fiscal outturn through May of 2017 was in line with expectations. The overall deficit on a cash basis was 2.3 percent of GDP from above the line (2.2 percent from financing), remaining on track at the end of May of 2017. Although revenues were slightly below target, the trend is expected to be reversed over the rest of the year as the government's new policies take effect. Expenditures will be strictly monitored and constrained to match revenue inflows to ensure that the target deficit is achieved.

8. Financing conditions have improved. Following a US\$750 million Eurobond issuance in September 2016, Ghana's credit spreads have been tightening. On the domestic front, T-bill yields have been declining, to 12½ percent at end-July, compared with 22¾ percent a year ago. Investors' interest in the domestic debt market remains strong, supporting the government's effort to reprofile debt by extending maturities. Non-concessional debt limits for end-June and end-December 2016 were met. Up to end-2016, total contracting of non-concessional external loans for projects (cumulatively from 2015) and concessional external loans reached US\$ 1,006 million and US\$ 101 million, respectively. GNPC's loan equivalent to US\$ 350 million, which was included in the non-concessional debt limit for 2015, was not contracted in time by end-2016 due to a delay in negotiations. Non-concessional loans used for debt management purposes amounted to US\$ 919 million, including the US\$750 million Eurobond. The proceeds of this Eurobond were partly used to buy back the 2017 Eurobond, with \$200 million set aside to finance full repayment at maturity (October 2017), reducing the vulnerabilities associated with the bullet nature of the Eurobond.

9. External pressures have subsided with improved reserve buffer. The exchange rate was relatively stable for most part of 2016. However, the cedi came under pressure in the last two months of 2016 resulting in the currency depreciating by 9.6 percent in the year. Pressures continued in the first two months of 2017, which led to a further depreciation of 6.2 percent by end-February. The cedi has since regained ground, unwinding most of the depreciation seen earlier in the year. The cumulative depreciation for the year to mid-July was 3.3 percent. The local currency has been supported by significant inflows of foreign exchange from renewed non-resident participation in the domestic bond market and improvement in the external sector. The foreign exchange inflows have enabled the Bank of Ghana (BoG) to increase its gross international reserves from US\$ 4.9 billion (2.7 months of import cover) at end-December 2016 to US\$6.2 billion (3.2 months) at end-May 2017.

10. The overall banking sector remains profitable, despite some weaknesses. The sector recorded return on assets and returns on equity of 2.4 percent and 17.7 percent respectively at end-June 2017. However, a recently-undertaken Asset Quality Review (AQR) highlighted

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provisioning and capital shortfalls. Some banks exceeded single obligor limits, with capital erosion following the AQR generating further pressures. There were also instances where a few banks were granted single obligor exemptions under the previous Banking Act mainly to the energy sector. Taking into account that the new Banks and SDI Act does not provide for waivers of single obligor exposures, waivers granted under the previous legislation are being phased out. Some banks have accessed the BoG's emergency liquidity facility for more than the three month-maximum stipulated in regulations. The weak economy and problems in the power sector adversely affected the banking system, as indicated by high nonperforming loans, which reached 21.2 percent of total gross loans in June 2017.

III. PROGRAM PERFORMANCE

11. Ghana signed on to a three-year IMF-supported ECF Program in April 2015. Since then, there have been three Program reviews culminating in the disbursement of US\$464 million. The fourth review assesses program performance criteria up to end-June 2016.

12. End-June 2016 quantitative performance criteria (PC) were mostly missed (Table 1). The strong performance in 2015 was derailed during 2016. Several PCs, including the primary fiscal balance, net international reserves, and net change in the stock of arrears, were not achieved, while the continuous PC on non-accumulation of domestic arrears was breached in the first quarter of 2017.¹ While the end-June 2016 government wage bill was within the target, the end-December 2016 wage bill ceiling was exceeded by a small margin. Inflation exceeded the inner band of the Monetary Policy Consultation Clause (MPCC) in June 2016 and a consultation was held with IMF staff.² However, the end-December 2016 inflation of 15.4 percent was within the inner band of the MPCC. Zero central bank financing of the government was observed at end-June 2016 and for the rest of the year. Arrears' clearance picked up and was brought in line with the program target by end-December.

13. Implementation of structural benchmarks (SB) saw little progress (Table 3). Out of eleven SBs which were set at the time of the third review (and whose test dates have passed), only one—rolling out GIFMIS to twenty-five central government Ministries, Departments, and Agencies (MDAs) generating IGFs—was met, while two others were implemented with delay. Structural reforms further slowed in the run-up to the elections. Little progress was made in the following areas:

- Strengthening control of net hiring and the wage bill. The work on developing the interface between the payroll of subvented agencies and the centralized mechanized payroll was stalled, due to the objections by the subvented agencies, particularly the Police;

¹ As per the arrear definition in the TMU, the continuous PC was breached in Q1 2017 because the outstanding payments from 2016 that were recorded in the GIFMIS were not yet cleared, pending the results of the audit.

² See Staff Report for the third review under the Extended Credit Facility Arrangement, ¶126.

- Reducing borrowing costs. The central budgetary government Treasury Single Account (TSA) was not completed, because of weak coordination between the Controller's and Accountant General's Office and MDAs;
- Strengthening financial stability. Completion of the AQR took longer than anticipated as further information was necessary on the restructuring of the obligations of the Bulk Distribution Companies (BDC). Final results were distributed in March 2017, prompting the BoG to engage with undercapitalized banks on corrective actions. Banks are now implementing their recapitalization plans in accordance with the timeframes prescribed by the Banks and Specialized Deposit-Taking Institutions (SDI) Act. The two SBs relating to amendments of the (i) Banks and SDI Act and (ii) Deposit Protection Act have not yet been met mainly because of a reconstitution of Ghana's Parliament in January 2017, making it impossible for Parliament to consider amendments to these Acts by March 2017 as scheduled. Besides, it is critical that the BOG collates views of all stakeholders to be able to present a holistic set of amendments to Parliament.

IV. THE GOVERNMENT'S ECONOMIC PROGRAM IN THE PERIOD AHEAD

14. To set the foundation for becoming the most business-friendly country and fastest growing economy in SSA region by 2019, the government's macroeconomic program in the period ahead will be guided by the macroeconomic objectives as set out in the 2017 Budget Statement. Currently, the government is working towards a successor medium-term development plan which will encompass the government's overarching economic strategy for both economic and social transformation.

15. The government, therefore, with its 2017 Budget has introduced a significant number of initiatives aimed at addressing some of the major structural deficiencies in the management of economy: low revenue collection, expenditure overruns and corruption, high wage bill, rigidity of the fiscal structure caused by heavy earmarking of tax revenue and high debt service payments.

Macroeconomic Framework for 2017 and the Medium Term

16. Outlook for 2017. GDP growth is expected to pick up to about 6 percent in 2017, with a major contribution from the petroleum sector. Petroleum production is expected to increase by 39 percent, as oil production at the new (TEN) Field is expected to increase markedly, with first gas having already been realized in May 2017. Growth in the non-oil sector is expected to be constrained by ongoing fiscal consolidation and weak commodity prices, though this is likely to be offset by improved power supply and easing of domestic private sector bank credit conditions.

17. Medium-Term Outlook. The economy is expected to grow at an average rate of about 7 percent per annum from 2017 to 2019, with the major contribution from the non-oil sector. The non-oil sector would benefit from improved macroeconomic conditions, including price and exchange rate stability, better access to finance, and growth-enhancing measures to be implemented by the government, including reducing infrastructure gaps and improving business environment.

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Fiscal Policy for 2017 and the Medium Term

18. The 2017 budget aims at restoring fiscal discipline and takes important steps to mobilize revenue and tackle budget rigidities. Although a number of “nuisance” taxes have been abolished as part of the government’s vision of moving the country from a taxation-based to a production-based economy, measures to broaden the tax base, improving tax compliance and plugging of revenue leakages are vigorously being pursued. Domestic revenue mobilization is being revamped with the strengthening of tax administrative and compliance measures. Additionally, revenue leakages are being tackled holistically to include personnel and system changes. Non-oil tax revenue is estimated at 16 percent of GDP in 2017. The new government has moved in record time to address the structural rigidities in the budget by enacting into law the capping and realignment of earmarked funds to twenty-five percent of tax revenue in 2017 (although the Act gives the Minister the option to top up funds which are deemed a priority area). This has freed up resources for government’s priority programs. The reduced allocations to statutory funds is close to 0.9 percent of GDP relative to baseline. The Act also allows for a larger share of internally generated funds of agencies to be channeled through the central government budget (Structural Benchmark under the Third Review), which will generate 0.6 percent of GDP in non-tax revenue. The budget also includes provision for raising 1.2 percent of GDP from the sale of thermal power plants and shares in publicly listed companies.

19. Expenditures will be controlled to meet the deficit target of 6.3 percent of GDP. As reflected in the mid-year budget review presented to Parliament on July 31, we have adjusted expenditures downwards in goods and services and capital expenditure by 0.8 percent of GDP relative to the budget. Most of these savings will arise from multi-year projects which were budgeted for in 2017 but will take longer to execute. We also revised allotments of MDAs in GIFMIS to reflect the lower spending envelope. Given updated revenue projections, these measures will allow us to meet the deficit target of 6.3 percent of GDP, compared with the target of 6.5 percent of GDP in the budget (6.8 percent of GDP in IMF presentation, due to the difference in treatment of the sale of shares).

20. If revenues underperform, we will make further adjustments to meet the fiscal deficit target. These adjustments could take the form of further curtailment of discretionary spending on goods and services and capital and we will also consider revenue measures.

21. The government plans to further reduce the deficit in 2018 and the medium term with the aim of putting debt on a clearly declining path. We plan to bring the deficit down from 6.3 percent in 2017 to 3.8 percent in 2018. Over the medium term we will generate primary surpluses, sufficient to eliminate a potential risk of debt distress and strengthen Ghana’s debt sustainability.

22. We are striving to eliminate all government arrears by end -2019. The government will refrain from accumulating any new arrears in 2017 and will repay all outstanding arrears by end- 2019 following the outcome of an audit of outstanding commitments generated as at end-2016. The audit is expected to be completed by October. The government has made provision to clear arrears worth 1.8 percent of GDP in 2017, which will eliminate all arrears recognized under the program (including the GHC 1,048 million of new arrears accumulated in 2016). Any further arrears that are verified by the audit will be settled in 2018 and 2019.

Monetary Policy Issues

23. Monetary policy will continue to be guided by the Bank of Ghana's inflation targeting (IT) framework. Inflation is projected to fall inside the target band of 8 ± 2 percent in 2018, following expected further improvement in macroeconomic fundamentals. However, the MPC will continue to monitor developments and take necessary action towards the attainment of its inflation target.

24. The 2016 Amendments to the BoG Act reduced fiscal dominance. The BoG has continued to strengthen its monetary policy formulation process and communication, consistent with best IT practices. The amended BoG Act was passed in August 2016 and among others seeks to improve governance and enhance autonomy of the central bank in the pursuit of price and financial stability. The new Act also stipulates that central bank financing of government should not exceed 5 percent of the previous fiscal year's total revenue. This is expected to reduce fiscal dominance in the policy formulation process and enhance the inflation targeting framework. Despite this provision in the Amended Act, the BoG and the MOF have signed an MOU committing to the central bank's zero-financing of government. A zero limit on central bank financing, together with other provisions to enhance the BoG's autonomy, will be considered for future amendments of the Act.

25. FX auctions have been suspended following problems in implementation. On the recommendation of the IMF, the BoG started an auction of FX to the market in November 2016 to intermediate the proceeds from the syndicated cocoa loan in a market-determined and transparent way. After six auctions, however, the process was stopped as the BoG perceived it to have an undesirable impact on the exchange rate – on auction days, the cedi's depreciation spiked. The BoG has since reverted to bilateral interventions in the FX market to smoothen volatilities by providing FX liquidity as needed. This has contributed positively to the relative stability of the cedi.

Financial Sector Issues

26. The BoG has been implementing the Roadmap for Financial Stability to address the weaknesses in the banking sector. The BoG launched the AQR Update in September 2016 and is currently implementing follow-up actions that seek to protect the interests of depositors and ensure the soundness and stability of the Ghanaian financial sector. As part of its commitment to address banking sector weaknesses in accordance with the legal framework, the BoG has requested for recapitalization plans from all solvent banks that have been identified as undercapitalized. Implementation of the plans is being closely monitored by the BoG and, based on progress to date, these banks are expected to meet the minimum capital adequacy ratio within the timeframe prescribed by the Banks and SDI Act. In addition, the BoG started daily and bi-monthly liquidity monitoring of banks in September 2016 and approved a Guide for Financial Publication and a Guideline for Emergency Liquidity Assistance also in September 2016. Going forward, the BoG is ensuring strict compliance with the new guidelines on emergency liquidity assistance, including through strict collateralization requirements, continuous monitoring of repayment plans and punitive interest rates. Finally, the BoG is addressing the elevated level of non-performing loans through more concerted efforts to step up recoveries and write-offs by

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banks; more timely enforcement of collaterals; and more stringent oversight of banks' credit risk management frameworks and lending policies.

27. The legal framework for financial sector supervision and regulation has been strengthened, with the approval of the new laws. The new Banks and Specialized Deposit-Taking Institutions Act, 2016 (Act 930) was enacted and became operational in February 2017. The BoG is currently reviewing the Act, reflecting input from the industry as appropriate, and will submit additional enhancements to Parliament, in consultation with IMF staff, that will further strengthen the regulatory framework and resolution regime. The authorities are developing an implementation plan for the new deposit insurance scheme that will seek to ensure that the scheme does not enter into force before all conditions for its effective functioning have been met and financial sector vulnerabilities have been substantially ameliorated.

28. The BoG is strengthening the supervision of the microfinance sector. Serious weaknesses in the sector have posed challenges for regulation and supervision. These include undercapitalization, unlicensed operations, the large numbers of licensed MFIs vis-à-vis limited staffing numbers and supervisory resources, the lack of good corporate governance structures and sound risk management practices among licensed MFIs, and the lack of regular and accurate prudential reporting by licensed MFIs. The BoG is currently preparing a comprehensive action plan for the reform of the sector, including measures to improve supervision and regulation, enforce prudential rules and strengthen the financial soundness of individual institutions. Measures taken so far have targeted improvements in returns submission and risk-based supervision and tougher sanctions against non-compliance and capacity building of supervision staff. Future plans include the regular publication of licensed MFIs in good standing and the establishment of an Apex body to assist the BoG in regulating and supervising the sector.

V. STRUCTURAL REFORM AGENDA

A. Tax Policy and Revenue Administration

29. While the government's focus is on reducing taxes to enhance production, we are also determined to tackle the systemic abuse in the exemptions regime and improve compliance. There is an ongoing review of the regime on import duty exemptions and tax reliefs with a view to eliminating abuses and improving efficiency in the applications of these incentives. To this end, beneficiaries of import exemptions have been asked to pay the duties upfront and later apply for a refund. The government has opened an escrow account to process the refunds and plans have been put in place to process these refunds within 3 weeks instead of the initial 30 days. The policy has resulted in a drop in total exemptions. For instance, total exemptions as at May 2017 was GH¢825.37 million as compared to GH¢1,154.13 million for the same period in 2016. Exemption beneficiaries have complained about cash flow challenges. However, after assuring them of timely refunds, beneficiaries have generally accepted the policy. Initial indications have shown that some beneficiaries after paying the taxes are not able to prove justification for the refund.

30. The Ghana Revenue Authority (GRA) will also undertake warehousing and re-performance audits as well as audits of free zones to reduce leakages and improve compliance. Data-matching exercises which compare customs and VAT data filings of companies

are also being conducted to identify tax-leakages. This work is providing important information with respect to sources of non-compliance. Preliminary findings suggest large discrepancies between various source of tax declarations. An action plan has been developed to tackle these compliance risks, including a strong communication campaign to inform and sensitize taxpayers. Companies that have already been identified as non-compliant have received notice of the discrepancies and are requested to provide explanations, or make payments within 30 days, beyond which they are subject to penalties. Some companies have already started to make full payments.

31. The government in the medium term will focus on enhancing tax revenue generation and modernisation of the tax administration. A new nine-member board of the GRA has been inaugurated in May, with the aim to revamp and boost the revenue collection effort. Furthermore, the GRA has received Technical assistance to use the Tax Administration Diagnostic Assessment Tool (TADAT). TADAT provides an assessment baseline of tax administration performance that can be used to determine reform priorities. Further technical assistance has already been requested to help design a new reform agenda. Subsequent assessments will manage to highlight reform achievements.

32. The government also plans to institute the following measures to broaden the tax base:

- **Pass an Act to support the Common Reporting Standards and Automatic Exchange of Information (AEOI) protocols.** This is part of our international obligations on exchange of information. This will ensure that local financial institutions collate and report financial information of non-resident account holders of participating countries to the GRA for the purposes of compliance and vice-versa. This Act is in addition to current requirements for the provision of information;
- **Commence implementation of the Excise Tax Stamp Act, 2013 (Act 873) to boost revenue collection and curtail under-invoicing and smuggling.** The policy has faced a number of technical challenges, which have delayed implementation. Most of the technical issues have been resolved and implementation will begin in the fourth quarter of the year in a phased-in basis;
- **Complete the roll-out of the Geographic Positioning System Project** which is currently being deployed on a pilot basis to identify potential taxpayers and to register them to pay taxes;
- **Roll-out the National Identification Scheme** to broaden the tax base and accelerate financial inclusion. The scheme would help formalize the economy through the establishment of a national database, which can be linked to the databases of other institutions such as the Police, National Health Insurance Scheme (NHIS), Passport Office, Immigration, Courts, GRA, and the Driver and Vehicle Licensing Authority (DVLA).

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- **Use third party information such as GIFMIS data on payments**, data from regulatory bodies such as Financial Intelligence Centre, Economic and Organized Crime Office, to identify new taxpayers and for further assessment purposes;
- **Systematically implement the TIN system** under the Revenue Administration Act. Since the passage of the Act in 2016, several fora have been held for stakeholders to discuss their role in the exercise and the obligations placed on them by the Act. Teams were sent to all MDAs to carry out on-site registration of their staff. Employers have also been granted the mandate to collect and submit forms on behalf of their employees. Approximately 200,000 forms have been received and processed since the exercise commenced in November 2016; and
- **Complete the roll-out of TRIPS™**: The TRIPS™ has been rolled out in 33 GRA offices with 31 offices outstanding as at the end of June. The remaining offices will be included by the end of 2017. The main risk is the timeliness of relocation of some offices, which are moving to new locations.

B. Public Finance Management

33. We have started to implement the Public Financial Management (PFM) Act approved in 2016. There is now an urgent need to draft regulations in support of the new Act, with planned submission to Parliament by December 2017. An important area to cover is budget execution and commitment controls. During the preparation of the 2017 budget, it emerged that MDAs had unpaid commitments in excess of budgetary allocations, by roughly GHc5.0 billion. Currently, an audit is taking place to validate these unpaid commitments and to ascertain whether financial rules and regulations were adhered to. The audit will also allow the review of the system of controls and provide recommendations on appropriate remedial actions where weaknesses and abuses existed in the awarding process.

34. We are working to improve the operations of the MOF to enhance budget execution, credibility and transparency. Current organizational arrangements and existing functions at the MOF have not kept abreast with the pace of PFM reforms. A technical assistance mission has reviewed the functions of the MOF, to ensure that they take full advantage of the automation introduced with GIFMIS and adequately reflect the thrust of the PFM Act. We intend to hire a long-term consultant to implement the mission recommendations. This will involve among other: establishing a cash management unit to better link commitment approvals to cash availability; centralizing forecasting function to help develop a Medium-Term Fiscal Framework, with more credible revenue projections and realistic medium-term aggregate expenditure ceilings. We are also working to improve the capacity to enhance fiscal risks management and control of SOEs, including the setting-up of a fiscal risk unit in the MOF by October 2017. As a complementary step, we are considering a number of initiatives to enhance fiscal transparency. We have recently published for the first time an aggregate report on the performance of SOEs. We will also publish the budget of statutory funds.

35. We introduced a legal cap on revenue earmarking as a first step to addressing the rigidities in the budget and to allow the government to better manage public funds. In 2016, three budget items, wages and salaries, interest payments and statutory payments have

accounted for more than 100 percent of government revenues. The lack of fiscal space and the associated rigidities in the budget have hindered our ability to direct public spending to high-priority areas and respond to external shocks. We therefore introduced the Earmarked Funds Capping and Realignment Bill, passed into law under a certificate of urgency in March 2017. The new Act introduces a cap on the transfers to Earmarked Funds to 25 percent of tax revenues in any year (these funds have represented more than one third of government revenue). Over time, we plan to review the operations of statutory funds to reduce spending inefficiencies and improve transparency and accountability, as their spending occurs outside the budget. We have introduced a provision allowing the Minister to commence a review of the legislative basis of statutory funds, to determine whether the funds have outlived their usefulness, and in that case, proceed with their elimination.

36. We are strengthening expenditure controls to generate savings and create space for financing priority needs. We will continue working toward tightening the controls of the government payroll. As of April 2017, we suspended the salaries of 26,589 workers who had not been biometrically registered with the Social Security and National Insurance Trust (SSNIT). Since then, the salaries of 24,609 workers have been activated following submissions from SSNIT. Currently, 1,980 employees remain suspended. We will continue to implement strategies aimed at cleaning up the payroll and rationalizing the payroll costs, including completing a study on subvented agencies, revamp the civil service reform strategy and finalize the roll-out of the HRMIS to all MDAs. The GIFMIS processes are being reinforced to ensure that expenditure controls are strengthened. The interface of payroll for selected public universities to the GIFMIS will be completed by end December 2017. Interface to GRA on pilot basis has been completed. We have subsequently engaged a consultant to completed the interface with the three Universities.

37. We are planning to make the Treasury Single Account operational by end-August. As a first step, the government has evaluated the impact on the banking system of transferring government bank balances from commercial banks to the TSA. The evaluation, conducted by the Controller and Accountant General's Department (CAGD), together with the BoG, with the help of technical assistance, concluded that no adverse impact is expected on the banking system. However, we are phasing the implementation to minimize any unintended impact on liquidity. We are therefore developing a work plan to complete the TSA by August 2017. The plan involves continuous consultations between the MOF, BoG, CAGD, individual banks and MDAs to, among others, identify specific bank accounts to be transferred or closed.

C. Debt Management

38. Our debt management strategy will focus on bringing down the cost of debt and minimizing refinancing risks. Some re-profiling operations have been conducted, including the debut issuance of a 15-year callable bond, to alleviate refinancing risk, in accordance with the Medium-Term Debt Management Strategy. We are seeking to further lengthen the maturity profile and reduce refinancing risks through a program of buy-backs and exchanges while also maintaining adequate cash buffers. We have increased transparency in the primary market with publication of an improved quarterly auction calendar and will also publish an Annual Borrowing Plan. To develop the secondary market in the medium term, we plan to create a limited number

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of benchmark securities, and operationalize securities lending, short-selling and repurchase agreements.

39. For 2017 the non-concessional external debt will continue to be subject to two ceilings: (i) for debt management purpose and (ii) for projects critical for national development, and for which concessional financing is not available. The debt ceiling for debt management will be set to zero, reflecting no planned Eurobond issuance. The debt ceiling for priority infrastructure projects would be set at US\$ 2,250 million on a cumulative basis from the beginning of 2015—an increase of US\$520 million, compared with the end-June 2017 indicative target in the Third Review. A separate limit on GNPC's non-concessional borrowing to accommodate the delayed GNPC loan of US\$ 350 million will be maintained. The use of non-concessional external loans will be restricted to projects included in the priority project list (¶31 of the TMU), which would help reduce the infrastructure gap and implement development objectives explained in the Ghana Shared Growth and Development Agenda (GSGDA) II and the 2017 Budget. Concurrently, an indicative target on concessional external borrowing would be raised by US\$300 million to accommodate the World Bank's budget support and project loans, which are supposed to be provided on concessional terms under the IDA's new multi-year lending program (IDA18).

40. We have been strengthening our debt management system to avoid delays in debt service and associated penalties. We are working on recommendations, especially on the processes for debt payments with IMF technical assistance. This is being done in conjunction with the provisions in the PFM law on debt payments.

D. Restructuring of Energy Sector State-Owned Enterprises (SOEs)

41. We have been developing a plan for strengthening the, particularly in the energy SOEs. The MOF and the MOE have completed an extensive review of the final draft of the Debt Validation and Viability Analysis of the SOEs prepared by Ernst and Young (and are in the process of reverting to them for finalization), covering the Electricity Company of Ghana (ECG), the Volta River Authority (VRA), GRIDCO (electricity transmission company), Ghana Gas (GNGC), and the Tema Oil Refinery (TOR). The report estimated these companies' end-June 2016 stock of debt at GHc23.78 billion (14 percent of GDP), of which GHc 22 billion (13 percent of GDP) was validated. Specifically, the validated stock of loans amounted to GHc 10.8 billion (6.4 percent of GDP), of which loans contracted or guaranteed by the government amounted to GHc 6.25 billion (3.7 percent of GDP). The stock of arrears to creditors and suppliers amounted to GHc 6.7 billion (4 percent of GDP) and inter-SOE arrears, to GHc 3.2 billion (1.9 percent of GDP). To address concerns raised by the audit about the financial viability of the SOEs, we decided to take a three-pronged approach: (i) to restructure the SOE debt; (ii) to strengthen the payment discipline; and (iii) to introduce private sector participation in distribution, by concessioning the ECG under the Second Compact with the Millennium Challenge Corporation (MCC). More specifically:

- (i) The government intends that the current indebtedness in the three power sector utilities—VRA, ECG, GRIDCO as well as arrears relating to the validated foreign exchange under-recoveries in the downstream petroleum sector—will be paid off under an ESLA receivable backed instrument through the incorporation of an SPV. Under the proposed SPV

arrangement, a debt service Escrow Account will be created to which all future receivables will be assigned.

(ii) We decided to reactivate a clearinghouse mechanism to manage the inter-utility and utility-government liabilities to improve collection rates. The mechanism would include all SOEs and the government.

(iii) We have been working with the MCC on concessioning the ECG by end-2018. Out of six companies, which expressed interest in concession, five remain interested, following the May 2017 bidding conference. We are completing the work on the new Tariff Methodology, which will be presented to our development partners and to the bidders by end-June 2018.

42. We are strengthening monitoring of the financial performance of the SOEs. To this end, E&Y in response to our request, has developed a financial reporting template for all energy sector SOEs. We shall rigorously enforce its operation. Additionally, we are putting in place a standing technical committee to oversee the successful implementation and subsequent monitoring of the proposed plan (funding solution, greater efficiency mechanisms and corporate governance solutions) to ensure optimum results. Under the above plan, for example, we envisage monitoring the financial situation of the VRA and the ECG on regular (monthly, quarterly) basis, using an "overall balance" defined as the sum of net after tax profits, excluding government subsidy on an accrual basis, with a zero ceiling on the accumulation of gross payables.

VI. POLICIES TO SUPPORT GROWTH AND POVERTY REDUCTION

43. In spite of the major macroeconomic and structural challenges we face as a nation, we are setting the stage for creating job opportunities, easing hardships and securing a bright future for our citizens, businesses and industries. We have, therefore, designed policy initiatives to help improve the business environment, instill fiscal discipline and promote investment in critical infrastructure especially in rural and deprived communities.

Supporting Private Sector Development

44. We have embarked on the implementation of growth-enhancing initiatives which would be integrated into our National Development Strategy. The National Industrial Revitalization Program (NIRP) is one of our initiatives established to provide technical and financial support to existing companies currently distressed or facing operational challenges, but are deemed to be viable to benefit from the stimulus package which will put them in operation in the shortest possible time.

45. The National Entrepreneurship and Innovation Plan (NEIP) is a flagship initiative which will be the primary vehicle for providing an integrated support for early stage (start-ups and small) businesses. It will focus on the provision of business development services, business incubators, and funding for youth-owned businesses. The NEIP will enable qualified new businesses to emerge and give them the space to grow, position them to attract financing, and provide business development support services. The programme will assist these businesses to

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secure markets during the critical formative years, and tap into a wide supply chain and network during their growth years.

Supporting Economic Growth Across the Board

a. **The government intends to pursue an inclusive development strategy aimed at radically improving basic infrastructure at the constituency level, especially in rural and deprived communities.** The Infrastructure for Poverty Eradication Program (IPEP) will be our main vehicle for tackling these challenges. The IPEP is designed to direct our capital expenditure towards local, constituency-level specific infrastructure and economic development priorities, with particular emphasis on rural and deprived communities. Under the IPEP, every one of our 275 constituencies will be allocated the equivalent of US\$1 million annually. It is expected that the projects selected, under standardized guidelines, will fall in the following categories: (a) One-District-One-Factory; (b) One-Village-One-Dam; (c) Small Business Development; (d) Agricultural Inputs (including equipment); (e) "Water for All" Projects; and (f) Sanitation Projects.

46. In the agriculture sector, the government will focus on promoting the Fertilizer Subsidy program and the Agricultural Mechanization Service Centers, among others.

Supporting the Poor and Vulnerable

47. We will alleviate poverty through regional development and social assistance to the most vulnerable. In order to fight extreme poverty and vulnerabilities, the government continues to improve Ghana's social protection policy implementation and systems. The government, through the Ghana Social Opportunities Project (GSOP) worked to improve targeting in social protection spending, increase access to conditional cash transfers nationwide, increase access to employment and cash earning opportunities for the rural poor during the agricultural off-season, and improve economic and social infrastructure in target districts. In 2016, the Ministry of Gender, Children and Social Protection, together with the Ministry of Local Government and Rural Development and various development partners collaborated in the implementation of programs such as Labour Intensive Public Works (LIPW); the Livelihood Empowerment Against Poverty (LEAP), among others.

48. The government will continue to demonstrate its commitment to poverty eradication through poverty-related expenditures incurred by MDAs and MMDAs on activities geared towards the reduction of poverty. These are cross-functional expenditures which support the provision of basic education, primary health care, poverty-focused agriculture, rural water, feeder roads and rural electrification.

- **In education,** the policy is to improve access to education at all levels. The government will implement the comprehensive free public Senior High School (SHS) programme starting with the 2017/18 academic year. This will include technical and vocational institutes. 58 percent of the total allocation to the sector will be used to improve basic education.
- **In health care,** the government is focusing on improving primary health care. It will devote about 56.7 percent of the total sector allocation to primary health care programmes.

VII. PROGRAM MONITORING

49. The program will continue to be monitored based on periodic performance criteria, continuous performance criteria, Monetary Policy Consultation Clause, and indicative targets as of end-August 2017 and end-December 2017, set out in Table 2, with indicative targets for end-September 2017. Structural benchmarks set out in Table 5 will be used for monitoring progress on structural reforms. Detailed definitions and reporting requirements for all performance criteria are contained in the Technical Memorandum of Understanding (TMU) attached to this memorandum, which also defines the scope and frequency of data to be reported for program monitoring purposes. During the program period, the government will not introduce or intensify restrictions on payments and transfers for current international transactions or introduce or modify any multiple currency practice without the IMF's prior approval, conclude bilateral payments agreements that are incompatible with Article VIII of the IMF's Articles of Agreement, or introduce or intensify import restrictions for balance of payments reasons. Completion of the fifth and sixth reviews under the program is expected on or after September 15, 2017, and on or after February 15, 2018 with end-August 2017, and end-December 2017 as test dates, respectively.

Table 1. Ghana: Quantitative Program Targets¹
(Cumulative from the beginning of the calendar year, unless otherwise indicated)

	2015		End-March 2016		End-June 2016				End-September 2016				End-December 2016				
	Actual	Target		Adjusted target	Actual	Target	Adjusted target	Actual	Met/Not met	Target	Revised target	Adjusted target	Actual	Target	Revised target	Adjusted target	Actual
I Quantitative Performance Criteria ²																	
Primary fiscal balance of the government (floor in millions of cedis)	328	13	-75	-1,706	723	941	-2,126	Not met		1,227	...	1,401	-2,688	2,083	...	2,133	-2,344
Wage bill (ceiling; in millions of cedis)	10,556	2,928		2,845	5,853		5,791	Met		8,783	...		8,910	11,723	...		12,110
Net international reserves of the Bank of Ghana (floor; millions of U.S. dollars) ³	2,241	-555		-489	-357	-430	-798	Not met		-928	-1,161	-1,274	-1,239	832	600	480	329
Net change in stock of arrears (ceiling, millions of cedis)	-2,699	-630		-331	-1,476		-611	Not met		-2,313	...		-1,652	-2,313	...		-2,438
II Continuous Performance Criteria																	
Gross financing of BoG to the Government and SOEs (ceiling; in millions of cedis) ⁴	15,612	15,814		15,606	15,814		15,301	Met		15,814	...		15,624	15,814	...		15,394
Non-accumulation of external arrears (ceiling; millions of U.S. dollars)	0	0		0	0		0	Met		0	...			0	...		...
Non-accumulation of new domestic arrears (ceiling; millions of cedis)	0	0			0			Not met		0	...			0	...		0
Contracting or guaranteeing of new external nonconcessional debt (ceiling; millions of U.S. Dollars) ⁵																	
o/w: Debt for a debt management purpose ⁶	1,150	1,000		75	1,150		75	Met		1,150	1,175		825	1,150	1,175		919
Debt for projects (cumulative from the beginning of 2015) ⁷	589	1,000		589	1,000		808	Met		1,000	1,230		808	1,000	1,230		1,006
Debt for project (GNPC) ⁸	0	...		...	...		...			...	350		0	...	350		0
III Monetary Policy Consultation Clause																	
Twelve-month consumer price inflation (percent)																	
Outer band (upper limit)	20.7	20.5			19.0					16.9	19.0			13.0	16.5		
Inner band (upper limit)	19.7	19.5			18.0					15.9	18.0			12.0	15.5		
Central target rate of inflation	17.7	17.5		19.2	16.0		18.4	Not met		13.9	16.0		17.2	10.0	13.5		15.4
Inner band (lower limit)	15.7	15.5			14.0					11.9	14.0			8.0	11.5		
Outer band (lower limit)	14.7	14.5			13.0					10.9	13.0			7.0	10.5		
IV Indicative Target																	
Net Domestic Assets of Bank of Ghana (ceiling; millions of cedis) ⁹	4,682	4,031		5,685	3,818		7,766	Not met		6,447	12,101		10,554	265	6,667		7,654
Contracting or guaranteeing of new external concessional debt (ceiling; millions of U.S. Dollars)	202	400		4	400		86	Met		400	...		86	400	...		101
Social Protection (floor, in million of cedis)	2,489	522		471	1,050		715	Not met		2,573	...		1,180	3,022	...		1,641
Memorandum item:																	
Primary fiscal balance of the government (excluding discrepancy)	-511	13		151	723	939	-540	Not met		1,227	...		-2,152	2,083	...		

¹ Targets as defined in the Technical Memorandum of Understanding (TMU).

² Performance criteria for end-June and end-December, and Indicative targets for end-March and end-September 2016.

³ Program definition excludes foreign currency deposits in BOG. Defined as a change from end-2015.

⁴ Defined as a level.

⁵ The two subceilings, one for a debt management purpose and the other for projects, apply starting from the date of completion of the second review. Prior to this date, the ceiling remains as specified in Table 1 of the August 25, 2015 Supplementary Letter of Intent, and as specified in the August 2015 TMU.

⁶ Nonconcessional debt used to improve the overall public debt profile, including Eurobonds.

⁷ Debt for projects does not include GNPC's loan equivalent to US\$ 350 million. The debt limits for projects were raised by US\$230 million to accommodate World Bank's project loans.

⁸ Associated with nonconcessional debt to be contracted by GNPC, which had been counted against the 2015 limits but delayed for unforeseen reasons.

⁹ Net domestic assets is computed using the program's exchange rate of GHc 3.4 per U.S.\$1 for 2015 and GHc 4.0 per U.S.\$1 for 2016 as defined in the attached Technical Memorandum of Understanding (TMU). Defined as a level.

Table 2. Ghana: Proposed Quantitative Program Targets¹
(Cumulative from the beginning of the calendar year, unless otherwise indicated)

	2016	End-Mar 2017		Actual	End-Aug 2017	End-Sep 2017	End-Dec 2017
	Actual	Target ⁹	Adjusted target		Target ¹⁰	Target	Target
I Quantitative Performance Criteria ²							
Primary fiscal balance of the government (floor in millions of cedis)	-2,344	652	609	831	1,186	1,144	361
Wage Bill (ceiling; in millions of cedis)	12,110	3,424		3,190	9,345	10,520	14,047
Net international reserves of the Bank of Ghana (floor; millions of U.S. dollars) ³	329	-420		-469	731	188	805
Non-accumulation of new domestic arrears (ceiling; millions of cedis)	0	0		1,048	0	0	0
Net change in stock of arrears (ceiling, millions of cedis)	-2,438	-518		-92	-1,000	-1,555	-3,220
II Continuous Performance Criteria							
Gross financing of BoG to the Government and SOEs (ceiling; in millions of cedis) ⁴	15,394	15,814		15,356	15,394	15,394	15,394
Non-accumulation of external arrears (ceiling; millions of U.S. dollars) ...		0		0	0	0	0
Contracting or guaranteeing of new external nonconcessional debt (ceiling; millions of U.S. Dollars) ⁵							
o/w: Debt for a debt management purpose ⁶	919	1,150		0	0	0	0
Debt for projects (cumulative from the beginning of 2015)	1,006	1,730		1,534	2,250	2,250	2,250
Debt for project (GNPC) ⁷	0			0	350	350	350
III Monetary Policy Consultation Clause							
Twelve-month consumer price inflation (percent)							
Outer band (upper limit)		14.5			14.4	14.0	13.0
Inner band (upper limit)		13.5			13.4	13.0	12.0
Central target rate of inflation	15.4	11.5		12.8	11.4	11.0	10.0
Inner band (lower limit)		9.5			9.4	9.0	8.0
Outer band (lower limit)		8.5			8.4	8.0	7.0
IV Indicative Targets							
Net Domestic Assets of Bank of Ghana (ceiling; millions of cedis) ⁸	7,654	7,694		6,792	3,615	5,910	5,653
Contracting or guaranteeing of new external concessional debt (ceiling; millions U.S. Dollars)	101	400		0	700	700	700
Net after tax profit of ECG and VRA (floor; millions of cedis)							107
Change in accounts payables of ECG and VRA (ceiling; millions of cedis)							0
Social Protection (floor, in million of cedis)	1,641				1,627	1,835	2,425

¹ Targets as defined in the attached Technical Memorandum of Understanding (TMU).

² Performance criteria for end-August and end-December, and Indicative targets for end-March and end-September 2017.

³ Program definition excludes foreign currency deposits in BOG. Defined as a change from end-2016.

⁴ Defined as a level.

⁵ The two subceilings, one for a debt management purpose and the other for projects, apply starting from the date of completion of the second review. Prior to this date, the ceiling remains as specified in Table 1 of the August 25, 2015 Supplementary Letter of Intent, and as specified in the August 2015 TMU.

⁶ Nonconcessional debt used to improve the overall public debt profile, including Eurobonds.

⁷ Associated with nonconcessional debt to be contracted by GNPC, which had been counted against the 2015 limits but delayed for unforeseen reasons.

⁸ Net domestic assets is computed using the program's exchange rate of GHc 4.0 per U.S.\$1 for 2016 and GHc 4.4 per U.S.\$1 for 2017 and as defined in the attached Technical Memorandum of Understanding (TMU). Defined as a level.

⁹ Indicative target set during 3rd Review.

¹⁰ August performance criteria replace June indicative targets set during 3rd Review.

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Table 3. Ghana: Performance with respect to Structural Reform Benchmarks from 3rd Review¹

Category	Proposed Structural Benchmarks	Indicative Timeframe	Remarks
Non-Tax Revenue	- Adopt and implement legal and regulatory changes to improve management of Internally Generated Funds (IGFs) and channel a larger share of revenues through the central government budget.	December 2016. Not met.	Later implemented with the adoption of the Earmarked Funds Capping and Realignment Act in April 2017.
Human Resource Management	- Finalize roll-out of the HRMIS to remaining MDAs.	December 2016. Not met.	Proposed to be reset to December 2017.
TSA	- Roll-out GIFMIS to 25 central government MDAs generating IGFs, including the 20 highest generating IGFs, and close all related bank accounts in commercial banks.	December 2016. Met.	
	- Complete the central budgetary government TSA.	December 2016. Not Met.	Proposed to be reset to August 2017.
Payroll of Subvented Agencies	- Interface the payroll of the following agencies: University of Ghana, University of Cape Coast, Kwame Nkrumah University of Science, and the Police.	December 2016. Not met.	Proposed to be reset to December 2017.
Legal Framework	- Adopt regulations for the implementation of the new PFM Act.	March 2017. Not met.	Proposed to be reset to December 2017.
Human Resource Management	- Integrate the GIFMIS Payroll, financial HRMIS and Hyperion in the Health and Education sectors.	June 2017 Not met.	Proposed to be reset to August 2017 (Health) and December 2017 (Education)
Financial Stability	- Completion of an updated Asset Quality Review of the banking system by BoG, in accordance with Terms of Reference that have been agreed with IMF staff, and supervisory follow-up measures communicated to the participating institutions.	November 2016. Not met.	Partly due to delays in the completion of the third-party review. Measure was implemented in March 2017.
¹ This Table covers only structural conditionality whose test date has already passed. For a complete list of measures, see also Table 5.			

Table 3. Ghana: Performance with respect to Structural Reform Benchmarks from 3rd Review (concluded)

- Review of banks' recapitalization/restructuring plans and liquidity support exit plans by the BoG and communication of decision to banks.	February 2017. Not met.	Partly due to delays in the completion of the third-party review. Included in the prior action on the financial sector.
- Submit to Parliament Amendments to the Banks and SDI Act, in consultation with IMF staff, to address important weaknesses in the current legislation.	March 2017. Not met.	Mainly due to the reconstitution of Parliament in January 2017 and delayed publication of the Act in February 2017. Proposed to be reset to October 2017.
- Submit to Parliament Amendments to the Deposit Protection Act, in consultation with IMF staff, to address important weaknesses in the current legislation.	March 2017. Not met.	Mainly due to the reconstitution of Parliament in January 2017 and delayed publication of the Act in February 2017. Proposed to be reset to December 2017.

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Table 4. Ghana: Prior Actions for Completing the Fourth Review under the ECF		
Prior Action	Economic Rationale	Status
Complete the audit and financial viability analysis of SOEs being conducted by external auditors and share report with IMF staff.	Strengthen oversight of SOEs	Met
Approval by the BoG, in consultation with IMF staff, of credible and time-bound recapitalization plans for banks found to be undercapitalized, and initiation of resolution proceedings for insolvent banks that cannot demonstrate credible recapitalization measures.	Strengthen resilience and stability of the banking system	Not yet met
Initiate audit of unpaid commitments.	Ascertain fiscal costs from commitments outside PFM system	Met
Submit to Parliament, in consultation with IMF staff, legislation to reduce the level of existing revenue earmarking, and strengthen oversight of statutory funds by integrating them into the budgetary process.	Reduce budget rigidities and increase fiscal transparency	Met
Submission to Parliament of mid-year budget review in line with program objective and recording of revised spending limits in the Ghana Integrated Financial Management Information System (GIFMIS).	Restore fiscal discipline	Not yet met

Table 5. Ghana: Proposed Structural Benchmarks for 2017-18

Proposed Structural Benchmarks	Economic Rationale	Indicative Timeframe
Submit to Parliament regulations for the implementation of the new PFM Act.	Strengthen the PFM system	November 2017 Reset Structural Benchmark missed in March 2017.
Finalize roll out of the HRMIS to remaining MDAs.	To strengthen control on net hiring and the wage bill.	December 2017. Reset Structural Benchmark missed in December 2016.
Interface the payroll of the following agencies: University of Ghana, University of Cape Coast, Kwame Nkrumah University of Science and the Police.	To strengthen control on the wage bill.	December 2017 Reset Structural Benchmark missed in December 2016.
Complete roll-out of GIFMIS to all Internally Generated Funds (IGFs), except DVLA and the Free Zone Board; and all Statutory Funds, except DACF and NHIS.	Increase fiscal transparency	August 2017
Complete roll out of GIFMIS to DVLA and the Free Zone Board, DACF, and NHIS.	Increase fiscal transparency	December 2017
Integrate the GIFMIS Payroll, financial HRMIS and Hyperion in the Health sector.	To strengthen control on net hiring and the wage bill.	August 2017 Reset Structural Benchmark missed in June 2017.
Integrate the GIFMIS Payroll, financial HRMIS and Hyperion in the Education sector.	To strengthen control on net hiring and the wage bill.	December 2017 Reset Structural Benchmark missed in June 2017.
Complete the central government TSA.	Reduce borrowing costs	August 2017
Re-establish the clearing house mechanism to prevent arrears accumulation between the government and SOEs, and between SOEs.	Improve SOEs performance	August 2017

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Table 5. Ghana: Proposed Structural Benchmarks for 2017-18 (concluded)

Publish budgets of statutory funds, including expenditure details.	Increase fiscal transparency	December 2017
Establish a Fiscal Risk Unit at the Ministry of Finance, to start monitoring, among others, risks associated and SOEs.	Improve fiscal risk management	September 2017?
Publish a report detailing the implementation of the Subvented Agencies Act containing: (i) an assessment of the relevance of each agency to meet government's objective; and (ii) the potential savings to the budget from their closure/commercialization.	Contain expenditures	December 2017
Submit to Parliament legislation to restructure the tax incentives regime in Ghana, in line with IMF recommendations.	Increase tax revenues	June 2018
Adopt (by Parliament) amendments to the BoG Act, which would include: (i) elimination of central bank financing of Government; (ii) removal of the voting rights of the MOF member of the Board; (iii) disqualification of government members, members of Parliament and civil servants from the Board and MPC; (iv) removal of the provision allowing BoG to provide guarantees for loans granted by foreign institutions to government and government agencies; (v) a requirement for the government to recapitalize the BoG in the event that the BoG suffers losses; and (vi) prohibition of the BoG from owning shares in financial institutions not related to supporting the BoG's core functions (including disposing of existing shares after a transitional period).	Strengthen the inflation targeting framework	September 2017
Fully enforce the ELA guidelines, including approval by the BoG of plans, submitted by all of ELA beneficiaries, for the timely repayment of the outstanding facilities.	Strengthen resilience and stability of the banking system	August 2017
Submit to Parliament legal amendments to the Banks and SDI Act, prepared in consultation with IMF staff, to address important weaknesses in the current legislation.	Strengthen resilience and stability of the banking system	October 2017
Submit to Parliament legal amendments to the Deposit Protection Act, prepared in consultation with IMF staff, to address important weaknesses in the current legislation.	Strengthen resilience and stability of the banking system	December 2017
Approval, by the BoG Management, of an action plan for improving the resilience and oversight of the MFI sector, prepared in consultation with IMF staff.	Strengthen financial stability and increase financial inclusion	December 2017

Appendix I—Attachment II. Technical Memorandum of Understanding

1. This Technical Memorandum of Understanding (TMU) defines the variables subject to quantitative targets (performance criteria and indicative targets), as specified in the authorities' Letter of Intent (LOI) and Memorandum of Economic and Financial Policies (MEFP) of March 20, 2015. It also describes the methods to be used to assess the program performance and the information requirements to ensure adequate monitoring of the targets. The authorities will consult with the Fund before modifying measures contained in this TMU, or adopting new measures that would deviate from the goals of the program, and provide the Fund with the necessary information for program monitoring.
2. **Program exchange rate:** For the purpose of the program, the exchange rates of the Ghanaian cedi (GH¢) to the U.S. dollar will be GH¢4.00 per US\$1 for 2016 and GH¢4.40 for 2017. The exchange rates to other currencies will be calculated as the average of buying and selling exchange rates against the U.S. dollar.

I. QUANTITATIVE PROGRAM INDICATORS

3. For program monitoring purposes, the performance criteria and indicative targets are set for end-August 2017 and end-December 2017. Performance criteria, indicative targets, and adjusters are calculated as cumulative flows from the beginning of the calendar year, unless indicated otherwise.
4. The **performance criteria** under the arrangement are:
 - a floor on the primary fiscal balance of the government on a cash basis, measured in terms of financing (below the line);
 - a continuous ceiling on gross credit to government by the Bank of Ghana (level);
 - a floor on the net international reserves of the Bank of Ghana (level);
 - a ceiling on wages and salaries;
 - a ceiling on the net change in the stock of domestic arrears;
 - a ceiling on non-accumulation of new domestic arrears;
 - a continuous ceiling on non-accumulation of new external arrears;

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- a ceiling on the contracting or guaranteeing of new external non-concessional debt, with two sub-ceilings on (i) debt for debt management purposes and (ii) debt for projects integral to the development program for which concessional financing is not available; and
 - a monetary policy consultation clause set for the twelve-month rate of **consumer price inflation**, with discussions with the Fund to be held if inflation is outside the target bands.
5. **Indicative targets** are established as:
- a floor on poverty-reducing government expenditures;
 - a ceiling on the contracting or guaranteeing of new external concessional debt;
 - a ceiling on net domestic assets of Bank of Ghana (level);
 - a ceiling on the change in accounts payable of Electricity Company of Ghana (ECG) and Volta River Authority (VRA); and
 - a floor on the net after tax profit (excluding government subsidies) of ECG and VRA.

A. Government

6. **Definition:** The government is defined as comprising the central government, all special funds (including the Ghana Education Trust Fund, the Road Fund, the District Assemblies Common Fund, and the National Health Insurance Fund), and all subvented and other government agencies that are classified as government in the Bank of Ghana (BoG) Statement of Accounts (SOA). The Social Security and National Insurance Trust (SSNIT) and public enterprises, including Cocobod, are excluded from the definition of government.
7. The central government's **total tax revenue**—i.e., all revenue collected by the Ghana Revenue Authority (GRA), whether they result from past, current, or future obligations—includes Direct Taxes (taxes on income and property), Indirect Taxes (excises, VAT, National Health Insurance Levy (NHIL), and Communication Service Tax (CST)), and Trade Taxes. Total tax receipts are recorded on a cash basis.
8. **Oil revenue** is defined as the central government's tax and non-tax net proceeds from the sale of oil, excluding any revenue allocated to Ghana National Petroleum Corporation (GNPC).
9. The **wage bill** of the central government is defined as the sum of basic wages allowances paid to public servants on the mechanized payroll and in subvented agencies.
10. **The program primary fiscal balance** is cumulative from the beginning of the fiscal year and is measured from the financing side. The primary deficit is defined as the sum of net financial transactions of the government (as defined in paragraph 6 above)—comprising the sum of net foreign borrowing (as defined in paragraph 14 below), net domestic financing (defined in paragraph

13 below), receipts from net divestitures and net drawing out of oil funds, minus domestic and external interest payments.

11. **Domestic payments arrears** are payments not made “when due”. These will be measured as the sum of five components. The first component, arrears to the government’s statutory funds, represents any delay of more than one month in revenue transfers to these statutory funds, relative to the normal payment schedule (typically monthly or quarterly, and defined as a specific percentage of the previous month or quarter’s revenue collections).¹ The second component, employees compensation arrears (consisting of wages and salaries, pensions, gratuities, and social security arrears), is defined as payments outstanding after the agreed date for payment to staff or the social security fund. The third component, debt service arrears, is defined as payments of domestic and external interest, amortization, promissory notes, that are due and not settled within the grace period specified in the contract. The fourth component, the MDAs expenditure arrears (road and other MDAs expenditure arrears), is defined as approved invoices on the GIFMIS system that remain unpaid three months after the quarter in which the invoices were approved by the MDA. The fifth component, arrears to SOEs,² is defined as payments for debt owed to SOEs that are due and not settled within 30 days after the end of the quarter.

12. **Budgeted expenditures on social protection programs** of the central government (as defined in text table below) will be taken from each year’s final appropriations bill and will include only spending financed by the government or from internally generated funds. Actual spending on social protection programs, including LEAP, will be supplemented with the transfers to the National Health Fund (NHF)—which the government considers as poverty-related. Accordingly, actual poverty spending will exclude all donor-supported expenditure.

Overview of Social Protection Programs	
1. National Health Fund (NHF)	2. Provision of free school uniforms
3. Livelihood Empowerment Against Poverty (LEAP)	4. Provision of government's subsidy for Senior High Schools
5. Fertilizer Subsidy	6. Progressive implementation of free Senior High School Program
7. Basic Education Certificate Examination	8. Feeding grant for special schools for the handicapped
9. Capitation grant for Public Basic Schools across the country	10. Printing and Distribution of Exercise Books to Basic School Pupils under the Social Intervention Program

¹ Transfers to the statutory funds are scheduled as follows: (i) District Assemblies Common Fund—quarterly, with a one-quarter lag; (ii) Social Security Fund, National Health Fund, Ghana Education Trust Fund, Road Fund, Petroleum-related Fund—monthly, with a one-month lag.

² Tema Oil Refinery (TOR), Volta River Authority (VRA), Bulk Oil Storage and Transport Company (BOST), utility companies, Cocobod, other SOEs.

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11. Provide 10million free exercise books to Public Basic Schools across the country	12. First Phase of Maths and Science Reforms for 13,000 KGS, 14,000 Primary School and 8,000 JHS
13. Provide core textbooks	14. Capitation Grant
15. Establishment supplies for all Public Basic Schools across the country	16. Feeding fee for levels 100 & 200 students of colleges of education across the country

13. **Net domestic financing of government** is defined as the change in net credit to government by the banking system (i.e., the Bank of Ghana plus deposit money banks) plus the net change in holdings of treasury bills and other government securities by the nonbank sector, excluding divestiture receipts.

14. **Net foreign financing of government** is defined as the sum of project and program loans by official creditors and commercial external borrowing, minus amortization due.

15. **Outstanding net credit to the government by the Bank of Ghana** comprises the sum of claims on government including overdrafts of the government with the BoG, and claims on the government resulting from accrued interest on government securities less government deposits as defined in the monetary template.

16. **Outstanding net credit by deposit money banks** comprises deposit money bank (DMB) holdings of government securities at cost of purchase value, as reported by the BoG Treasury Department's Debt Registry, direct loans less government deposits as reported by DMBs in the revised BSD2 report forms (and defined in the Monetary Template), plus deferred accrued interest on their holdings of inflation-indexed bonds.

17. **Nonbank financing** is the difference between total net cash receipts to the treasury main cash account (issues/redemptions account when it becomes operational) from the sale/repurchase of government securities, less the corresponding net cash value received from the BoG and DMBs as indicated on the Debt Registry by holder at discount value, plus deferred accrued interest on their holdings of inflation-indexed bonds.

B. Bank of Ghana

18. **Net foreign assets** are defined in the monetary survey as short- and long-term foreign assets minus liabilities of the BoG that are contracted with nonresidents. Short-term foreign assets include: monetary gold (valued at the spot market rate for gold, US\$/fine ounce, London), holdings of SDRs, reserve position in the IMF, foreign notes and travelers checks, foreign securities, positive balances with correspondent banks, encumbered external assets and other positive short-term or time deposits. Short-term foreign liabilities include foreign currency liabilities contracted by the BoG at original maturities of one year or less (including overdrafts), outstanding liabilities to the IMF, deposits of international institutions at the BoG and swaps with non-resident commercial banks. Long-term foreign assets and liabilities are comprised of: other foreign assets, investments abroad,

other long-term liabilities to nonresidents, and bilateral payment agreements. All values not in U.S. dollars are to be converted to U.S. dollars at the program exchange rate defined in paragraph 2. A more detailed listing of accounts to be included in the measure of net foreign assets is contained in the monetary template provided to the IMF on January 21, 2015.

19. **Net international reserves** (NIR) of the BoG are defined for program monitoring purposes³ as short-term foreign assets of the BoG, minus short-term external liabilities. The definition of NIR will exclude short-term foreign assets that are not fully convertible external assets readily available to, and controlled by, the BoG (that is, they are pledged or otherwise encumbered external assets, including assets encumbered by BoG guarantees issued to third parties). All values not in U.S. dollars are to be converted to U.S. dollars at the average of buying and selling exchange rates against the U.S. dollar as defined in paragraph 2.

Net international reserves are defined as:

- Short-term assets (composed of: Gold, Holdings of SDR, Foreign Notes and Coins, Foreign Securities/Short-term Deposits, Disposal Balances with Correspondent Banks, Fixed Deposits (excludes encumbered assets), any other short-term foreign assets),
- **Minus:** foreign short-term liabilities (composed of Deposits of International Institutions, Liabilities to International Commercial Banks, Swap Deal Payable with non-resident banks). Short-term liabilities should exclude liabilities with an asset counterpart that is encumbered (which are excluded as well from the asset side).
- **Minus** all liabilities to the IMF,
- **Minus** MoF's liabilities to the IMF used for budget support,
- **Minus** all positive foreign currency deposits at the BoG held by resident deposit money banks (which includes the stock of swaps deal payable with resident banks), public institutions, nonfinancial public enterprises, other financial institutions, and the private sector.⁴
- **Minus** all Bank of Ghana deposits with Ghana International Bank London (GIB).

20. **Net domestic assets** of the Bank of Ghana are defined as the difference between reserve money and net foreign assets of the BoG, converted from U.S. dollars to cedis at the program exchange rate. In accordance with the treatment for net international reserves, government deposits at the BoG from disbursements of Fund resources for budget financing are also subtracted.

³ Note this definition differs from the one reported in the Balance of Payments and Monetary Survey which reflects a more traditional definition of foreign assets and liabilities based on a residency basis.

⁴ This item is not deducted from NIR in the Balance of Payments and Monetary survey definition which is based on the standard residency criteria.

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21. **Outstanding gross credit to government and public enterprises by the Bank of Ghana** for program monitoring purposes is defined as the total amount of (i) all BoG loans and advances to government and public enterprises, (ii) all government overdrafts, (iii) the absolute value of government deposits reflected as negative values in the monetary survey; iv) the face value for all outstanding Government of Ghana treasury bills, notes and bonds purchased by BoG in the primary and the secondary market. For purposes of this TMU the stock of gross credit to government by Bank of Ghana includes all called guarantees given by Bank of Ghana for all operations between the central government or state owned enterprises and a third party. For the purposes of this TMU, the stock of gross credit to government does not include: BoG holdings of government T-bills as collateral from commercial banks and BoG reversible market transactions involving government securities that do not result in a change of security ownership.

C. Monetary Policy Consultation Clause

22. The consultation bands around the projected 12-month rate of inflation in consumer prices (as measured by the headline consumer price index (CPI) published by the Ghana Statistical Service), are specified in the Performance Criteria table in the MEFP. If the observed 12-month rate of CPI inflation falls outside the lower or upper outer bands specified Performance Criteria table for end-August 2017 and end-December 2017 test dates, the authorities will complete a consultation with the IMF Executive Board which would focus on: (i) the stance of monetary policy and whether the Fund-supported program remains on track; (ii) the reasons for program deviations, taking into account compensating factors; and (iii) proposed remedial actions if deemed necessary. When the consultation with the IMF Executive Board is triggered, access to Fund resources would be interrupted until the consultation takes place and the relevant program review is completed. In addition, the authorities will conduct discussions with Fund staff should the observed year-on-year rate of CPI inflation fall outside the inner bands specified for the end of each test date in the Performance Criteria table.

D. Non-Accumulation of New External Arrears

23. For the purpose of the ceiling on the accumulation of external payment arrears, external payment arrears will accrue when undisputed payments such as interest or amortization on debts of the government (as defined in paragraph 6) to non-residents are not made within the terms of the contract. This performance criterion will be monitored on a continuous basis.

E. Ceiling on the Contracting or Guaranteeing of New Non-Concessional External Debt

24. For the purposes of this TMU, the definition of debt is set out in paragraph 8 of the Guidelines on Public Debt Conditionality in Fund Arrangements (Executive Board's Decision No.15688-(14/107). The definition also refers to commitments contracted or guaranteed for which value has not been received. The definition of debt is as follows:

8 (a) For the purpose of these guidelines, the term “debt” will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of financial and nonfinancial assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms, the primary ones being as follows:

(i) loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers’ credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements);

(ii) suppliers’ credits, i.e., contracts where the supplier permits the obligor to defer payments until some time after the date on which the goods are delivered or services are provided; and

(iii) leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. For the purpose of the guideline, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement excluding those payments that cover the operation, repair, or maintenance of the property.

(b) Under the definition of debt set out in point 8(a) above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.

25. **For the purposes of the ceiling on the contracting or guaranteeing of new non-concessional external debt**, external debt is any debt as defined in paragraph 24, which is denominated in foreign currency, i.e., currency other than Ghanaian cedis (GH¢).⁵

26. Nonconcessional external debt is defined as external debt contracted or guaranteed by the government (defined in paragraph 6), the BoG, and specific public enterprises (defined in

⁵ Excluded from this performance criterion are the use of Fund resources, rollover of BOG’s existing liabilities, normal import-related credits, pre-export financing credits of public enterprises, cocoa loans collateralized by cocoa contracts, and individual leases with a value of less than US\$100,000.

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paragraph 27) on non-concessional terms (defined in paragraph 28)⁶. External debt and its concessionality will be reported by the Debt Management Division of the Ministry of Finance and Economic Planning, and will be measured in U.S. dollars at current exchange rates.

27. A performance criterion (ceiling) applies to the nominal values of new nonconcessional external debt, and an indicative target (ceiling) applies to the nominal value of new concessional external debt, contracted or guaranteed by the government and the BoG, and the following public enterprises: (i) Tema Oil Refinery; (ii) Ghana National Petroleum Company; (iii) Ghana National Gas Company; (iv) Volta River Authority; and (v) Electricity Company of Ghana; (vi) GRIDCO; (vii) Ghana Water Company Limited; (viii) GIIF. The ceiling applies to debt and commitments contracted or guaranteed for which value has not yet been received, including private debt for which official guarantees have been extended.

28. For program purposes, a debt is concessional if it includes a grant element of at least 35 percent, calculated as follows: the grant element of a debt is the difference between the net present value (NPV) of debt and its nominal value, expressed as a percentage of the nominal value of the debt. The NPV of debt at the time of its signing date of an underlying loan agreement is calculated by discounting the future stream of payments of debt service due on this debt. The discount rate used for this purpose is 5 percent.

29. For loans carrying a variable interest rate in the form of a benchmark interest rate plus a fixed spread, the PV of the loan would be calculated using a program reference rate plus the fixed spread (in basis points) specified in the loan contract. The program reference rate for the six-month USD LIBOR is 3.34 percent and will remain fixed for the duration of the program. The spread of six-month Euro LIBOR over six-month USD LIBOR is -250 basis points. The spread of six-month JPY LIBOR over six-month USD LIBOR is -300 basis points. The spread of six-month GBP LIBOR over six-month USD LIBOR is -100 basis points. For interest rates on currencies other than Euro, JPY, and GDP, the spread over six-month USD LIBOR is -200 basis points.⁷ Where the variable rate is linked to a benchmark interest rate other than the six-month USD LIBOR, a spread reflecting the difference between the benchmark rate and the six-month USD LIBOR (rounded to the nearest 50 bps) will be added.

30. Starting from the completion of the second review, the performance criterion on new non-concessional external debt includes two sub-ceilings on (i) debt for debt management purposes and (ii) debt for projects integral to the development program for which concessional financing is not available. Debt for debt management purposes is defined as non-concessional debt used to

⁶ For a program monitoring purpose, debt is considered as contracted or guaranteed when all conditions precedent for effectiveness of the underlying loan agreement are satisfied. Only debt signed since the beginning of 2015 will be counted against this performance criterion.

⁷ The program reference rate and spreads are based on the "average projected rate" for the six-month USD LIBOR over the following 10 years from the Fall 2014 World Economic Outlook (WEO).

improve the overall public debt profile. The debt management sub-ceiling shall be cumulative from the beginning of each calendar year.

31. The sub-ceiling on any contracting or guaranteeing of non-concessional external debt for projects integral to the development program for which concessional financing is not available refers to debt for those projects specified in the list below. Any contracting or guaranteeing of non-concessional external debt for projects other than those listed below results in the nonobservance of the PC. The total amount of contracting of non-concessional external debt for projects on this list will be strictly limited to US\$ 2,250 million on a cumulative basis from the beginning of 2015. Amounts applied toward this limit do not count toward the sub-ceiling on non-concessional borrowing for debt management purposes.

- Takoradi Port Expansion 2
- Supply Agricultural equipment under Food for Africa programme
- Electricity Company Ghana Limited Prepaid meter distribution
- Construction and Equipping of Ten (10) Polyclinics in the Central Region
- Self-help electrification project (SHEP) - 4 -Hunan
- 4 District Hospitals and accident and emergency center in Bamboi, Somanya, Tolong, Weta, and Buipe
- Kumasi market phase 2
- SHEP five regions-CWE
- Strengthening of Lots 1,2& 4 Central Corridor
- Eastern Corridor Road Project Refinancing for Section I: Asikuma Junction - Have and Section II: Nkwanta - Oti Damanko
- Obetsebi Lamptey Drainage network and Interchange
- Bekwai Hospital Rehabilitation
- Sugarcane Development and Irrigation Project
- KARPOWER PROJECT B
- Takoradi 4 Thermal Power Project (T4)
- Renovation of Ghana Missions Abroad
- Works at Kumasi Airport
- Development of Tamale Airport- terminal building and related infrastructure phase
- Eastern University
- Damango Yendi Water project
- Tema to Akosombo - Western Railway Line Construction Project in Ghana
- Transport Sector Project (World Bank)
- Rural Water and Sanitation (World Bank)
- Secondary Education Improvement (World Bank)

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32. Further an additional sub-ceiling of US\$ 350 million for a project is established for 2017 in the context of third review to accommodate GNPC's non-concessional borrowing, which was counted against debt limits for 2016 but did not materialize due to unforeseen delays in its loan negotiation with the creditor.

F. SOEs

33. The net after tax profit of ECG is defined as the difference between total operating revenues and total costs as reported in the unaudited income statement. Total operating revenues are defined as the sum of: (i) sales of electricity; and (ii) all other operating income, excluding proceeds from central government transfers or payments of ECG's obligations on ECG's behalf. Total costs are defined as the sum of: (i) power purchases and all operating costs related to electricity distribution to be borne by ECG; (ii) administrative expenses, including on wages and remuneration of the board of directors, and provisions; (iii) depreciation; (iv) interest expense and any other financial costs.

34. The net after tax profit of VRA is defined as the difference between total operating revenues and total costs as reported in the unaudited income statement. Total operating revenues are defined as the sum of: (i) sales of electricity; and (ii) all other operating income, excluding proceeds from central government transfers or payments of VRA's obligations on VRA's behalf. Total costs are defined as the sum of: (i) generation of electric power and all operating costs related to electricity generation to be borne by VRA; (ii) administrative expenses, including on wages and remuneration of the board of directors, and provisions; (iii) depreciation; (iv) financial expenses and any other financial costs, including foreign exchange gain/losses from foreign currency denominated transactions and exchange fluctuation gains/losses on foreign currency denominated loans.

35. The zero ceiling on change in gross payables of VRA and ECG applies to the total stock of payables, current and non-current, due to trade creditor, related parties and other creditors.

G. Adjustors to the Program Targets

Program's quantitative targets are subject to the following adjustors:

Primary fiscal deficit of the government

36. The deficit ceilings for 2015–17 will be adjusted for excesses and shortfalls in oil revenue and program loans and grants as defined below, relative to the program assumptions in the table below. The fiscal deficit will be adjusted:

- i) Downward (upward) by 50 percent of any excess (shortfall) in **oil revenue**.
- ii) Downward by 50 percent of any **shortfall in concessional program loans**.

- iii) Upward for the full amount of any **excess in concessional program loans**, where these are used to repay outstanding domestic arrears at a more rapid pace than programmed.
- iv) Downward by the full amount of **any excess of program grants less any use of program grants** used to repay outstanding domestic arrears at a more rapid pace than programmed.
- v) Upward by 50 percent of any **shortfall in program grants**.

Net international reserves of the Bank of Ghana

37. The net international reserve (NIR) floors will be adjusted upward for any excess of budget grants and loans relative to the program baseline excluding the IMF's budget support (see text table), except where this financing is used to repay outstanding domestic arrears at a more rapid pace than programmed. The NIR floors will be lowered by 50 percent of any shortfall in budget grants and loans relative to the program baseline excluding the IMF's budget support.

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Budget Financing and oil revenues, 2016 ^{1/} (GH¢ millions, cumulative from the start of the calendar year)				
	March	June	September	December
Program grants	0	0	112	133
Program loans	0	600	844	844
Oil revenues, net of transfers to GNPC	325	460	785	1,640
^{1/} Used to compute adjustors for performance criteria for end-March, end-June, end-September, and end-December.				

Budget Financing and oil revenues, 2017 ^{1/} (GH¢ millions, cumulative from the start of the calendar year)				
	March	August	September	December
Program grants	0	0	73	73
Program loans	0	211	617	1902
o/w: IMF Program loan for budget support	0	0	406	811
Oil revenues, net of transfers to GNPC	391	800	800	1138
^{1/} Used to compute adjustors for performance criteria and indicative targets for end-March , end-August, end September, and end December.				

H. Provision of Data to the Fund

38. Data with respect to the variables subject to performance criteria and indicative targets will be provided to Fund staff on a monthly basis with a lag of no more than eight weeks (except for select data for which the reporting lag is explicitly specified in Table 1). The authorities will transmit promptly to Fund staff any data revisions. For any information (and data) that is (are) relevant for assessing performance against program objectives but is (are) not specifically defined in this memorandum, the authorities will consult with Fund staff. The authorities will share any prospective external loan agreements with Fund staff before they are submitted to cabinet and before they are contracted.

Table 1. Ghana: Data to be Reported to the IMF

Item	Periodicity
Fiscal data (to be provided by the MoF)	
Central budget operations for revenues, expenditures and financing, including clearance of arrears.	Monthly, within six weeks of the end of each month.
Divestiture receipts received by the budget (in cedis and foreign exchange, net of divestiture transactions costs).	Monthly, within six weeks of the end of each month.
The stock of domestic payments arrears by sub-category (as defined in para. 11 of the TMU)	Quarterly, within six weeks of the end of each quarter
Updated list of (prioritized) projects to be financed by non-concessional loans and concessional loans.	Monthly, within six weeks of the end of each month.
Cash flow of the central government and cash flow projections.	Monthly, within six weeks of the end of each month
Income, cash flow, and debt service projections for the state-owned energy utilities.	Monthly, within six weeks of the end of each month
Itemized data on the proceeds from the energy sector levies.	Monthly, within six weeks of the end of each month
Expenditures committed but not paid and within the legal period before they become arrears (float).	Monthly, within six weeks of the end of each month.
Wage bill monthly reports including breakdown of developments per MDAs.	Monthly, within six weeks of the end of each month.
Monetary data (to be provided by the BoG)	
Net domestic assets and net international reserves of the BoG.	Monthly, within two weeks of the end of each month.
Detailed balance sheet of the monetary authorities.	Monthly, within four weeks of the end of each month.
Monetary survey detailing the consolidated balance sheet of commercial banks.	Monthly, within six weeks of the end of each month.
Weekly balance sheet of the central bank, including gross international reserves, net international reserves.	Weekly, within a week of the end of each week

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Table 1. Ghana: Data to be Reported to the IMF (continued)

Summary position of government committed and uncommitted accounts at BoG, and total financing from BoG.	Monthly, within four weeks of the end of each month. (continued)
Composition of banking system and nonbanking system net claims on government.	Monthly, within four weeks of the end of each month.
Financial soundness indicators.	Monthly, within four weeks of the end of each month
Stock of BoG swaps and encumbered and non- encumbered loans with resident and non-resident commercial banks.	Monthly, within two weeks of the end of each month.
Daily computations for the BoG benchmark exchange rate, including all transactions used to derive it.	Monthly, within two weeks of the end of each month.
Debt registry showing structure and holders of domestic government debt, at face value and at discount. Similar table showing holders of treasury bills for open market operations.	Monthly, within four weeks of the end of each month.
Itemized overview of outstanding liquidity support, granted to financial institutions,	Monthly, within four weeks from the end of each month.
Balance of payments (to be provided by the BoG)	
Export and import data on value, volume, and unit values, by major categories and other major balance of payments variables.	Quarterly, with a maximum lag of two months.
Foreign exchange cash flow.	Monthly, within four weeks of the end of the month.
Monthly foreign exchange cash flow projections (with actual historical figures updated)	Monthly update, with a maximum lag of two weeks of the end of the month.
External debt and foreign assistance data (to be provided by MoF)	
Information on the concessionality of all new external loans contracted by the government or with a government guarantee.	Quarterly, within four weeks of the end of each quarter.
For the coming quarter: (i) total debt service due by creditor, and (ii) debt service paid and Report should cover government and government-guaranteed debt (as defined in this document).	Quarterly within four weeks of the end of each quarter.
External debt and external debt service incurred by enterprises with government ownership above 50 percent, even if loans have not been explicitly guaranteed by the government.	Quarterly, within three weeks of the end of each quarter.
Short-term liabilities to nonresidents (maturity in one year or less), including overdraft positions and debt owed or guaranteed by the government or the BoG. Data on the BoG short-term liabilities to nonresident commercial banks on accounts 1201 plus 301 plus Crown Agent).	Quarterly, within three weeks of the end of each quarter.

Table 1. Ghana: Data to be Reported to the IMF (concluded)

Disbursements of grants and loans by creditor	Quarterly, within four weeks of the end of each quarter.
Other data (to be provided by GSS)	
Overall consumer price index.	Monthly, within two weeks of the end of each month.
National accounts by sector of production, in nominal and real terms.	Annual, within three months of the end of each year (switching to quarterly when they become available).
Quarterly financial statements of main state-owned enterprises. (i) Tema Oil Refinery; (ii) Ghana National Petroleum Company; (iii) Ghana National Gas Company; (iv) Volta River Authority; and (v) Electricity Company of Ghana; (vi) GRIDCO; (vii) Ghana Water Company Limited.	Quarterly, within three months of end of quarter
Quarterly financial statements of GIIF	Quarterly, within three months of end of quarter
Annual financial statements of main state-owned enterprises. (i) Tema Oil Refinery; (ii) Ghana National Petroleum Company; (iii) Ghana National Gas Company; (iv) Volta River Authority; and (v) Electricity Company of Ghana; (vi) GRIDCO; (vii) Ghana Water Company Limited.	Annual, within six months of end of year
Electricity pricing (to be provided by the Ministry of Energy) Data on the tariff structure and the cost of producing electricity.	Quarterly, within four weeks of the end of each quarter.
Petroleum pricing (to be provided by the Ministry of Energy) (i) a breakdown of costs, including the ex-refinery price, duties, levies, and margins, for each of the individual petroleum products; and (ii) the indicative maximum price approved in the bi-weekly review of petroleum pricing for each of the individual petroleum products.	Bi-weekly, within two days of the completion of the pricing review. See above.